Advanced Accounting

CA Intermediate — Short Revision Notes

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Contents

Why Accounting Standards Exist (and the Framework beneath them)

Snapshot

Foundational chapter: standards are a shared rulebook forcing every entity to measure/report the same economic event the same way, so profit stops being opinion. Optimises for comparability + reliability + relevance. Every specific AS is this idea applied to one topic (recognise → measure → present → disclose).

Core concepts

- **Purpose:** without a common rulebook profit becomes opinion — kills trust and comparability. Written for **external users** (investors, lenders, suppliers, employees, government, public) who cannot demand a custom report.
- **Master objective:** a **true and fair view** (Companies Act). Standards are the *means*; true & fair is the *end*. In exceptional cases an entity may **depart from a standard AND disclose** the departure and its effect to preserve true & fair.
- Standards govern *content and disclosure* of final statements, not ledgers/software; do **not** override **law**; do not remove *honest estimation* (only *arbitrary freedom*); apply to **material** items only.

Key provisions / rules

Three fundamental accounting assumptions (AS 1) — presumed unless contrary disclosed:

- **Going Concern** — value assets by continued use, not fire-sale. Break-up (net realisable) basis only on *intent/necessity to liquidate*; "foreseeable future" ≈ at least 12 months (judgment). Material uncertainty (no decision to close) → *disclose*, don't write down.
- **Accrual** — record the *event*, not the cash; cuts both ways (outstanding & prepaid; income received in advance).
- **Consistency** — same method *over time* (horizontal), not across all assets; change only with reason + disclosure.
- Disclosure rule: if all three followed → say nothing; if any **not** followed → must disclose.

Four qualitative characteristics: Understandable, Relevant, Reliable, Comparable. Trade-offs: **Relevance vs Reliability**, Timeliness vs Reliability; **Benefit > Cost** overrides all (parent of materiality).

Three policy-selection considerations (AS 1): Prudence, Substance over Form, Materiality. (These are NOT fundamental assumptions — classic MCQ trap.)

- **Prudence:** provide for probable *losses*, never for unearned *profits* (one-directional). Calibrated by probable/possible/remote ladder → **Provide / Disclose / Ignore**. Not pessimism (no secret reserves).
- **Substance over form:** record economic reality; works both ways (add a finance lease on, remove a repo "sale").
- **Materiality:** ignore amounts too small to change a decision; but *nature* can make a small amount material; cannot be used to *hide* a fact.

Four verbs of any standard: Recognition (probable future benefit **AND** reliably measurable — both; explains purchased goodwill in, internal out), Measurement (historical cost, current cost, realisable value, present value), Presentation, Disclosure.

Five elements: Asset (**control**, not ownership), Liability (**present obligation from a past event**; constructive obligations count), Equity (residual = A − L), Income, Expense ("other than contributions from / distributions to owners").

Policy vs estimate vs measurement base: Policy = chosen method (FIFO vs WA; SLM vs WDV) → change needs justification + disclosure. Estimate = judgment on uncertain amount (useful life, doubtful debts) → revision is **not** an error, applied **prospectively**. Measurement base = the yardstick.

Who makes/follows: ICAI **ASB** drafts; **NFRA** recommends to Central Govt; notified as Companies (Accounting Standards) Rules, 2021. Two sets: **AS** (Inter) and **Ind AS** (Rules 2015, large/listed). India **converged** (not adopted) IFRS → Ind AS with **carve-outs**; recognition/measurement apply to all, **disclosure scales** with size (tiered Levels).

Disclosures

- Significant accounting policies at one place as first note.
- Fundamental assumptions: followed → no disclosure; departed → disclose.
- Change in policy with material effect → disclose fact **and amount of effect** (or that it's not ascertainable).
- Complete set = Balance Sheet + Statement of P&L + Cash Flow Statement + notes/policies.
- Presentation: **no offsetting** (gross), show comparatives, consistent classification/layout; a note **cannot cure** a wrong number.

Exam traps & must-remember

- Profit ≠ cash (accrual): profitable yet cash-starved is possible.
- Prudence ≠ pessimism; secret reserves are as wrong as overstatement.
- Framework ≠ a Standard — on conflict, **the specific AS prevails**; Framework only fills gaps.
- "Ind AS = IFRS" — no, *converged* with carve-outs; Ind AS ≠ automatically IFRS-compliant.
- Fundamental assumptions: following needs no disclosure; departing triggers it (often stated backwards).
- Policy change → disclose amount of effect; estimate change → prospective, not an error.
- Going concern break-up basis only on intent to liquidate, not mere losses/uncertainty.
- "Control = ownership" — no; asset = what you control (leased asset on lessee's books).
- Disclosure cannot cure wrong recognition — fix the number first.

One-line recall

- Standards exist because without a shared rulebook profit is opinion; they protect external users.
- Three assumptions: **Going Concern, Accrual, Consistency** (AS 1).
- Three policy considerations: **Prudence, Substance over Form, Materiality**.
- Recognition = probable benefit **AND** reliably measurable (both).
- Prudence ladder: probable → provide, possible → disclose, remote → ignore.
- Above all standards sits one legal objective: **true and fair view**.

Chapter 02 — How to Read Any Accounting Standard (+ AS 1: Accounting Policies)

Snapshot

Every Accounting Standard (approx. 27 notified) answers the same four questions in the same order — the **RMPD lens**. AS 1, the simplest standard, is the Framework made enforceable: it governs the *disclosure of accounting policies* and the discipline around *changing* them. It bites whenever you must decide what policies to disclose, or how to treat a policy change.

Core concepts

The RMPD lens — interrogate any standard, don't memorise it:

Question	Asks	Guards against
Recognition	WHEN does it enter the books?	Wrong timing
Measurement	at WHAT AMOUNT (initial + subsequent)?	Wrong amount
Presentation	WHERE does it go (which line/statement)?	Wrong location
Disclosure	what EXTRA to tell in notes?	Hidden judgment

- **Scope is the silent 5th question** — check "does this standard even apply to me here?" *before* R. Almost every standard opens with a scope paragraph carving out exceptions.
- **Recognition + Measurement protect the *number*. Presentation + Disclosure protect the *reader's understanding* of the number.**
- RMPD is a **pipeline, not a checklist**: each stage depends on the prior. An early (Recognition) error poisons everything downstream — which is why hard questions bury the trap at Recognition.
- Order = sequence in which accounts get distorted: wrong timing → wrong amount → wrong location → hidden judgment.
- **Disclosure is a release valve, not a loophole.** R and M are *mandatory floors*; disclosure only opens over the space where the standard *permits* a choice (FIFO vs weighted avg; SLM vs WDV). It never legalises a wrong number.

Reading drill for a fresh standard (6 passes, 6 lines): (1) Scope — in/carved out; (2) Definitions — only the 2-3 terms rules hinge on; (3) Recognition trigger — the "recognise when…" sentence; (4) Measurement — initial *then* subsequent (commonest error is confusing the two); (5) Presentation — one line; (6) Disclosure — skim (easy marks won here).

Key provisions / rules

Applicability (tiered by size & public interest)

- Non-company entities: ICAI classification into **Levels I, II, III, IV**. Companies: **SMC** (Small and Medium-sized Company) concept under the Companies (Accounting Standards) Rules, 2021.
- Relaxations are overwhelmingly in **disclosure**, plus exemption from a few complex standards (e.g. SMC need not give certain segment / diluted-EPS info; simplified defined-benefit & lease disclosures).
- Relaxations **do NOT touch core recognition & measurement** — a wrong profit is wrong for a small firm exactly as for a large one.
- **SMC = essentially a company that:** (i) has no equity/debt securities listed or in process of listing; (ii) is not a bank / financial institution / insurance company; (iii) has turnover and borrowings below prescribed thresholds; (iv) is not a holding/subsidiary of a non-SMC. Cross *any one* trigger → out. *(Verify current turnover/borrowing thresholds against latest ICAI material — figures are periodically revised.)*
- **Non-company Level I** = large or public-interest entities (turnover/borrowings above limits, banks, FIs, insurers, listed/being-listed). Levels II–IV progressively smaller, progressively more relaxed.

- **Once out, always disclose the transition:** an entity ceasing to qualify must comply fully; on re-qualifying it may avail relaxations again, but the fact & reasons are disclosed.
- **Trap:** exemption from disclosure is a *permission to omit*, **never a prohibition to disclose**. Voluntary extra disclosure is always allowed.

AS 1 — Disclosure of Accounting Policies

Accounting policies (definition): *the specific accounting principles and the methods of applying those principles adopted by an enterprise in preparing and presenting financial statements.* No single "correct" list.

- Two-part structure: a **principle** half ("inventory carried at cost, subject to lower-of test") + a **method** half ("cost measured using weighted-average"). AS 1 covers both. FIFO→weighted avg is a *policy* change because you kept the principle but changed the method.

Three fundamental assumptions (exactly three — not four):

Assumption	Meaning
Going Concern	Enterprise assumed to continue in operation for the foreseeable future
Consistency	Policies assumed applied consistently period to period
Accrual	Revenues & costs recognised as earned/incurred, not as cash received/paid

> **Asymmetric rule:** If an assumption **is followed → need NOT disclose** (presumed). If it is **NOT followed → must disclose that fact.** Raise your voice only when something breaks.

Three major considerations governing selection of policies (exactly three — not four):

Consideration	Meaning
Prudence	Do not anticipate profits; provide for all known liabilities/losses even if only an estimate
Substance over Form	Account for commercial reality, not merely the legal label
Materiality	Disclose every item whose knowledge might influence a user's decisions

When is a policy change even *allowed*? (Gate 1 – permission). Only if it is (a) **required by statute**, (b) **required by an accounting standard**, or (c) results in a **more appropriate presentation**. A change to inflate profit fails all three — not a legitimate change, and disclosure cannot cure it.

What AS 1 requires (Gate 2 – disclosure):

- Disclose **all significant accounting policies at one place**, normally the first note, forming **part of the financial statements** (not in directors'/narrative report).
- If any fundamental assumption is **not followed → disclose that fact.**
- **Change in policy with material effect → disclose the change AND the rupee amount of the effect.** If effect not ascertainable wholly/partly → **disclose that fact.**
- Change with **no material effect now but reasonably expected to be material in later periods → also disclose in the period of change.**

Policy vs Estimate: a *policy* is the chosen method (WDV depreciation); an *estimate* is a judgment input (machine lasts 8 years). Policy change = AS 1 (disclose change + rupee effect). Estimate change = **AS 5, applied prospectively. Tie-breaker (AS 5):** when genuinely hard to distinguish → **treat as a change in estimate** (with disclosure).

Boundary — AS 1 is NOT a format standard: it governs the policy note & changes only. Layout of the balance sheet / P&L comes from **Schedule III** to the Companies Act, not AS 1.

Worked mini-example

Company X switched depreciation SLM→WDV and inventory FIFO→weighted average this year; profit rose Rs 80,00,000 → Rs 1,10,00,000. Management plans to report the higher profit silently.

Item	Rs
Profit last year (old policies)	80,00,000
Effect of depreciation-method change	+ 12,00,000
Effect of inventory-formula change	+ 18,00,000
Profit this year (new policies)	1,10,00,000

Both are significant policies; each is a policy change with material effect (Rs 30,00,000 combined). AS 1 requires disclosure of the change **and the rupee effect**. The silent plan violates AS 1 — a reader must be able to tell whether the 37.5% jump is real improvement or merely a change in measurement rules.

Examiner tweak: if the inventory effect *cannot* be reliably split from ordinary price movements → disclose the Rs 12,00,000 depreciation effect *and* state the inventory change had a material effect whose amount is **not ascertainable**. The standard always leaves you a sentence to write.

Disclosures

- **Location:** all significant policies at **one place**, normally **Note 1 — "Significant Accounting Policies"**, part of the financial statements (not the surrounding narrative). "At one place" is a *substantive* rule serving comparability — scattering policies across notes is a genuine AS 1 breach, not a stylistic quibble.
- **Fundamental assumptions:** Going Concern, Consistency, Accrual — **not stated when followed; the fact of non-adherence disclosed when not followed.**
- **Changes in policy:** disclosed in the period of change with the **rupee amount** where ascertainable; where not, that fact is stated. A change expected to be material in future periods is disclosed now.
- **Presentation quality:** disclose clearly and usefully — boilerplate that hides actual choices defeats the purpose.
- **Consistency vs change reconciled:** Consistency is the default presumption; a change is the *permitted, disclosed exception*. Disclosure is what keeps Consistency meaningful — readers are told where the comparability chain broke and by how much.

Exam traps & must-remember

- **Disclosure ≠ Recognition.** A note is not a journal entry. A contingent liability (AS 29) is *disclosed*, not *recognised*.
- **The assumption rule is asymmetric** — followed = stay silent; **broken = disclose.** (Students often write the reverse — wrong.)
- **"Doubted" ≠ "broken."** For fundamental assumptions the mandatory disclosure fires only when the assumption is genuinely *abandoned*, not merely worried about (e.g. mere liquidity concern with intent to trade on → stay on going-concern basis).
- **Over-prudence is NOT prudence.** Padding provisions / secret reserves to understate profit breaches true-and-fair. Prudence guards against optimism, not against honesty.
- **More disclosure ≠ better.** "Significant" is filtered by materiality; reciting immaterial policies is noise that buries the material ones. Materiality both *compels* disclosure and *licenses omission*.
- **A policy change needs permission FIRST** (statute / standard / more appropriate presentation) before the disclosure gate opens. Disclosing an illegitimate change does not cure it.
- **Disclosure cannot rescue a wrong number** — R and M are mandatory floors. You cannot recognise unearned revenue and fix it with a note.
- **SMC / small-entity relaxations** = mostly disclosure; never recognition/measurement; they *permit omission*, they don't *bar disclosure*.
- **Three assumptions, three considerations — not four each.** Don't smuggle Materiality into assumptions or Going Concern into considerations. Assumptions = Going Concern, Consistency, Accrual. Considerations = Prudence, Substance over Form, Materiality.
- **AS 1 is not a format standard** — layout = Schedule III.

- **Substance over Form is load-bearing:** a "sale" of goods with a fixed repurchase agreement is in substance a **secured loan** — keep goods in inventory at cost, book the receipt as borrowing, treat the excess as interest expense. Do not recognise sale/profit.

One-line recall

- **Interrogate, don't memorise:** Scope → **R**ecognition → **M**easurement → **P**resentation → **D**isclosure. R+M protect the number; P+D protect the reader.
- **AS 1 = Framework made enforceable** — disclose significant policies at one place (Note 1), part of the financial statements.
- **Assumptions (GC, Consistency, Accrual): silent when followed, disclose when broken.** Doubted ≠ broken.
- **Considerations (Prudence, Substance over Form, Materiality)** govern policy selection. Prudence ≠ over-provisioning.
- **Policy change:** allowed only if statute / standard / more appropriate presentation → then disclose change + rupee effect (or state effect not ascertainable).
- **Policy = AS 1; Estimate = AS 5 prospective; when in doubt → estimate.** AS 1 ≠ format (that's Schedule III).

AS 2 — Valuation of Inventories

Snapshot

Governs measurement of inventories (closing stock — a direct profit lever via COGS). Core rule: value at **lower of Cost and Net Realisable Value (NRV)**, applied **item by item**. Pure prudence made numeric. Small, high-scoring standard.

Profit = Sales − COGS; **COGS = Opening Stock + Purchases − Closing Stock** (higher closing stock ⇒ lower COGS ⇒ higher profit).

Core concepts

- **Cost** = spend to bring stock to *present location and condition* ready for sale.
- **NRV** = estimated selling price in ordinary course − estimated cost to complete − estimated cost to make the sale. A **net exit value**; NRV ≤ selling price. **NRV ≠ market price ≠ replacement cost** (replacement cost only as a *proxy* for raw-material NRV when finished goods are loss-making).
- Rule is one-directional: write **down** to NRV; **never write up** above cost (no unrealised gain).

Key provisions / rules

Scope OUT (para 1): construction WIP (AS 7), service-provider WIP, shares/debentures/financial instruments held as stock, producers' livestock/agri/forest/mineral stocks measured at NRV per industry practice.

Cost of inventories (para 6) = Purchase + Conversion + Other costs to reach present location/condition.

- **Costs of purchase (para 7):** price + non-recoverable duties/taxes + freight inward + directly attributable costs − **trade discounts/rebates**. Recoverable taxes (input GST) **excluded**; duty drawback/recoverable duties excluded.
- **Costs of conversion (para 8–11):** direct labour + variable production OH (on **actual** usage) + fixed production OH (at **normal capacity**).
- **Cash discount** (prompt payment) = financing item, **NOT** deducted from cost.

Excluded from cost (para 13) — period expense: abnormal waste; storage (unless needed before a further production stage); non-production admin OH; selling & distribution costs; recoverable taxes; **interest/borrowing cost** (except **qualifying asset** needing substantial time to get ready — AS 16).

Master test: did the cost bring goods to present location and condition ready for sale? Yes → in; No → out.

Normal-capacity rule for fixed OH:

- Actual output < normal → absorb at normal-capacity rate; unabsorbed balance → period expense.
- Actual output > normal → absorb at **actual** (lower per-unit rate).
- Ceiling: fixed OH/unit ≤ (fixed OH ÷ normal capacity) — take the *lower* of ÷normal and ÷actual.

Cost formulas (para 14–16): Specific identification (non-interchangeable / segregated for a project — **banned for interchangeable goods**); **FIFO**; **Weighted Average** (periodic or moving/perpetual). **LIFO banned.** Same formula for similar items, applied consistently (a change = change in *policy*).

NRV below cost when (para 21): damaged, obsolete, selling price declined, or completion/selling costs increased.

- **Firm sales contract split (para 23):** contracted units at **contract price**, surplus units at **market NRV** — never one blended figure.
- **Raw materials (para 24):** NOT written below cost if **finished goods** sell at/above cost; only if finished product will sell below cost → write down, NRV ≈ replacement cost.
- **Item by item (para 22):** default; grouping only for similar/related items (same product line, similar use, same geographic area) — never whole classification/segment.

Approximation techniques (para 18): Standard cost (if regularly reviewed); Retail method — **Cost = Retail selling value × (1 − gross margin %)**.

Reversal: if NRV recovers, reverse earlier write-down — **only up to original cost**, never above.

Journal entries

Bringing in closing stock: Closing Stock A/c (Current Asset) Dr — To Trading A/c (or COGS)

Write-down when NRV < Cost: Profit and Loss A/c Dr — To Inventory / Provision for inventory write-down A/c

Worked mini-example

Item-by-item vs lumped: A cost ₹1,00,000 / NRV ₹90,000; B cost ₹80,000 / NRV ₹85,000; C cost ₹60,000 / NRV ₹40,000.

- Correct (item by item) = 90,000 + 80,000 + 40,000 = **₹2,10,000**.
- Wrong (totals) = lower of 2,40,000 and 2,15,000 = ₹2,15,000. Difference ₹5,000 = disallowed unrealised gain on B.

Normal capacity: normal cap 10,000 units, fixed OH ₹5,00,000, produced 5,000. Fixed OH/unit = 5,00,000 ÷ 10,000 = ₹50. Cost/unit = 40+30+10+50 = ₹130; NRV ₹150 → carry ₹130. Unabsorbed fixed OH = ₹2,50,000 → P&L. Closing stock = 5,000 × 130 = **₹6,50,000**.

Disclosures (para 26)

- Accounting policy for measuring inventories, **including the cost formula used** (FIFO / WA / specific identification).
- Total carrying amount, classified appropriately (raw materials, WIP, finished goods, stores & spares, stock-in-trade, etc.).
- Presented under **Current Assets — Inventories**.

Exam traps & must-remember

- Apply lower of cost/NRV **item by item**, never whole-stock lump (top trap).
- Never write inventory up above cost.
- NRV ≠ market/replacement cost; it is net of completion + selling costs.
- Selling costs: **excluded from cost** but **subtracted in NRV** — same cost, opposite side.
- Recoverable taxes excluded; only non-recoverable duties in cost.
- Trade discount reduces cost; cash discount does not.
- Abnormal loss = period loss, never in inventory value.
- Normal capacity is a *ceiling*; if output > normal use actual.
- Raw materials judged by **finished product's** fate, not their own price.
- Firm sales contract forces a split; reversal capped at original cost.
- Ownership before valuation: goods in transit / consignment / sale-or-return — fix quantity first (consignment stock stays consignor's).
- LIFO banned; specific identification banned for interchangeable goods.

One-line recall

- Core rule: **lower of Cost and NRV, item by item.**
- Cost = purchase + conversion + other-to-condition; out = abnormal waste, storage-after-completion, selling, non-production admin, recoverable taxes, ordinary interest.
- Fixed OH at **normal capacity** (ceiling); variable OH on actual.
- FIFO / WA / specific ID allowed; **LIFO banned**.
- NRV = selling price − cost to complete − cost to sell.
- Disclose the **cost formula**; write-down reverses only up to original cost.

Chapter 04 — AS 10: Property, Plant & Equipment (and why depreciation exists)

Snapshot

- **AS 10 (revised)** governs tangible items **held for use** in production, supply, rental to others, or administration, **expected to be used for more than one period** — plus how to depreciate them.
- **Scope excludes:** inventory (AS 2), biological assets, assets held for sale. **Bearer plants** (tea bush, rubber tree) are within PPE; the produce on them is not.
- It bites the moment you ask: *what was sacrificed to get the asset ready, and how much have I consumed?* — cost build-up, depreciation, componentisation, revaluation, disposal.

Core concepts

- **PPE** — tangible items held for use, used for > 1 period (not for resale).
- **Cost** — everything to bring the asset to the location and condition necessary for its intended use.
- **Depreciation** — systematic **allocation** of an asset's cost over the years it is used (matching cost to benefit). It is **allocation, not valuation** — not "fall in market value."
- **Depreciable amount** = **Cost (or revalued amount) − Residual value**.
- **Useful life** — the period/units the *entity* expects to use it = the **shortest** of physical, technological, commercial and legal life. Capped by obsolescence, expiry of legal right (lease/licence/patent), or the entity's disposal policy.
- **Residual value** — net amount receivable at end of life if already that old/worn, net of disposal costs. Often taken as **nil** (immaterial) — but **use it if the question gives it** (material for vehicles/aircraft).
- **Carrying amount** — cost (or revalued amount) − accumulated depreciation − accumulated impairment.
- **Three verbs — every rupee is: Capitalise** (into asset), **Consume** (out via depreciation), or **Correct** (impairment down / revaluation up-down / disposal gain-loss).

Recognition / Measurement / Provisions

Recognition

Capitalise when **both**: (1) probable **future economic benefits** flow to entity, **and** (2) cost **measured reliably**.

- **Spare parts / servicing equipment** — usually inventory (expensed on use); but **major spares & stand-by equipment** = PPE if used > 1 period.
- **Safety / environmental assets** (e.g., effluent-treatment plant) — capitalised even with no direct benefit, because they enable benefits from *other* assets.

What goes INTO cost

Purchase price (net of trade discounts & rebates) **+** import duties & **non-refundable** taxes **+** all **directly attributable** costs (site prep, delivery & handling, installation & assembly, professional fees, testing **net of** sale proceeds of test output) **+** **initial estimate of dismantling, removal & site restoration** (where present obligation exists; mirror of an AS 29 provision).

"Directly attributable" two-test: cost enters only if (1) **necessary** to get *this* asset to working condition/location AND (2) it stops when the asset is **capable** of operating as management intends.

What is EXCLUDED (period expense / not in cost)

- Refundable taxes (GST/CENVAT credit).
- Normal repairs & maintenance, staff training, opening-a-new-facility costs, admin & general overheads, initial operating losses.
- Costs after asset is **capable** of operating but before actual use / planned capacity (idle-wait costs).
- **Abnormal** costs — wasted material, idle labour in strike, rectifying installation errors.
- Relocating/reorganising an asset already in use.
- **Incidental income** from unrelated activity during construction (e.g., site as car park) → P&L, **not** netted. Only **testing output** proceeds are netted.

- **Self-constructed:** production cost per AS 2; **eliminate internal profit**; exclude abnormal wastage.
- **Deferred payment** beyond normal credit: capitalise **cash-price equivalent**; excess = interest expensed over credit period (or capitalised under AS 16 if qualifying asset).
- **Borrowing costs:** capitalised only for a **qualifying asset** (AS 16).

Exchange of assets (barter)

Record at **fair value of asset given up** (or of asset received if clearer) — recognise gain/loss. **Unless** exchange **lacks commercial substance** OR fair value not reliably measurable → record at **carrying amount of asset given up** (no gain/loss).

Subsequent costs

- Day-to-day servicing → expense.
- Capitalise only if recognition test met: **replacement of a major component** (derecognise carrying amount of old component — estimate from replacement cost if never separately invoiced) or **major inspection/overhaul** that is a condition of continuing operation (derecognise any remaining carrying amount of previous inspection).

Componentisation

Major part with **different life** and cost **significant to total** (e.g., aircraft engine 5 yrs inside body 15 yrs) → depreciate **separately**.

Measurement after recognition — choose per CLASS

Model	Carrying amount
Cost model	Cost − accumulated depreciation − accumulated impairment
Revaluation model	Fair value at revaluation date − subsequent accumulated depreciation − subsequent impairment

Depreciation rules

- **Depreciable amount = Cost/revalued − Residual**, allocated **systematically over useful life**.
- **Begins** when asset is **available for use**; continues to derecognition. Does **not** stop merely because idle (may stop under usage method when no production).
- **Land** — unlimited life, **not depreciated** (building on it is); depreciate if quarry/limited life/restoration obligation.
- Depreciation **continues** on revalued/impaired asset — on revised base over remaining life.
- **Fully depreciated & still in use:** stop at residual/nil — cannot depreciate below residual; keep at residual until disposal.
- **Review** residual, useful life & method **at least each financial year-end**. Difference from prior estimate = **change in accounting estimate (AS 5) → prospective**, never restate past.
- **Change of method** = also a **change in estimate → prospective** (revised AS 10). *Old AS 6 was retrospective — do not use.*

Depreciation methods

Method	Formula	Use when
SLM	(Cost − Residual) ÷ Useful life → flat	Steady equal benefit (building, furniture); lands **exactly** on residual
WDV / reducing balance	Fixed % × opening carrying amount → falling	Front-loaded benefit / rising repairs (machinery, vehicles); only **approaches** residual, needs **non-nil** residual
Units of production	(Depreciable amount ÷ total units) × units produced	Wear tracks usage, not time

- Theoretical WDV rate: **r = 1 − (Residual / Cost)^(1/n)** — explodes if residual = nil (why WDV needs a notional scrap).
- **Revenue-based depreciation is BANNED** ("in proportion to sales" always wrong) — fails "reflect consumption of benefits."

Revaluation accounting (exact)

- **Increase** → credit **Revaluation Reserve** (Other Equity). But if it reverses a decrease previously charged to P&L for the **same asset**, credit **P&L first** to that extent.

- **Decrease** → charge **P&L**. But if a Revaluation Reserve exists for the **same asset**, **debit reserve first**, then P&L for excess.
- Accumulated depreciation on revaluation: either **restated proportionately** with gross carrying amount OR **eliminated** against gross (net restated to fair value) — both permitted, same carrying amount.
- Revaluation surplus may **optionally** be transferred to **retained earnings as the asset is used** (the extra depreciation from revaluing) — **never through P&L**.
- Revalue the **whole class**, kept current with sufficient regularity (no cherry-picking).

Derecognition / disposal

- On disposal: **Proceeds − Carrying amount = profit/loss on disposal** in P&L (**not revenue**).
- Any Revaluation Reserve balance for that asset → transferred **directly to retained earnings**, **never through P&L** (already recognised in equity; routing through P&L would double-count).

Depreciation vs impairment (AS 28)

Depreciation = planned, smooth consumption from *ordinary ageing*. Impairment = sudden, event-driven correction when **recoverable amount < carrying amount** (fire, tech shift, demand collapse). Still depreciate an impaired asset over revised carrying amount/life.

Key journal entries

Charge depreciation (provision method):

- `Depreciation A/c Dr → To Accumulated Depreciation A/c`
- `Profit & Loss A/c Dr → To Depreciation A/c`
- *(Direct method: credit depreciation straight to Asset A/c — same carrying amount & disposal result.)*

Disposal (via Asset Disposal A/c):

- `Asset Disposal A/c Dr (cost) → To Asset A/c`
- `Accumulated Depreciation A/c Dr → To Asset Disposal A/c`
- `Bank A/c Dr (proceeds) → To Asset Disposal A/c`
- Balancing figure → profit (credit) or loss (debit) to P&L.

Revaluation increase: `Asset A/c Dr → To Revaluation Reserve` **Revaluation decrease (with prior surplus):** `Revaluation Reserve Dr; Profit & Loss A/c Dr (excess) → To Asset A/c`

Worked mini-example

Cost build-up + SLM (Example 2). List price ₹8,00,000; trade discount 5%; GST ₹1,44,000 (fully refundable); freight ₹20,000; installation ₹30,000; test run ₹10,000 less test output ₹4,000; staff training ₹15,000; first-year AMC ₹12,000. Life 8 yrs, residual ₹50,000, SLM.

Item	₹	In cost?
List price	8,00,000	Yes
Less trade discount 5%	(40,000)	Reduces cost
GST (refundable)	—	No
Freight	20,000	Yes
Installation	30,000	Yes
Test run 10,000 − output 4,000	6,000	Yes (net testing)
Staff training	—	No (period)
AMC year 1	—	No (routine)
Capitalised cost	**8,16,000**	

Annual depreciation (SLM) = (8,16,000 − 50,000) ÷ 8 = 7,66,000 ÷ 8 = **₹95,750**. *Check:* 8 × 95,750 = 7,66,000 accumulated → carrying amount 8,16,000 − 7,66,000 = **₹50,000 = residual. ✓**

Downward revaluation reversal (Example 6). Land at cost ₹40,00,000, revaluation model.

- 31 Mar 2024 FV ↑ to ₹52,00,000 → increase ₹12,00,000 to Reserve. `Land Dr 12,00,000 → Revaluation Reserve 12,00,000`.
- 31 Mar 2025 FV ↓ to ₹36,00,000 → decrease ₹16,00,000. Debit reserve ₹12,00,000 first, then P&L ₹4,00,000. `Revaluation Reserve Dr 12,00,000; P&L Dr 4,00,000 → Land 16,00,000`. Only the ₹4,00,000 fall *below cost* hits P&L. ✓

Disclosures

For **each class** of PPE:

- Measurement bases; depreciation methods; useful lives or rates.
- Gross carrying amount and accumulated depreciation (with impairment) at **beginning and end**.
- **Reconciliation of movements**: additions, disposals, revaluations, impairments, depreciation.
- Restrictions on title; assets **pledged as security**; contractual **capital commitments**.
- If **revalued**: effective date, whether an **independent valuer** was involved, and the revaluation surplus (sits in **Other Equity → Revaluation Reserve**, never P&L).

Presentation: Balance Sheet **Non-current Assets → Property, Plant and Equipment** (Schedule III) at cost/revalued amount **less accumulated depreciation & impairment**. Depreciation = expense in Statement of P&L (or capitalised into another asset, e.g., inventory/factory-machine depreciation into overhead). Net block closing = Gross block closing − Acc. dep. closing.

Exam traps & must-remember

- Depreciation ≠ fall in market value — it is allocation of cost; charged **every year of use, in loss years too, even if market price rose**.
- Spread only **Cost − Residual**; never depreciate the residual; **don't ignore a residual the question gives**.
- **Mid-year purchase/sale → time-apportion** for months held, unless a full-year convention is stated. (WDV part-year: apply rate then time-apportion.)
- **Land not depreciated** (unless quarry/restoration).
- Change in useful life / residual / **method** = change in **estimate → prospective**; never restate past (old AS 6 method-change was retrospective — obsolete).
- Don't capitalise routine repairs, training, initial operating losses, idle-period costs after **capability**, abnormal wastage, installation-error rectification, relocation.
- Don't net unrelated incidental income against cost — only **test-run output** is netted; car-park income → P&L.
- Add only **non-refundable** taxes to cost.
- Deferred payment → only **cash-price equivalent**; excess = interest.
- Exchange with commercial substance & known fair value → use **fair value of asset given up** (not book value).
- **Revaluation surplus → Revaluation Reserve** (equity, unrealised); on realisation → **retained earnings, never P&L**; disposal gain is a **separate P&L line, not turnover**.
- Downward revaluation → **debit reserve of same asset first**, then P&L for excess (reverse order for reversals).
- Revalue by **whole class**, kept current (no cherry-picking).
- Don't stop depreciation for a temporarily **idle** asset (time-based methods).
- Don't depreciate **below residual** just because still in use.
- **Major spares/stand-by = PPE**; safety/environmental assets **are capitalised**.
- Book depreciation ≠ Income-tax block-of-assets WDV — computed independently. Companies: useful lives guided by **Schedule II, Companies Act 2013**; AS 10 governs the principle.

One-line recall

- Depreciation = **allocation of cost, not valuation** — satisfies matching + prudence.
- Every rupee is **capitalised, consumed, or corrected**.
- Depreciable amount = **Cost − Residual**, over **useful life = shortest of physical/technological/commercial/legal**.
- Method mirrors benefit: **SLM** (steady, lands on residual), **WDV** (front-loaded, needs non-nil residual), **units-of-production**; **revenue-based banned**.
- Cost = ready-for-**intended-use** spend, cut off at **capability** to operate; deferred payment = cash-price equivalent; exchange = fair value of asset given up.
- Changes in life/residual/method = **AS 5 prospective**; revaluation gain → **Reserve**; disposal → **profit/loss, not revenue**.

AS 3 — Cash Flow Statements

Snapshot

The "third statement" that bridges accrual profit (P&L) to the change in cash (Balance Sheet). Classifies every cash movement by the activity that caused it — **Operating, Investing, Financing** — so users see whether the core business is self-funding. Profit is opinion; cash is fact.

Core concepts

- **Cash** = cash on hand + demand deposits. **Cash equivalents** = short-term, highly liquid investments, readily convertible to known cash, insignificant risk — **maturity ≤ 3 months from acquisition**. Equity normally excluded (except redeemable pref shares near redemption).
- **Bank overdraft** repayable on demand and integral to cash management → **negative cash equivalent** (netted); a perpetually-drawn loan/cash credit → **financing**.
- Movements **within** the cash pool (cash ↔ cash equivalents) are **NOT cash flows**.
- Diagnostic signs: healthy mature = +Op, −Inv, −Fin; growth = +Op, −Inv, +Fin; **distress = −Op, +Inv, +Fin** (bleeding cash, propped by asset sales + fresh debt).

Key provisions / rules

Three activities:

- **Operating** = principal revenue-producing activities + residual (everything not investing/financing); includes income tax (default).
- **Investing** = acquisition/disposal of long-term assets and non-cash-equivalent investments; proceeds shown **gross**.
- **Financing** = changes in size/composition of owners' capital and borrowings; shown **gross** (don't net a ₹1,00,000 redemption against a ₹2,00,000 issue).

Interest & dividends (nature of enterprise):

Item	Financial enterprise	Other (exam default)
Interest paid	Operating	**Financing**
Interest received	Operating	**Investing**
Dividend received	Operating	**Investing**
Dividend paid	**Financing**	**Financing**

- Interest capitalised into a qualifying asset (AS 16) → part of **investing** outflow, not financing.
- **Income tax** → operating (default), single line, disclosed separately; unless specifically identifiable with investing/financing.
- **Extraordinary items** → classified by nature, disclosed separately.
- **Foreign-currency** cash flows at rate on date of flow; unrealised revaluation of FC cash balances is **not a cash flow** but shown as a separate reconciling line ("effect of exchange-rate changes on cash held").
- **Non-cash transactions** (asset via share issue, finance lease, debenture conversion, bonus issue) → **excluded**, disclosed by note.
- **Acquisition/disposal of business units** → net of cash acquired/disposed, single line in investing.
- Report **gross** generally; net only in narrow cases (quick turnover, large amounts, short maturity — e.g. bank deposit churn).

Two operating methods: Direct (gross receipts/payments) or Indirect (from net profit before tax & extraordinary items). Investing/financing always gross.

Indirect method logic: start at net profit before tax; (1) add back non-cash (depreciation, amortisation, provisions, w/o); (2) relocate non-operating (add interest expense/loss on sale; subtract interest & dividend income/profit on sale); (3) working capital: **increase in current asset → subtract; increase in current liability → add** (reverse for decreases); then less tax paid.

Ledger reconstructions:

- Tax paid = Opening provision + P&L charge − Closing provision (adjust advance tax/refund).
- Depreciation = Closing acc. dep + dep on asset sold − Opening acc. dep.
- Asset purchases (gross) = Closing cost − Opening cost + cost of asset sold (deduct capital creditors/revaluation).
- Net profit before tax = ΔSurplus + transfer to reserves + dividend paid + tax charge.

Direct-method identities:

- Cash from customers = Sales + Opening debtors − Closing debtors (− bad debts).
- Cash to suppliers = COGS + Increase in inventory − Increase in creditors.

Worked mini-example

Net profit before tax ₹5,00,000; depreciation ₹80,000; debtors +₹1,20,000; inventory −₹40,000; creditors +₹40,000. Operating = 5,00,000 + 80,000 − 1,20,000 + 40,000 + 40,000 = **₹5,40,000**.

Asset sold: cost 1,00,000, acc. dep 40,000 → NBV 60,000, sold ₹75,000 → profit ₹15,000. In operating **subtract ₹15,000**; in investing show full **proceeds ₹75,000**.

Disclosures

- Components of cash & cash equivalents + **reconciliation** to Balance Sheet items.
- Policy for determining cash equivalents.
- Interest & dividends (received and paid) each separately, classified consistently.
- Income taxes paid separately; extraordinary items separately; non-cash transactions in note; restricted/unavailable balances with commentary.
- Format order: Operating (A), Investing (B), Financing (C), net change, [exchange-rate effect], opening cash → closing cash. Outflows in brackets; sub-totals labelled.
- **Applicability:** mandatory under Companies Act **except** One Person Companies, small companies, dormant companies (confirm current thresholds).

Exam traps & must-remember

- Interest paid: **financing** (non-financial) AND added back in operating — appears twice, opposite directions, correct.
- **Proposed dividend** (AS 4 revised) not a liability till approved → only **dividend actually paid** is a cash flow (last year's proposed, paid this year, IS this year's outflow).
- Cash flow on asset sale = **proceeds** (investing), not the gain.
- Show gross; don't net issues against redemptions.
- **Bonus issue / debenture conversion / shares for assets** = no cash → excluded.
- Working-capital sign errors: more stock/debtors ties up cash (subtract).
- Movement within cash pool ≠ cash flow.
- **Capital creditors** and **interest accrued on borrowings** masquerade as current liabilities — exclude from trade-payables movement.
- Revaluation of assets = non-cash; strip before computing additions.
- Forgetting the exchange-rate reconciling line when FC cash held.
- **Always tie out:** Opening cash + (A+B+C) + exchange effect = Closing cash = Balance Sheet cash. If not, an item is missing/misclassified.

One-line recall

- Cash equivalents: ≤ 3 months from acquisition, insignificant risk.
- Three activities: Operating (self-funding?), Investing (growing/shrinking?), Financing (who funds it?).
- Non-financial: interest paid → financing, interest/dividend received → investing, dividend paid → financing.
- Indirect: add non-cash, relocate non-operating, adjust working capital.
- Proceeds (not gain) in investing; interest by nature of enterprise.
- Reconciliation to Balance Sheet cash = the integrity check; exchange-rate line is part of it.

AS 4 — Contingencies & Events After the Balance Sheet Date

Snapshot

Governs the window between the **balance sheet date** and the **date accounts are approved by the Board**. Decides which post-year-end events change the numbers (adjusting) and which are only disclosed (non-adjusting). Contingencies now migrated to **AS 29**; AS 4 retains events-after-date, proposed dividend, going concern.

Core concepts

- **Governing test:** the balance sheet must be true about **conditions existing on the balance sheet date**; later information sharpens that truth but never rewrites history for genuinely new events.
- Separate the **event** (always after year-end) from the **condition** it evidences. Condition existed at year-end → **adjust**. New condition → **don't adjust; disclose if material**.
- **Two anchor dates:** balance sheet date → **Board approval date** (window closes here). AGM and issue date are **decoys**.
- Events after approval date → **outside AS 4** entirely (next-year event).
- Events count **both** favourable and unfavourable.

Key provisions / rules

Adjusting events (evidence of a condition existing at year-end → change recognised amounts):

- Debtor insolvency where financial condition was already impaired at year-end → write down receivable.
- Inventory sold after year-end below cost → evidence of NRV at year-end → write down (AS 2 link).
- Court case settled after year-end confirming a **present obligation** existing at year-end → adjust liability.
- Discovery of fraud or error showing statements were wrong.
- Final determination of purchase/sale price of assets bought/sold before year-end; rebate on prior-year purchases.
- Permanent (other-than-temporary) diminution in investment rooted in a year-end condition (AS 13).

Non-adjusting events (new condition arising after year-end → disclose if material):

- Fire/flood/calamity destroying assets after year-end.
- Ordinary fall in market value of investments after year-end.
- Fresh litigation started after year-end; major purchase/disposal of business after year-end.
- Guarantee invoked due to a **new** post-year-end default.

Going concern override: any post-year-end event that destroys the going concern assumption (whole entity or material part) **forces adjustment of the whole basis** even though the event is "new" — because the foundation of the statements is gone. Then: (1) restate assets at net realisable/break-up value; (2) reclassify non-current as current; (3) provide for winding-up costs (retrenchment, lease-termination penalty, legal/liquidation); (4) disclose prominently the basis and reasons.

Proposed dividend (current AS 4 — most-tested): recommended by Board after year-end → **no present obligation at year-end → NOT provided as a liability**; treated as **non-adjusting, disclosed in notes**; recognised only when shareholders approve. (Old regime: provided as liability — follow only if question explicitly says so.)

- **Interim dividend** already declared by Board during/before year-end → **is a present obligation → recognise**.
- Dividend income (as investor) merely recommended by investee after year-end → not accrued.

Falling investment values: default **non-adjusting**; flips to adjusting only if fall evidences a **permanent diminution rooted in a year-end condition**.

Journal entries

Adjusting event — receivable written off (year-end):

- Bad Debts A/c Dr — To Sundry Debtors A/c
- Profit & Loss A/c Dr — To Bad Debts A/c

Proposed dividend (current) — no year-end entry; on shareholder approval:

- Retained Earnings / P&L Appropriation A/c Dr — To Dividend Payable A/c

Worked mini-example

Two debtors: P (₹6,00,000, solvent at 31 Mar, factory burnt down 12 May) and Q (₹4,00,000, already collapsed Feb, liquidation confirmed 20 Apr).

- **P → non-adjusting** (new-year cause); keep full receivable, disclose in notes.
- **Q → adjusting** (condition existed at year-end); write off ₹4,00,000. Net receivables = 80,00,000 − 4,00,000 = **₹76,00,000**.

Disclosures

- Adjusting events → baked into the primary statements (adjusted figures); no separate line.
- Material non-adjusting events → in Board's/Directors' Report and/or Notes: **(1) nature of event; (2) estimate of financial effect, OR statement that estimate cannot be made** (use the escape valve only when genuinely unquantifiable).
- Going concern inappropriate → disclose the fact, the basis (realisable/break-up), and reasons prominently.
- Answer structure: classify → one-line reason (condition at year-end? / going concern? / present obligation?) → treatment + amount. The **reason earns the marks**.

Exam traps & must-remember

- "When did you find out" decoy — ask when the **condition** arose, not when discovered.
- Two near-identical debtor cases: solvent-then-collapsed (NA) vs already-collapsed (A) — discriminator is timing of the condition.
- Proposed dividend: **do NOT provide; disclose** (current). State the reason (no present obligation).
- Don't miss the **going concern override** (a catastrophic new event isn't "just a note" if it kills going concern).
- Event after **approval date** → no AS 4 treatment; AGM date is a decoy.
- **Contingent gains never recognised** (only disclose if virtually certain); "we'll probably win" is not enough.
- Non-adjusting ≠ ignore — material ones must be disclosed.
- Tax assessment finalised & **accepted** → adjusting (provide); genuinely disputed with intent to appeal → contingent liability (AS 29).
- Interim (declared) vs proposed (recommended) dividend — opposite treatments.
- Ordinary investment price fall → non-adjusting unless permanent diminution rooted in year-end condition.
- "Approval" (Board) closes the window, not "adoption" (AGM) or issue.
- Going concern can fail for a **material part** only — restate that part's basis.

Contingencies handover (AS 4 → AS 29)

- Contingent **loss** → provision (recognise) if **probable + reliably estimable**; if only possible → **disclose** as contingent liability; if remote → ignore.
- Contingent **gain / asset** → **never recognise**; disclose only when realisation virtually/reasonably certain.
- AS 4 survivor: an after-date event fixing the amount of a **year-end obligation** stays an AS 4 adjusting event.

One-line recall

- Window: balance sheet date → **Board approval** (AGM/issue are decoys).
- Adjusting = evidence of an **old** condition; non-adjusting = a **new** condition → disclose.
- Going concern death → **restate the whole basis** (overrides the rule).

- Proposed dividend: not a liability at year-end → disclose; interim dividend declared → recognise.
- Prudence asymmetry: probable losses recognised; probable gains not.
- Contingencies → AS 29 (events → Ind AS 10; contingencies → Ind AS 37).

AS 5 — Net Profit/Loss for the Period, Prior Period Items & Changes in Accounting Policies

Snapshot

A **presentation & disclosure** standard (not recognition/measurement — that's for AS 9, AS 2, AS 10 etc.). Keeps *everything* in net profit (nothing hides in reserves) but forces noisy items to be **labelled and separated** so a reader can rebuild the "clean" recurring number and keep the time series comparable.

Core concepts

- Two axes classify everything: **WHEN it belongs** (past / present / future) and **WHY it's unusual** (real event vs measurement/method change).
- **Net profit or loss = Profit/loss from ordinary activities + Extraordinary items.** All income/expense flows *through* profit (anti-reserve-accounting). Legitimate reserve items (e.g. revaluation surplus) are **not income/expense** at all, so outside AS 5's scope.
- Triad for the back half: **Error → disclose (prior period); Estimate → look forward (prospective); Policy → quantify the impact.**

Key provisions / rules

Ordinary activities: business + related/incidental/arising activities. Very **wide** — the default; extraordinary must actively earn its label.

Extraordinary items — both tests: (a) **clearly distinct from ordinary activities** AND (b) **not expected to recur**. Examples: flood/earthquake/fire loss, government expropriation/confiscation. Judged relative to *this* entity (flood loss = ordinary for a flood-insurer). Shown as a **separate block after profit from ordinary activities**; nature & amount disclosed so impact perceivable. A huge *ordinary* loss (big bad debt) is not extraordinary — size ⇒ exceptional, never extraordinary. Recovery of an extraordinary loss is itself extraordinary.

Exceptional items — ordinary in nature but large/unusual, disclosed for size/nature/incidence, **within** ordinary profit. AS 5 list of circumstances (W-R-F-I-L-L-R): inventory **W**rite-down to NRV (& reversal); **R**estructuring & reversal of its provisions; disposals of **F**ixed assets; disposals of long-term **I**nvestments; **L**egislative changes with retrospective application; **L**itigation settlements; other **R**eversals of provisions. (The label "Exceptional items" as a P&L line comes from **Schedule III**, Companies Act.)

Prior period items — income/expense arising in the current period from **errors or omissions** in prior-year statements. Included in **current** net profit but **disclosed separately** (impact perceivable). *Material* items trigger the machinery. NOT restated back under AS (contrast Ind AS 8). Can be an ordinary transaction (timing axis, not nature).

- NOT a prior period item: estimate-vs-actual difference; reversal of an old provision; retrospective wage/tax that crystallised now (no earlier error); litigation/refund from a current event.

Change in accounting estimate — honest re-guess of the future (useful life, residual value, doubtful debts, warranty, NRV, obsolescence). **Prospective**: effect in period of change (if affects that period only) OR period of change + future periods (if it re-spreads a balance). Same classification/line as before. **Never** an extraordinary or prior period item. Depreciation-**method** change (SLM ↔ WDV) is treated as an **estimate** change under revised AS 10 (prospective, no retrospective recompute).

Change in accounting policy — the method/principle changed (FIFO ↔ WA cost formula; cost ↔ revaluation basis). Allowed **only if**: (1) required by statute, (2) required by an AS, or (3) results in **more appropriate presentation** (a genuine bar — truer/fairer, not merely higher profit). Recognise in **current** period + **disclose the amount of impact** (no AS retrospective restatement). NOT a policy change: first-time adoption of a policy for a new/previously-immaterial transaction.

Ambiguous policy vs estimate → treat as ESTIMATE (prospective, humbler default).

Journal entries / mechanics

- Estimate change (revised life, SLM): Revised annual depreciation = **(Carrying amount at date of change − revised residual) ÷ remaining useful life**.
- Method switch to WDV: apply new rate to **carrying amount at date of change**, prospectively.
- Policy-change profit impact (FIFO↔WA): **Effect on profit = Δ closing inventory − Δ opening inventory** (higher opening stock lowers profit via higher COGS).

Worked mini-example

Machine ₹50,00,000, life 10 yrs, SLM, nil residual. After 3 yrs revise total life to 8 yrs. SLM = 5,00,000/yr; charged 3×5,00,000 = 15,00,000; carrying amount = ₹35,00,000. Remaining life = 5 yrs. Revised dep = 35,00,000 ÷ 5 = **₹7,00,000/yr** (prospective; no restatement). Check: 15,00,000 + 5×7,00,000 = ₹50,00,000. ✓

Disclosures

Situation	Disclosure
Extraordinary item	Nature & amount, on face of P&L, impact perceivable
Exceptional item	Nature & amount, separately (within ordinary profit)
Prior period item	Nature & amount, separately, impact perceivable
Change in estimate	Nature & amount if material now/later; if impracticable to quantify, state the fact
Change in policy	Fact of change + **amount of impact** (or "not ascertainable"); if no current but future material effect, disclose fact now

Statement order (strip upward to recurring base): ordinary (incl. exceptional) → less prior period items → profit before extraordinary → less extraordinary → net profit. Exceptional & extraordinary shown **before** the single tax line (Schedule III).

Exam traps & must-remember

- "Rare = extraordinary" — false; need *distinct from ordinary* too.
- Classify relative to the specific entity's business.
- **Estimate-vs-actual gap = change in estimate, NOT prior period item** (top trap).
- Depreciation-method change = **estimate** (prospective, AS 10); inventory cost-formula change = **policy**. Don't cross wires.
- Never route an operating loss to reserves; but genuine revaluation surplus (not income) legitimately goes to reserve.
- Extraordinary vs exceptional: PPE sale, write-down, restructuring, litigation = exceptional (ordinary), not extraordinary.
- Policy change needs a valid trigger; a switch "to boost profit" is invalid.
- Policy-change disclosure must include the **rupee amount** (or "not ascertainable"), not just narrative.
- Under AS you disclose in current period; **Ind AS 8 restates** the past.
- Ambiguous policy/estimate → default **estimate**.
- "Relates to an old year" ≠ prior period item unless the earlier accounts were **erroneous**.
- Policy-change sum: use **Δclosing − Δopening**, not Δclosing alone.
- Prior period item = timing axis; extraordinary = nature axis — never collapse them.
- First-time adoption of a policy is not a "change."

Ind AS 8 contrast

Item	AS 5	Ind AS 8
Extraordinary items	Category exists	**Abolished**
Prior period errors	Current period, disclose	Retrospective restatement
Change in policy	Current period, disclose amount	Retrospective (comparatives + opening RE)
Change in estimate	Prospective	Prospective (same)

One-line recall

- Net profit = ordinary + extraordinary; nothing hides in reserves.
- Extraordinary = distinct from ordinary AND non-recurring → separate block after ordinary profit.
- Exceptional = ordinary but large → disclose within ordinary profit.
- Prior period item = **error/omission** of a past year → current profit, separate disclosure.
- Estimate change → prospective; policy change → disclose amount; ambiguous → estimate.
- Depreciation method change = estimate; inventory cost formula change = policy.

Chapter 08 — AS 7: Construction Contracts

Snapshot

- Governs the **contractor's** accounting for contracts that straddle **more than one accounting period** (bridge, dam, ship, building, pipeline, refinery), plus services directly related to construction and demolition/restoration.
- Core: recognise revenue, cost and profit **as you build** (Percentage-of-Completion Method, POCM) — matching activity to reporting periods. Completed-contract method is **NOT permitted**.
- Applies to an asset built **to a customer's specification** under a specifically negotiated contract.

Core concepts

- **Two pricing types:** Fixed price (cost-overrun risk on contractor) and Cost plus (reimbursed cost + margin/fee; risk on customer). Reliability gate differs for each.
- **POCM** = recognise cumulative profit = (stage % × total expected profit), then back out prior years. Rate of earning is smooth; rupees of work per year is uneven.
- **Prudence asymmetry:** profits gradually by stage; a **foreseeable loss is booked in full, immediately**, whatever the stage.
- Estimate revisions = **change in accounting estimate (AS 5) → prospective**, never restate prior years.

Key provisions / rules

Accounting unit — combine / segment (decide FIRST)

- **Segment** one contract into each asset when ALL: (i) separate proposals per asset, (ii) each separately negotiated & acceptable/rejectable, (iii) costs & revenues of each identifiable.
- **Combine** several contracts as one when ALL: (i) negotiated as single package, (ii) so interrelated they are one project with an overall margin, (iii) performed concurrently/continuously.
- **Additional asset** = separate contract if EITHER significantly different in design/technology/function OR priced without regard to the original price.
- Why it matters: **loss test (Rule C) is per unit.** Combined → loss on one leg offsets profit on other. Separate → loss provided in full, NO offset.

Contract revenue (measurement)

= Initial agreed amount **+ variations + claims + incentives** (each only if **probable + reliably measurable**) **− probable penalties/liquidated damages**.

- **Variation:** customer-instructed scope change; include when customer approval probable + measurable (can reduce revenue too).
- **Claim:** reimbursement contractor seeks; include only when negotiations advanced enough that acceptance is probable + measurable.
- **Incentive:** early-completion bonus; include when contract sufficiently advanced that meeting standard is probable + measurable.
- Updated every period (up or down); revisions = AS 5 prospective.

Contract costs (the cost base)

- **(1) Directly related:** site labour & supervision, materials used, depreciation of plant used on contract, moving plant/materials to & from site, plant hire, design directly related, estimated rectification/warranty, third-party claims. Directly-attributable income (sale of surplus material, plant disposal) **deducted**.
- **(2) Allocable general:** insurance, general design/technical, construction overheads — on **systematic & rational** basis at **normal level of activity**; borrowing costs if AS 16 met.
- **(3) Specifically chargeable to customer** per contract terms.
- **EXCLUDED (period costs):** non-reimbursable general admin, selling costs, unallocated R&D, depreciation of **idle** plant not used on contract.

- **Pre-contract (bid) costs:** capitalise only if separately identifiable + reliably measurable + winning contract probable. Once expensed, **never reinstated** (one-way ratchet).

Recognition — the three rules

- **Rule A — reliable estimate → full POCM.** Recognise revenue AND cost by stage.
    - *Fixed price gate (ALL):* total revenue measurable; economic benefits probable; cost-to-complete AND stage measurable; contract costs identifiable/measurable.
    - *Cost plus gate (BOTH):* benefits probable; costs identifiable & measurable.
- **Rule B — outcome NOT reliably estimable → zero-profit.** Revenue = **recoverable costs incurred**; costs expensed as incurred → **no profit** (irrecoverable cost → immediate loss). Switch to Rule A **prospectively** when uncertainty clears. If recovery not probable at all (void/litigated/condemned/insolvent) → revenue **nil**, all costs expensed.
- **Rule C — expected loss → book WHOLE loss immediately.** When total cost > total revenue, recognise full loss now, **irrespective of** stage, work commenced, or profit on other contracts. **Overrides A and B** (test C last, but it wins). Foreseeable loss = total estimated cost − total revenue.

Stage of completion

- **Cost-to-cost:** Stage % = Costs for work performed to date ÷ Total estimated costs.
    - EXCLUDE from costs-to-date: materials **delivered but not yet used**, **advances to subcontractors** for unperformed work. Keep numerator/denominator consistent.
- Also: surveys of work performed; completion of physical proportion (only if units comparable).
- **NEVER** use progress billings or cash received as the stage measure.

Mechanics each period

- Cumulative revenue = Stage % × Total contract revenue
- Current revenue = Cumulative revenue − revenue booked in prior periods
- Current expense = Stage % × Total cost − prior expense (= actual cost of work done in period)
- Current profit = current revenue − current expense
- Self-check: **cumulative profit must = Stage % × total expected profit** (profit years); **= full expected loss** the instant it turns loss-making.

Balance sheet (per contract, then aggregate — do NOT net one number)

- **Due FROM customer (asset)** = (Costs + Recognised profit − Recognised loss) − Progress billings, where positive (earned > billed).
- **Due TO customer (liability)** = Progress billings − (Costs + Recognised profit − Recognised loss), where positive (billed > earned).

Journal entries

```
Contract WIP A/c             Dr   To Bank / Payables       (costs incurred)
Contractee/Customer A/c      Dr   To Contract Revenue (P&L) (revenue by stage)
Contract Revenue A/c         Dr   To Contract Costs / To Contract P&L (match, book profit)
Expected Loss A/c            Dr   To Provision for Foreseeable Loss (full expected loss, Rule C)
```

Worked mini-example (Rule C — the loss override)

Fixed price ₹200 lakh. End Yr 1: cost incurred ₹90 lakh; total estimated cost now ₹230 lakh.

- Total cost 230 > revenue 200 → **loss ₹30 lakh**, Rule C triggered — whole loss hits Yr 1.
- Stage = 90 ÷ 230 = 39.13%; Revenue = 39.13% × 200 = ₹78.26 lakh.
- Cumulative P&L must show −30: Total expense = 78.26 + 30 = ₹108.26 lakh.
- Provision for future loss = 108.26 − 90 = **₹18.26 lakh**.
- P&L Yr 1: Revenue 78.26 − Cost 90 − Provision 18.26 = **Net loss 30.00**.
- Trap: weak answer books only 90 − 78.26 = 11.74 loss. AS 7 demands the full 30 now.

- If a **profitable** contract turns loss-making (Rule A → C), the current year must **reverse prior profit AND front-load the whole remaining loss** (cumulative = full expected loss).

Disclosures

- Contract revenue recognised in the period.
- Methods used to determine contract revenue recognised.
- Methods used to determine stage of completion.
- For contracts in progress: aggregate (costs incurred + recognised profits − recognised losses) to date; advances received; retentions.
- Present gross amount **due from** customers (asset) and **due to** customers (liability).
- Contingencies (AS 29): warranties, penalties, disputed claims.
- **Retention** = earned & billed but withheld till defect-liability lapses (asset). **Advance** = paid before work done (liability). Disclosed separately.

Exam traps & must-remember

- **Loss-override (most common):** check total cost vs total revenue BEFORE stage arithmetic; book entire foreseeable loss now.
- Never compute stage from billings or cash received — those only feed the due-from/to line.
- Exclude un-installed materials & subcontractor advances from cost-to-date numerator (they stay as WIP asset).
- Don't slip period costs (non-reimbursable admin, selling, unallocated R&D, idle-plant depreciation) into contract cost.
- Unapproved variation/claim → NOT revenue until probable + measurable.
- On new estimate, recompute cumulative on new figure, subtract prior — don't keep old percentage.
- Balance-sheet due-from/due-to computed **per contract**; aggregate positives and negatives separately.
- Completed-contract method is a distractor — not allowed.
- Rule B "no profit" can still show a loss if some cost is irrecoverable.
- Forgetting to reverse prior-year profit when contract turns loss-making loses marks.
- Missing a combine/segment decision changes the loss provision entirely.
- Delay penalty probable → reduce total revenue first (may flip into Rule C).
- Rule B → Rule A switch and all estimate revisions are **prospective** — never reopen a prior year.

One-line recall

- Earn as you build: POCM mandatory; completed-contract banned.
- Gradual profit, immediate full loss — Rule C overrides A and B.
- Stage % = work-performed cost ÷ total cost; exclude unused materials & advances; never use billings.
- Revenue = price + variations/claims/incentives (probable + measurable) − penalties.
- Fix the unit (combine/segment) before anything — it decides loss offset.
- Due from/to customer = (costs + profit − loss) − billings, per contract; earned vs billed.
- Estimate change = AS 5 prospective catch-up in current year.

Chapter 09 — AS 9: Revenue Recognition

Snapshot

- Answers **when** and **how much** revenue to book, for revenue arising in the **ordinary course of business** from: sale of goods, rendering of services, and use of enterprise resources yielding interest, royalties, dividends.
- Accrual-based: anchors income to the **earning (performance) moment** — not the order, not the cash.
- Excludes: construction contracts (AS 7), hire-purchase/lease, government grants (AS 12), insurance-company revenue, gains on fixed-asset disposal/forex.

Core concepts

- **Three-lock door:** recognise when (1) **performance done** + (2) **amount measurable** + (3) **collection reasonably certain**. Fail any lock → revenue waits.
- Master test for **goods** = transfer of **significant risks and rewards of ownership** (substance over legal title). "Significant" is a matter of degree — trivial retained risk (warranty) doesn't block; substantial retained risk (return right, buy-back) does.
- **Revenue vs Gain:** Income = Revenue (ordinary course) + Gains (e.g. profit on sale of fixed asset, forex gain, insurance windfall). AS 9 governs only revenue. "Ordinary course" is enterprise-specific (interest = revenue for a bank, other income for a manufacturer).
- Revenue is a **gross** charge to customers; excludes third-party collections (GST) and, for agents, the principal's share.

Key provisions / rules

(A) Sale of goods — recognise when ALL:

1. Significant **risks & rewards** transferred (usually delivery).
2. **No significant uncertainty** on amount of consideration (measurability).
3. **Reasonable to expect ultimate collection** (collectability).

Situation	Recognise?
Ordinary delivery	Yes, on delivery
Sale-or-return / approval	Only on acceptance or expiry of return period
Delivery + significant installation pending	On completion of installation
Consignment (goods to agent)	Only when agent sells to third party
Title retained only as security	Yes, on delivery
Bill-and-hold (buyer's request)	On billing, if buyer accepts & goods ready/identified
Special-order goods still being made	On delivery/completion
Right of return, returns estimable	On delivery, net of expected returns

- **Warranty (routine):** recognise sale in full + provision for warranty (AS 29). Defer only if "warranty" so heavy that risks never really passed (guaranteed buy-back).
- **Instalment/deferred sale:** recognise **cash-price-equivalent** at point of sale; **interest component over time** (time-proportion). Don't book the whole inflated total up front.

(B) Rendering of services (both still need measurability + collectability)

- **Proportionate completion** — multi-act service; recognise as acts performed. Indeterminate similar acts → straight-line over period; one dominant act → defer till that act done.
- **Completed service contract** — single/indivisible act; recognise only when final act complete & chargeable.
- **Advance fees** = unearned revenue (liability), released as service rendered.

(C) Interest / Royalties / Dividends

- **Interest** — **time proportion**, on amount **outstanding** × rate applicable (both can change mid-year).
- **Royalty** — **accrual per the agreement** (per unit sold/copy printed).

- **Dividend** — when **right to receive is established**: interim on board declaration; final on AGM approval. **Pre-acquisition dividend** = recovery of investment cost, NOT income.

Measurement

- Revenue = charges to customers, **net of trade discounts/rebates**, **excluding GST/third-party collections** and (agent) principal's share.
- **Trade discount** → deduct from revenue (price never charged gross). **Cash discount** → NOT deducted (financing/collection expense, below the line). Test: does the concession depend on timing of payment? Yes → cash discount → don't touch revenue.
- **Barter:** dissimilar goods/services → revenue at fair value of consideration received (or given, if more reliable); **similar goods swap → NO revenue** (mere inventory rearrangement).
- Excise (historically): enterprise's own manufacturing duty, included in gross revenue then shown as deduction — unlike sales-tax/GST which is netted out. Verify current ICAI position.

Overriding gate — uncertainties (the exam's hunting ground)

- **Measurement uncertain** → postpone the **affected amount only** until determinable (recognise undisputed base now).
- **Collection doubt AT inception** → **postpone revenue** (never recognise fiction).
- **Collection doubt AFTER valid recognition** → **keep revenue; book separate provision/bad-debt expense**.
- Memorise: *doubt at inception → postpone; doubt later → provide.*

Journal entries

```
Debtors/Bank A/c             Dr   To Sales A/c           (goods, risks & rewards passed)
Accrued Interest A/c         Dr   To Interest Income A/c  (time-proportion at year-end)
Dividend Receivable A/c      Dr   To Dividend Income A/c  (on declaration/right established)
Bad Debts / Provision A/c    Dr   To Debtors / Provision  (doubt AFTER recognition — revenue
untouched)
Bank A/c                     Dr   To Income Received in Advance A/c   (advance/subscription)
Income Received in Advance   Dr   To Service Revenue A/c  (portion earned)
```

Doubt at inception: **no revenue entry** — goods stay as inventory/memorandum until collection reasonably certain, then Debtors Dr / To Sales.

Worked mini-example (the uncertainty fork)

Machinery sold ₹25,00,000, delivered & accepted 15 Feb; year-end 31 Mar.

- **Scenario A:** buyer in serious distress **at date of sale** → collectability fails at inception → **postpone the ₹25,00,000**; recognise no revenue.
- **Scenario B:** sound customer, factory burns down **in late March** (after sale) → **revenue stays ₹25,00,000**; book a **separate provision/expense ₹25,00,000**.
- Same amount, same doubt, opposite treatment — the **timing** of the doubt decides.

Disclosures

- **Circumstances in which revenue recognition has been postponed** pending resolution of significant uncertainties (mandatory).
- Revenue recognition **accounting policy**, including **method used to determine stage of completion** of service transactions (part of AS 1 policies).
- AS 9 does NOT require breakdown by product/geography/customer (that's AS 17/AS 18). Keep disclosure narrow.

Exam traps & must-remember

- **Uncertainty fork (#1 trap):** read for *when* the doubt arose, not its size.
- Trade discount deducted; cash discount not (separate expense).

- GST/third-party taxes excluded from revenue.
- Agent recognises **commission only**, not gross collected for principal.
- Order date ≠ recognition date (follows risk/reward transfer). Payment date irrelevant.
- Consignment / sale-or-return → no revenue on dispatch; goods stay in sender's inventory.
- Single indivisible service → completed method (don't book 70% of one report). Contrast AS 7 which WOULD book 70%.
- Dividend on **declaration**, not year-end or receipt; pre-acquisition twist reduces cost.
- Interest always time-proportion (even if received at maturity), on **balance outstanding**.
- Construction contract → AS 7, not AS 9.
- Bill-and-hold recognisable only if delay is buyer's request + goods ready/identified/accepted.
- Significant pending installation defers; minor installation doesn't.
- Disputed add-on postpones only the uncertain slice; recognise undisputed base.
- Instalment sale: split cash-price (sales now) + interest (over time).
- Similar-goods swap = no revenue; dissimilar = fair value.
- Gain (fixed-asset disposal, forex, insurance) ≠ AS 9 revenue.
- Advance receipt is never the recognition trigger (unearned revenue liability).

One-line recall

- Recognise at performance, between promise and cash: risk/reward + measurable + collectable.
- Goods = risk & reward; Services = proportion or completion; Interest = time; Royalty = use; Dividend = declared.
- Doubt at start = postpone; doubt later = provide.
- Trade discount cuts revenue; cash discount is an expense; agent = commission only.
- Revenue is gross to customers, excludes GST & principal's share; similar swap = no revenue.
- Instalment = split cash-price and interest; gain ≠ revenue.

Chapter 11 — AS 11: The Effects of Changes in Foreign Exchange Rates

Snapshot

- Covers (a) accounting for **foreign-currency transactions** and (b) **translating financial statements of foreign operations** (branches, subsidiaries, associates, JVs), plus **forward exchange contracts**.
- Core: a foreign-currency amount must be translated into ₹ using an exchange rate; the **right rate** depends on whether the item is **monetary** (live money claim — re-translate) or **non-monetary** (settled historical cost — freeze).
- Reporting currency = ₹ (Indian company). Excludes hedge accounting beyond forwards, inflation restatement, and (directly) foreign borrowing costs (AS 16 interacts).

Core concepts

- **Monetary items ("water")** — money held + assets/liabilities to be **received/paid in fixed or determinable amounts of money** → re-translate at **closing rate**; differences to P&L.
- **Non-monetary items ("ice")** — everything else (physical assets, ownership, rights to goods) → keep at **historical (transaction-date) rate**; no exchange difference (unless carried at fair value → rate on date fair value determined).
- **The test is FORM OF SETTLEMENT, not asset type:** settled in a fixed sum of money = monetary; settled in goods/services/ownership = non-monetary. So an **advance for goods** is non-monetary but a **loan** is monetary.
- **Exchange difference** = same foreign amount reported at different rates.

Monetary vs non-monetary

Monetary (re-translate)	Non-monetary (freeze)
Cash, bank, debtors, creditors	Inventory, PPE, intangibles, goodwill
Loans given/taken, deposits	Equity investments (shares held)
Redeemable pref shares/debentures held	Prepaid expenses
Cash-settled provisions	Advances for goods (paid OR received)
Refundable advance (money back)	Warranty-by-repair provisions
Doubtful debtor (gross claim still money)	Share capital, securities premium

Key provisions / rules

Three moments of a foreign-currency transaction

1. **Initial recognition** — transaction-date spot rate (avg for a week/month allowed if stable). Transaction date = date it qualifies for recognition (risk/reward pass), not invoice/payment date.
2. **Each balance sheet date** — monetary → **closing rate** (difference = exchange difference); non-monetary at cost → **keep historical**; non-monetary at fair value → rate when FV determined.
3. **Settlement** — settlement-date rate.

- **Re-baselining:** in a later year, measure the difference against the **previously reported** amount, not the origination amount. Safe habit: compute closing ₹ freshly (foreign amount × rate) and take difference from what the item is currently sitting at.

Where the difference goes

- **General rule:** exchange differences on monetary items (on settlement OR on reporting) → **Profit & Loss** in the period they arise — both unrealised (year-end) and realised (settlement); symmetric (no prudence-based deferral of gains).
- **AS 11 does NOT capitalise exchange differences into asset cost** (default → P&L).
- **Para 46/46A relief (optional, time-bound):** a company MAY (i) add exchange differences on **long-term** foreign-currency monetary items funding a **depreciable capital asset** to that asset's cost (depreciate over life), and (ii) accumulate other long-term differences in **FCMITDA**, amortised over item life (not beyond 31 Mar 2020). "Long-

term" = **12 months or more** at origination; option applied **consistently to ALL** such items. **Verify current applicability/cut-off in ICAI material.**

- Revenue/purchases (income-statement lines) stay **frozen at transaction rate** — only monetary *balances* move.
- **Average rate** allowed for many similar transactions — **NOT** if rates fluctuate significantly.

Forward exchange contracts

- **(a) Hedge of an existing recognised asset/liability (not speculative/firm-commitment):**
  - **Premium/discount** = (forward rate − spot at inception) × amount → **amortise over contract life** (time-apportioned, straddling year-ends).
  - **Exchange difference** = change in **spot** × amount → **P&L**.
  - Cancellation/renewal profit/loss → P&L.
- **(b) Speculative, OR hedge of firm commitment/forecast transaction:**
  - **No premium/discount amortisation.**
  - **Mark to market:** gain/loss = amount × (forward rate now quoted for remaining maturity − contract rate) → **P&L**. Compare against **current forward rate for the remaining maturity, NOT spot.**

Foreign operations — integral vs non-integral

- **Non-integral indicators (autonomy):** transacts mostly in own local currency; day-to-day autonomy; local financing/sales/costs; parent's cash flows insulated (only dividends/net investment); local pricing; active local market.
- **Integral** = extension/conduit of parent (foreign sales depot reselling parent's goods; overseas purchasing office).

Item	INTEGRAL	NON-INTEGRAL
Monetary A & L	Closing rate	Closing rate
Non-monetary A & L	Historical (transaction) rate	**Closing rate** (all A & L)
Income & expenses	Transaction/average rate	Transaction/average rate
Exchange difference	**P&L**	**FCTR (equity)**

- Non-integral: net difference → **Foreign Currency Translation Reserve (FCTR)** in equity, **recycled to P&L only on disposal**. Goodwill & fair-value adjustments on acquisition = assets of that operation → **closing rate**.
- Integral: depreciation at the **same historical rate as the asset**; COGS at the rate of the related inventory (not blanket average).
- **Change in classification** = prospective from date of change.
- A **long-term intra-group monetary item** whose settlement is neither planned nor likely = part of **net investment**; its differences go to **FCTR in consolidated** statements (but to P&L in separate statements).

Journal entries

```
Purchases/Asset A/c   Dr   To Creditor (foreign) A/c       (initial: foreign amt × spot)
Forex Loss A/c        Dr   To Creditor (foreign) A/c       (year-end: closing − recorded)
Creditor A/c  Dr / Forex Loss A/c Dr   To Bank A/c         (settlement)
Debtor (foreign) A/c  Dr   To Forex Gain A/c               (receivable, favourable move)
Premium on Forward A/c Dr  To Bank/Forward Payable; then P&L Dr To Premium (amortise)
FCTR A/c              Dr/Cr (balancing figure, non-integral translation)
FCTR A/c              Dr   To Profit on Disposal/P&L       (recycle on disposal)
Fixed Asset A/c       Dr   To Foreign Currency Loan A/c    (para 46A: loss added to asset cost)
```

Worked mini-example (monetary item across two years)

Import steel €100,000 on 1 Jan; spot ₹90 → record steel & creditor at ₹90,00,000.

- 31 Mar year-end, closing ₹93: creditor = €100,000 × 93 = ₹93,00,000 → **exchange loss ₹3,00,000 to P&L (Yr 1)**. Steel stays ₹90,00,000.
- Settle 5 Apr at ₹94: pay ₹94,00,000 vs creditor ₹93,00,000 → **exchange loss ₹1,00,000 to P&L (Yr 2)**.
- Total ₹4,00,000 loss, split ₹3,00,000 + ₹1,00,000. Steel (non-monetary) never re-translated.

- **Advance twist:** a non-refundable advance for a machine is **non-monetary** — NOT re-translated at year-end; machine cost blends advance-date and balance-date rates. If **refundable in cash**, it becomes monetary → re-translate at closing.

Disclosures

1. Amount of **exchange differences in net profit/loss** for the period.
2. Net exchange differences in **FCTR** (separate equity component) + **reconciliation** opening→closing.
3. If reporting currency ≠ domicile currency: the **reason**, and reason for any change.
4. Change in classification of a significant foreign operation (integral ↔ non-integral): nature, reason, impact on shareholders' funds, and on net profit/loss for each prior period as if changed at start.
5. (If para 46/46A used) the fact of the option and amounts capitalised/in FCMITDA/amortised.
6. **Encouraged:** foreign-currency risk management policy.

Exam traps & must-remember

- **Never re-translate non-monetary items** (inventory, PPE, advances, prepaid) — classify first.
- Advance paid/received for goods = non-monetary; the word "refundable" flips it to monetary.
- Book the year-end difference on monetary items — don't wait for settlement.
- Year 2 baseline = prior year-end rate, not origination rate.
- Never restate revenue/purchases to closing rate — only monetary balances move.
- Non-integral differences → FCTR (equity), not P&L; integral → P&L, no reserve.
- Forward: premium = (forward − spot at inception) amortised over life; exchange difference = spot movement to P&L. Don't amortise a speculative forward's premium.
- Time-apportion premium across a straddling year-end.
- Speculative forward marked against current **forward** rate for remaining maturity, not spot.
- Fair-valued non-monetary item → rate on date FV determined.
- Integral vs non-integral misclassification changes every number.
- On disposal of non-integral operation, recycle FCTR to P&L (else understate gain/loss).
- Post-balance-sheet rate change = non-adjusting event (AS 4) — don't use it; use closing rate as at B/S date.
- Average rate not permitted if rates fluctuated sharply.
- Para 46A: optional, long-term (12m+), consistent to all, time-bound — verify cut-off.

One-line recall

- Monetary = water → closing rate; non-monetary = ice → historical rate.
- Test = settled in money (monetary) vs goods/ownership (non-monetary); advance = non-monetary, loan = monetary.
- Monetary differences → P&L now (both unrealised & realised); revenue/purchases frozen.
- Re-baseline to last reported amount, never to origination in later years.
- Forward (hedge): amortise premium + spot difference to P&L; speculative = mark to market vs forward rate.
- Integral → P&L; non-integral → all at closing rate, difference to FCTR, recycled on disposal.

Chapter 12 — AS 12: Accounting for Government Grants

Snapshot

- Governs grants (subsidies, cash incentives, duty drawbacks, grants in kind) — assistance by government in cash/kind for **past or future compliance with conditions**.
- Core: a grant is **compensation for a cost** → recognise it as **income over the same period the related cost hits P&L** (income approach, default). One narrow exception: promoters'-contribution grants go to **Capital Reserve** (capital approach).
- **Substance over form** — the label ("subsidy", "capital incentive", "soft loan") does not decide the accounting; the condition rewarded and cost subsidised do.

Core concepts

- **Income approach (default):** grant is earned income, matched to the cost it subsidises; a grant is economically a **negative expense** — recognise on the same clock as the cost.
- **Capital approach (exception only):** promoters'-contribution grants → equity-like → Capital Reserve, never P&L.
- **"Government"** = central/state government, agencies, similar local/national/international bodies.
- Sub-types: grants related to **specific fixed assets**; grants related to **revenue**; **promoters' contribution**; **non-monetary** grants; grants **compensating past expenses/losses**.
- **Primary vs secondary condition:** classification hinges on the PRIMARY condition ("buy the machine" → asset grant). A loud secondary condition ("hold it 5 years") only restricts, doesn't reclassify.

Scope EXCLUDES

- Assistance that **cannot reasonably be valued** (free technical/marketing advice, guarantees).
- Transactions **indistinguishable from normal trading** (government as ordinary customer at market price).
- Government participation in **ownership** (that's share capital).
- Benefit of a **below-market/nil-interest government loan** is NOT quantified under AS 12 — soft loan carried at face value (imputing it is Ind AS 20).

Key provisions / rules

Recognition gate (BOTH must hold)

1. Reasonable assurance the enterprise **will comply** with attached conditions, AND
2. Reasonable assurance the grant **will be received**.

- Threshold = **reasonable assurance** (NOT "certainty", NOT "virtual certainty" of AS 22).
- **Receipt of cash is not conclusive** proof conditions met. Recognition does NOT wait for cash — a sanctioned grant with reasonable assurance is booked as a **receivable**. Possibility of refund = **AS 4 contingency**.

Measurement

- Monetary grant → amount receivable/received.
- Non-monetary grant at **concessional rate** → recorded at **acquisition cost** (concessional price actually paid).
- Non-monetary grant **free of cost** → recorded at **nominal value** (e.g. Re 1). (NOT fair value — that's Ind AS 20.)

Grants related to SPECIFIC FIXED ASSETS (two permitted methods — pick one, disclose)

- **Method I — deduction from cost (net):** deduct grant from gross book value; benefit reaches P&L via **reduced depreciation** over asset life. If grant = whole cost → asset at **nominal value**.
- **Method II — deferred income (gross):** asset at full cost; grant carried as **"Deferred Government Grant"** (liability), credited to P&L **in proportion to depreciation** (SLM or WDV, matching the asset) over useful life. Split into current/non-current.
- **Both give identical annual P&L charge and identical net balance-sheet position.**
- WDV asset → Method II grant amortised on the same WDV pattern (not straight-line), else methods stop reconciling.

- **Mid-life grant** → prospective: adjust remaining book value / set deferred income over residual life; don't restate past depreciation.

Grants related to REVENUE

- Recognise in P&L **over the period matching the related costs**. Two presentations: **(a) credit under Other Income** OR **(b) deduct from the related expense**. Same profit.
- If the cost spans years (e.g. 3-year interest subsidy), spread the grant over those years. If the cost is all in the current year, the whole grant lands this year.

Grants in nature of PROMOTERS' CONTRIBUTION (ALL THREE must hold)

1. Contribution towards **total capital outlay** (not earmarked to a specific asset/expense);
2. **No repayment** ordinarily expected;
3. **No related cost** to match. → Credit **Capital Reserve**, part of shareholders' funds. NOT through P&L, NOT distributable as dividend, NOT for setting off losses.

- A subsidy computed **as % of a specific asset's cost** is earmarked → **asset grant, NOT promoters' contribution**, whatever it's titled.

Compensation for past expenses/losses or immediate support

- Recognise in **P&L of the period it becomes receivable**; disclose as **extraordinary item (AS 5)** if size warrants. Do **NOT** restate the prior year.

Refund of grants (all = change in estimate → extraordinary item, AS 5; "reverse the road in")

Original grant	On refund
Revenue	Against unamortised deferred credit first; **excess → P&L**
Fixed asset — deferred income (Method II)	Reduce deferred balance; **excess → P&L**; asset unchanged
Fixed asset — deduction (Method I)	**Increase asset book value** by refund; depreciate **prospectively over residual life**
Promoters' contribution	**Reduce Capital Reserve**

Journal entries

```
Bank A/c                    Dr   To Capital Reserve A/c           (promoters' contribution)
Bank A/c                    Dr   To Training Expense A/c          (revenue grant, deduct-from-expense)
Machine A/c    Dr  To Bank; Bank Dr  To Deferred Government Grant   (asset grant, Method II)
Depreciation A/c Dr To Machine; Deferred Govt Grant A/c Dr To P&L   (each year, Method II)
Govt Grant Receivable A/c    Dr   To Power Exp / Other Income       (sanctioned, cash not yet received)
Machine A/c                 Dr   To Bank A/c                        (refund, Method I – reload asset)
Deferred Govt Grant A/c Dr / P&L (extraordinary) Dr  To Bank        (refund, Method II – excess to P&L)
```

Worked mini-example (asset grant, two methods reconcile — Orion, SLM)

Machine ₹10,00,000; life 5 yrs; SLM; grant ₹2,00,000.

- **Method I:** capitalise 10,00,000 − 2,00,000 = 8,00,000; depreciation = 1,60,000/yr.
- **Method II:** asset 10,00,000; depreciation 2,00,000/yr; grant credit 2,00,000 ÷ 5 = 40,000/yr; net charge = 2,00,000 − 40,000 = **1,60,000/yr — identical**. Net B/S position after Yr 1 = ₹6,40,000 both ways.
- **Refund entire ₹2,00,000 at end Yr 2:**
    - Method I: book value 8,00,000 − 3,20,000 = 4,80,000; add refund → 6,80,000; residual life 3 → dep = **6,80,000 ÷ 3 = 2,26,667/yr** (prospective).
    - Method II: deferred balance 2,00,000 − 80,000 = 1,20,000; reduce by refund, **excess ₹80,000 → P&L**; asset unaffected, dep continues 2,00,000/yr.

Disclosures

- **Accounting policy** adopted for grants, **including methods of presentation** in the statements.
- **Nature and extent** of grants recognised, **including non-monetary grants** given free or at concessional rate.
- Contingency (AS 4): unfulfilled conditions / possibility of refund.
- A switch between Method I and Method II = change in accounting **policy** (AS 5) — justify and disclose.
- Because two presentations are permitted, disclosure of the method chosen restores comparability.

Exam traps & must-remember

- "Cash received = recognise" is FALSE (receipt not conclusive); conversely a sanctioned grant is recognised before cash arrives.
- Don't force everything through Capital Reserve — only promoters'-contribution (and unconditional non-depreciable-asset) grants qualify.
- Prove BOTH fixed-asset methods give identical profit & net position (half the marks).
- Refund of asset grant: Method II → knock down deferred balance, excess to P&L; Method I → add back to asset + depreciate prospectively over remaining life. Don't swap.
- "Excess to P&L" step exists only in Method II.
- Free non-monetary asset → **nominal value**, not fair value.
- Non-depreciable asset grant: no obligation → Capital Reserve; obligation attached → spread over the obligation-cost period (e.g. building life).
- Prior-period loss compensation recognised NOW, not restated backwards.
- Promoters'-contribution reserve NOT distributable / not for loss set-off.
- Depreciate on the NET (post-grant) cost under Method I — don't double-count.
- "Subsidy as % of asset cost" = asset grant, not promoters' contribution — read the basis, not the name.
- Mid-life grant handled prospectively.
- WDV grant must amortise on WDV pattern (Method II).
- Soft loan ≠ grant under AS 12 (face value; no imputed interest benefit).
- Threshold is "reasonable assurance", not "virtual certainty".

One-line recall

- Grant = compensation for a cost → income, matched to that cost (default); only true promoters' contribution → Capital Reserve.
- Recognise on reasonable assurance of compliance AND receipt; cash not conclusive; can recognise before cash.
- Asset grant: deduct-from-cost OR deferred income — same profit, same net position; follow the asset's own depreciation pattern.
- Free non-monetary → nominal value; concessional → price paid.
- Refunds are extraordinary items that reverse the road in; Method I reloads the asset & depreciates prospectively.
- Threshold = reasonable assurance (not virtual certainty).

Chapter 13 — AS 13: Accounting for Investments

Snapshot

- Governs accounting and disclosure for **investments** — assets held to earn income (dividend/interest/rent) or capital appreciation, not consumed in operations.
- Core: measurement follows **holding intention** — current vs long-term — because intention decides whether a price change is real news or noise.
- A **cost-based, prudence-first** standard (pre-OCI): every write-down, write-back and disposal gain hits **P&L directly** — no revaluation reserve/OCI route.

Core concepts

- **Current investment** — readily realisable **AND** intended to hold **≤ 12 months** (BOTH conditions). Measured at **lower of cost and fair value**.
- **Long-term investment** — everything else (residual/default). Measured at **cost, less provision for other-than-temporary (permanent) diminution**.
- **Asymmetry (prudence spine):** probable-real losses recognised early; gains only on realisation. Write-backs capped at original cost.
- **Two ledgers:** AS 13 measures the **asset**; AS 9 recognises the **income** it throws off — keep Investment A/c and Interest/Dividend A/c separate.

Scope excludes

- Bases for recognising interest/dividends/rentals earned (AS 9).
- Finance/operating leases (AS 19).
- Investments of retirement-benefit plans and life-insurance enterprises.
- **Shares/debentures held as stock-in-trade** → inventory under AS 2 (lower of cost and NRV).

Key provisions / rules

Classification

- Both conditions needed for "current": (a) readily realisable **by nature** (active market), (b) intended ≤ 12 months **by intention**. Intention is king (blue-chip held 10 years = long-term).
- Reassessed at **each balance-sheet date**, not frozen at purchase.
- **Trade investments** (stake to further business ties) = sub-species of long-term.

Cost at acquisition

- **Cost = purchase price + brokerage + fees + duties** (stamp duty, STT-type charges — capitalised).
- **Acquired by issue of securities** → cost = **fair value of securities issued** (issue/agreed value).
- **Acquired by exchange of another asset** → cost = **FV of asset given up** (else FV of investment acquired); gain/loss on old asset (its FV − carrying amount) → P&L.
- **Cum-interest buy:** Cost = cum-interest price − **interest accrued to date of purchase** (seller's slice, → Interest Receivable). Next coupon: only the part for your holding period is income.
- **Ex-interest buy:** quoted price = cost; accrued interest paid **on top** → Interest A/c.
- **Cum-dividend buy:** pre-acquisition dividend embedded → **reduce cost** (capital recovery), NOT income. Post-acquisition dividend = income (AS 9).
- **Bonus shares:** add quantity, add **₹0** → average cost per share falls.
- **Rights subscribed:** add at price actually paid.
- **Rights renounced (sold):** proceeds → **credit P&L** (default); reduce cost only if question flags a cum-right purchase with ex-right value fall.

Carrying amount at each balance-sheet date

Category	At B/S date	Fall	Rise
Current	**Lower of cost & fair value**	recognise down to FV → P&L	reverse **up to cost only** → P&L

Category	At B/S date	Fall	Rise
Long-term	**Cost**, less provision for permanent diminution	provide only if **other-than-temporary** → P&L	write back if reason ceases, **up to cost** → P&L

- Current: apply lower-of **scrip-by-scrip** (or by category) — **NEVER whole-portfolio net** (a gain on one can't mask a loss on another). Never book above cost.
- Long-term: temporary falls **ignored**. "Other-than-temporary" indicators: continuing investee losses, distribution restrictions, inability to trade, no expected recovery, dividends not received, falling asset backing. Provide the **permanent slice only** (market price is evidence of permanence, not the target carrying amount). Provisioning for a permanent fall is **mandatory** ("shall"); write-back is permissive ("may") but done once reason ceases.

Reclassification (transfer — always at LOWER value, anti-gaming)

- **Long-term → Current:** at **lower of cost and carrying amount** (effectively carrying amount).
- **Current → Long-term:** at **lower of cost and fair value** (if FV < cost, transfer at FV; crystallise the loss).
- Principle: embedded losses surface now; embedded gains are suppressed.

Disposal

- Profit/loss = **net sale proceeds − carrying amount** → P&L. "Net" = gross price − selling brokerage/duties.
- Partial sale → use **average (weighted-average) carrying amount** per unit (after all bonus/rights/cum-interest adjustments, in date order). Self-check: average of units retained = average just before sale.
- If previously written down, measure profit against **carrying amount**, NOT original cost (avoid double-count).

Investment property

- Investment in **land/buildings NOT owner-occupied / not used in own operations** → accounted as a **long-term investment**: **cost, less permanent diminution; NO depreciation** (unlike AS 10 PPE).
- Partly owner-occupied + partly let: split if separable; if inseparable and only insignificant portion let → whole = owner-occupied PPE.

Journal / ledger note

- Solve numericals in a **three-column Investment Account**: **Nominal (face)** | **Interest (income)** | **Cost (capital)** — keeps AS 13 carrying amount and AS 9 income from contaminating each other. Bonus → Nominal up, Cost unchanged; Rights → both up; closing Cost balance = balance-sheet figure.

Worked mini-example (bonus + rights + partial sale, average cost)

Long-term holding of P Ltd:

- 1 Apr: 10,000 sh @ ₹100 + 1% brokerage → cost **₹10,10,000** / 10,000 sh.
- Bonus 1:5 → +2,000 free sh; holding **12,000**, cost still ₹10,10,000.
- Rights 1:4 @ ₹60 on 12,000 = 3,000 entitlement; subscribe 60% = 1,800 × 60 = **+₹1,08,000**; renounce 40% = 1,200 rights sold @ ₹15 = **₹18,000 → P&L** (default). Holding **13,800**, cost **₹11,18,000**.
- Average = 11,18,000 ÷ 13,800 = **₹81.01/sh**.
- Sell 3,000 @ ₹90 less 1% brokerage → net 2,67,300; carrying = 3,000 × 81.01 = 2,43,043; **profit ₹24,257 → P&L**.
- Bonus silently drags average down; only the fully-adjusted average may cost a partial sale.

Disclosures

- **Accounting policies** for determining carrying amount.
- **Classification** into current and long-term (per statute/Schedule III).
- **Amounts in P&L** for interest, dividends (subsidiary dividends separately), rentals (current vs long-term separately); profit/loss on disposal and changes in carrying amount of current and of long-term investments.
- **Aggregate quoted & unquoted investments**, and **aggregate market value of quoted investments** (the pressure-release valve — market value shown in notes even when long-term sits at cost).
- Significant **restrictions** on ownership, realisability, or remittance of income/proceeds.
- Other statutory disclosures.

Exam traps & must-remember

- Classify by **intention**, not asset type (equity ≠ automatically current).
- Don't apply "lower of cost and FV" to long-term — it's cost less **permanent** diminution; ignore temporary dips.
- Cum-interest: strip accrued interest out of cost, or you overstate the asset and understate interest.
- Bonus shares added at ₹0 — forgetting this leaves average cost too high.
- Renounced-rights proceeds → P&L by default; reduce cost only on explicit cum-right value-fall cue.
- Reclassify at the **LOWER** figure (LT→Cur: lower of cost & carrying amount; Cur→LT: lower of cost & FV) — never the higher.
- Pre-acquisition dividend reduces cost; post-acquisition is income.
- Disposal uses **net** proceeds (after sale brokerage).
- Current investments: scrip-wise lower-of, never whole-portfolio offset.
- Investment property NOT depreciated under AS 13.
- Write-backs capped at original cost — never above.
- Disposal profit after a prior write-down measured against carrying amount, not original cost.
- Recompute the average after EACH corporate action, in date order.
- Foreign long-term (non-monetary) investment stays at transaction-date rate (AS 11) — FX movement ≠ diminution.
- Dividend income recognised when **right to receive established** (declaration), not on receipt.

One-line recall

- Intention drives measurement: current = lower of cost & fair value; long-term = cost less permanent diminution.
- All changes hit P&L directly; write-backs capped at cost.
- Cost = price + brokerage + duties; exclude accrued interest (cum-interest) and pre-acquisition dividend (cum-dividend).
- Bonus free (average falls); rights added at price paid; renounced rights → P&L.
- Reclassify at the lower value; disposal profit = net proceeds − carrying amount (average for partial sale).
- Investment property = long-term investment, cost, no depreciation.

AS 14: Accounting for Amalgamations

Snapshot

Governs how a transferor company's assets, liabilities and reserves enter the transferee's books when two companies combine. Two methods — pooling (merger) vs purchase — decided by a 5-condition test on the facts, not the label. Applies to companies under the Companies Act; NOT where the acquired company keeps separate existence (that is AS 21 consolidation).

Core concepts

- **Facts drive method, never the label.** The same deal can be merger or purchase depending on how you paid, what you transferred, whether you revalued.
- **Transferor** = company amalgamated into another (ceases to exist). **Transferee** = surviving/new company.
- **Reserve** = surplus not intended to meet any liability, contingency, commitment or diminution in asset value.
- **Consideration** = aggregate of shares + other securities + cash/other assets given by transferee to the **shareholders** of the transferor. NOT payment to debenture-holders or settlement of liabilities.
- **Fair value** = arm's-length exchange amount between knowledgeable willing parties.
- **Absorption** = existing company takes over existing companies (no new company). **External reconstruction** = new company floated to take over a loss-making company (= purchase by design). **Internal reconstruction** = reorganising own capital, no new entity — OUTSIDE AS 14.

Key provisions / rules

Two categories only: merger (pooling) or purchase (purchase method). No third.

Five merger conditions — ALL must be met (any one fails → PURCHASE):

1. ALL assets and liabilities of transferor become those of transferee.
2. Shareholders holding **≥ 90% of face value of equity shares** (excluding shares already held by transferee/its subsidiaries/nominees) become equity shareholders of transferee.
3. Consideration to those equity shareholders discharged **wholly by equity shares** in transferee (cash ONLY for fractional shares).
4. Business of transferor **intended to be carried on** by transferee.
5. **No adjustment** to book values of transferor's assets/liabilities, except to achieve uniformity of accounting policies (routed through reserves).

Condition 2 nuances: measured on **face value** (not market value, not number of shareholders); excludes transferee's existing holding from both numerator and base; concerns **equity** only.

Method 1 — Pooling of Interests (merger):

- Assets, liabilities AND reserves recorded at **book value**.
- All reserves survive with identity (General, Capital, Statutory, P&L). Statutory reserves keep status naturally — no Amalgamation Adjustment Reserve.
- **No goodwill / no capital reserve** arises.
- Balancing figure adjusted in **reserves**, never goodwill: Reserve adjustment = (Equity share capital issued + cash for fractions) − (Equity share capital of transferor). Positive → reduce reserves; negative → increase reserves. Only relabels capital vs reserves; total net assets unchanged.
- Order when reducing: first debit capital/free reserves, then revenue reserves; statutory reserves untouched.

Method 2 — Purchase Method:

- Assets/liabilities recorded at existing carrying amounts or (more commonly) **fair values** at date of amalgamation. Only assets/liabilities acquired — NOT reserves.

- Reserves do NOT carry over. **Exception:** statutory reserves required by law are retained by debiting **Amalgamation Adjustment Reserve** (shown as negative figure under Reserves & Surplus) and crediting the statutory reserve; reversed when the statutory need lapses.
- Balancing figure:

PC vs Net assets acquired (fair value)	Result
PC > Net assets	**Goodwill** (asset)
PC < Net assets	**Capital Reserve**

- **Goodwill on amalgamation** amortised over useful life, **normally not exceeding 5 years** (NOT AS 26's 10-year ceiling).
- Fair-value step-up creates NO revaluation reserve/profit — absorbed into the goodwill/capital reserve figure.

Purchase Consideration methods:

- **Net Assets method:** PC = agreed value of assets taken over − agreed value of liabilities taken over.
- **Net Payments method:** PC = total payments (shares + cash + securities) to shareholders. Exclude payments to debenture-holders/creditors.
- **Lump-sum method:** single stated figure, use directly.
- **Intrinsic value / exchange-ratio method:** Exchange ratio = intrinsic value per share of transferor ÷ intrinsic value per share of transferee; × transferor's shares = transferee shares issued.

Net assets acquired = FV of assets taken over − FV of liabilities taken over. **Exclude fictitious assets** (preliminary expenses, discount on issue, debit balance of P&L). Existing goodwill included only if specifically taken over. Shares issued recorded at agreed/issue value (may include securities premium).

Journal entries

Purchase method (transferee books):

```
(1) Business Purchase A/c           Dr.  (= PC)
        To Liquidator of Transferor Co.
(2) Assets A/c (individual, fair value)  Dr.
    Goodwill A/c (balancing, if any)     Dr.
        To Liabilities A/c (fair value)
        To Business Purchase A/c
        To Capital Reserve A/c (balancing, if any)
(3) Liquidator of Transferor Co.     Dr.
        To Equity Share Capital A/c
        To Securities Premium A/c (if at premium)
        To Bank A/c (cash component)
(4) Settle debentures / liabilities not in PC; amalgamation expenses
```

Pooling (transferee books):

```
(1) Business Purchase A/c           Dr.  (= consideration, wholly equity)
        To Liquidator of Transferor Co.
(2) Assets A/c (BOOK value)         Dr.
        To Liabilities A/c (BOOK value)
        To Reserves A/c (General, Statutory, P&L at BOOK value)
        To Business Purchase A/c
   (Balancing difference ADJUSTED IN RESERVES — never goodwill)
(3) Liquidator of Transferor Co.     Dr.
        To Equity Share Capital A/c
        To Bank A/c (cash for fractions only)
```

Transferor's books use a **Realisation A/c** route (transfer assets/liabilities, credit PC receivable, distribute to shareholders).

Worked mini-example

Purchase: PC = 60,000 shares × ₹12 = ₹7,20,000 (₹6,00,000 capital + ₹1,20,000 premium). Assets taken over at FV ₹11,80,000 (excl. preliminary exp), liabilities ₹3,00,000 → net assets ₹8,80,000. PC ₹7,20,000 < ₹8,80,000 → **Capital Reserve ₹1,60,000**. If PC were ₹10,80,000 → **Goodwill ₹2,00,000**, amortise ~₹40,000 p.a. over 5 yrs.

Pre-existing holding: transferee owns 20% already. Pay consideration only to outside (80%) shareholders; add cancelled investment (carrying value) to cost. Cost of acquisition = new consideration + old investment; compare with net assets → goodwill/capital reserve.

Disclosures

All amalgamations: names & nature of business of amalgamating companies; effective date; method of accounting; particulars of the scheme. **Pooling adds:** description & number of shares issued + % of each company's equity exchanged; difference between consideration and value of net identifiable assets and its treatment (adjustment to reserves). **Purchase adds:** consideration and description of components; amount of goodwill/capital reserve and treatment (goodwill amortisation period).

- Amalgamation Adjustment Reserve → negative amount under Reserves & Surplus.
- **Scheme contrary to AS 14:** follow the scheme, but disclose the fact, deviation and financial effect.
- **Amalgamation after B/S date but before accounts approved:** disclose only (non-adjusting event); not incorporated.

Exam traps & must-remember

- "90% became shareholders → merger" is WRONG: condition 2 necessary but not sufficient; condition 3 still needs wholly-equity consideration. Cash to a minority (beyond fractions) → purchase.
- Do NOT include debenture discharge / creditor settlement in PC (paid to owners only).
- Exclude fictitious assets from net assets acquired.
- No reserves brought in under purchase (except statutory via Amalgamation Adjustment Reserve).
- Pooling NEVER produces goodwill/capital reserve — writing "Goodwill" in a merger answer is wrong.
- Direction: PC > net assets → Goodwill; PC < net assets → Capital Reserve.
- Fair value = purchase; book value = pooling.
- Goodwill amortisation normally ≤ 5 years (not 10).
- Split share consideration above par into Share Capital + Securities Premium.
- Amalgamation Adjustment Reserve only under purchase, only for statutory reserves.
- Cancel inter-company balances; strip unrealised profit in unsold stock before combined B/S.
- Amalgamation expenses are **expensed**, never capitalised into goodwill.

One-line recall

- Facts (not label) → all 5 conditions met = merger/pooling; any fail = purchase.
- Pooling: book value, reserves survive, no goodwill, difference to reserves.
- Purchase: fair value, reserves lost (statutory via Amalgamation Adjustment Reserve), goodwill or capital reserve.
- PC = to shareholders only; exclude debentures/creditors/fictitious assets.
- Goodwill amortise normally ≤ 5 yrs; expenses written off.
- Transferor keeps separate existence → AS 21, not AS 14.

AS 16: Borrowing Costs

Snapshot

Decides when interest is a cost of an **asset** (capitalise, then depreciate) vs a cost of the **period** (expense now). Only borrowing costs directly attributable to a **qualifying asset** are capitalised; all others expensed. The capitalise/expense split hits two statements at once — balance sheet (asset) and P&L.

Core concepts

- **Capitalisation relocates cost; it never creates or destroys it.** Total actual borrowing cost = capitalised slice + expensed slice (control-check for every answer).
- **Qualifying asset** = an asset that **necessarily takes a substantial period of time** to get ready for its intended use or sale. "Ordinarily > 12 months" is a rule of thumb, not an absolute line. Test is **necessarily** (inherent), not **actually** long — delay from firm's own inefficiency does not qualify.
- **Directly attributable = avoidable:** interest that would have been avoided had the asset expenditure not been made.
- Matching principle: interest producing this year's revenue → expense; interest producing a future asset's revenue → capitalise and release as depreciation.

Borrowing costs INCLUDE: interest & commitment charges; amortisation of discounts/premiums on borrowings; amortisation of ancillary costs of arranging borrowings; finance charges on finance leases; exchange differences **to the extent regarded as an adjustment to interest cost**. **EXCLUDE:** equity/preference dividends; imputed interest on own funds; forex loss beyond the interest-adjustment cap (→ AS 11).

Qualifying: plants under construction, power facilities, ships, large buildings/malls, long-maturing inventory (whisky, wine, cheese). NOT qualifying: assets ready when acquired; inventories mass-produced repetitively over a short period; assets ready in a short period; investments/financial assets.

Key provisions / rules

Recognition: directly attributable to qualifying asset → capitalise; all other → expense in period incurred.

Measurement:

	Specific borrowing	General borrowing
Amount	Actual interest − income on temporary investment of those funds	Capitalisation rate × weighted-avg expenditure on asset
Cap. rate	n/a	Weighted-avg rate of general pool (excl. specific borrowings)
Temp-investment income	**Deduct** from capitalised amount	**Do NOT deduct** (→ P&L income)
Ceiling	self-satisfies (at actual)	Capitalised ≤ actual borrowing cost incurred

- **Capitalisation rate** = total general borrowing costs ÷ weighted-average general borrowings outstanding.
- Expenditure base for general = **weighted-average carrying amount** of the asset (incl. previously capitalised interest), less progress payments/grants received.
- **Mixed case:** specific loan portion → actual interest (less temp income); excess spend over specific loan → general rate. Run two streams separately, add; do NOT blend rates.
- **Ceiling:** capitalised during a period must NOT exceed actual borrowing cost incurred that period.

Forex-as-interest cap: forex loss treated as borrowing cost only up to (interest on equivalent local-currency loan − interest actually paid on forex loan). Excess → AS 11.

START capitalising — all three, take the LATEST date:

1. Expenditure on the asset being incurred; AND
2. Borrowing costs being incurred; AND
3. Activities to prepare the asset for use/sale in progress (includes technical/administrative work, permits — but NOT merely holding an asset with no development).

SUSPEND: during **extended AND abnormal** interruptions of active development (interest becomes cost of idleness → expense). Do NOT suspend for: delays that are a necessary part of getting ready (monsoon for a bridge where normal; ageing of wine); short interruptions; periods of substantial technical/admin work.

CEASE: when substantially all activities to prepare the asset are complete (physical completion; **capable of use, not actually used**; ignore minor decorative/admin work). Part-completion → cease per usable part when each is substantially complete; if the whole must be complete before any use (e.g. sequential-process steel mill), cease only at whole-asset readiness.

Journal entries

Event	Entry
Interest accrues	Interest Expense A/c Dr; To Interest Payable/Bank A/c
Capitalisable portion	Capital WIP A/c Dr; To Interest Expense A/c
Temp-investment income (specific)	Bank A/c Dr; To Interest Expense A/c
On completion	Fixed Asset A/c Dr; To Capital WIP A/c

Worked mini-example

General pool ₹2,00,00,000 with interest ₹22,40,000 → cap. rate = 22,40,000 ÷ 2,00,00,000 = **11.2%**. Opening WIP ₹90,00,000 (full year) + ₹60,00,000 spent evenly (half tied up) → weighted-avg expenditure = 90,00,000 + 30,00,000 = ₹1,20,00,000. Capitalise = 11.2% × 1,20,00,000 = **₹13,44,000**; ceiling ₹22,40,000 OK; expense = 22,40,000 − 13,44,000 = **₹8,96,000**. No temp income netting (general pool). Ties to ₹22,40,000.

Timing example: monthly interest ₹1,00,000. Apr–Jun active → capitalise ₹3,00,000; Jul–Sep strike (extended/abnormal) → suspend/expense ₹3,00,000; Oct–Jan active → capitalise ₹4,00,000; asset ready 31 Jan → Feb–Mar expense ₹2,00,000. Capitalised ₹7,00,000, expensed ₹5,00,000, total ₹12,00,000.

Disclosures

1. Accounting policy adopted for borrowing costs.
2. Amount of borrowing costs capitalised during the period. Capitalised costs presented **inside** the asset (Capital WIP / Inventory), never a separate line. Expensed costs → Finance Costs in P&L.

Exam traps & must-remember

- Net temp-investment income **only for specific** borrowings; general → income to P&L, no netting (most-tested trap).
- "Held a long time" ≠ qualifying; must **necessarily take** substantial time. Mass-produced repetitive inventory never qualifies.
- Start only when all three commencement conditions run (use latest date); earlier interest expensed.
- Suspend only for extended + abnormal interruptions, not necessary-part delays.
- Cease at substantial physical completion (capable of use, not actually used); part-by-part if independently usable.
- Apply general rate to **weighted-average** expenditure (incl. prior capitalised interest), not closing balance.
- Never capitalise the whole forex loss — only the interest-adjustment portion.
- Interest to buy an already-ready asset is always expensed regardless of loan size (trigger is asset's nature).
- Preference/equity dividends and imputed interest on own funds are NOT borrowing costs.
- Reconciliation check: capitalised + expensed = total actual borrowing cost.

One-line recall

- Interest = cement only for slow-built (qualifying) assets; else expense.
- Specific: actual interest − temp income. General: rate × weighted-avg expenditure, capped at actual, no netting.
- Mixed: two separate streams, add.
- Start = latest of (expenditure + cost + activities); pause when site sleeps (extended/abnormal); stop when asset is capable of use.
- Disclose policy + amount capitalised; always tie capitalised + expensed to actual.

AS 17: Segment Reporting

Snapshot

A single consolidated profit averages away the risk dispersion investors need. AS 17 forces a diversified enterprise to disaggregate results by **business** (what you sell) and **geographical** (where you operate) segments — one primary (full disclosure), one secondary (lighter). Applies to listed + large (Level I / non-SMC) enterprises.

Core concepts

- **Business segment** = component providing a product/service or group of related products/services with **risks and returns different** from other segments. Factors: nature of products, production process, class of customers, distribution methods, regulatory environment.
- **Geographical segment** = component operating within a particular economic environment with distinct risks/returns. Factors: economic/political conditions, proximity, currency risk, exchange controls. May be by **location of assets** or **location of customers**.
- **Segments identified from internal organisational/management structure and internal reporting system** (best evidence of where risks lie), not invented for the report. If internal structure is on neither products nor geography → drop to next lower level.
- Segment defined by **risk**, not legal/reporting convenience. A dominant single-product firm may have one reportable business segment (still states this + gives geographical secondary info).

Key provisions / rules

Scope: Listed (or listing) enterprises + all others exceeding Level I / non-SMC threshold. NOT for SMCs / Level II–IV. When both consolidated and standalone statements are issued, segment info given **only on consolidated basis**. (Confirm current thresholds.)

Primary vs secondary:

Dominant risk source	Primary	Secondary
Products/services	Business	Geographical
Geographical areas	Geographical	Business
Matrix / balanced	Business (default)	Geographical
Optional full **matrix presentation** allowed (both axes full).		

Reportability — pass ANY ONE of three 10% tests (≥, inclusive; OR logic):

Test	Base	Threshold
Revenue	Total revenue of all segments (**external + inter-segment**)	≥ 10%
Result	**Greater, in absolute value, of Σ profits OR Σ losses**	≥ 10%
Assets	Total segment assets	≥ 10%

75% coverage test (top-up): if reportable segments' **external revenue** < 75% of enterprise external revenue, promote more segments (largest first) until ≥ 75% reached — even if they fail all 10% tests.

Comparability: segment that was reportable last year and is of continuing significance → keep reporting even if now fails 10% tests. Segment newly reportable → **restate prior comparatives** to show it separately (unless impracticable).

Edge cases: a small-revenue big-loss segment is caught by the result/assets test. A purely internal (inter-segment only) segment can be reportable via revenue test but adds **zero** to the 75% external-revenue coverage.

Measurement (same accounting policies as enterprise):

- **Segment Revenue** = directly attributable + reasonably allocable + inter-segment transfers. Excludes: extraordinary items; interest/dividend income; gains on sale of investments/debt extinguishment — **unless a financial segment** (bank/NBFC), where interest income IS in revenue.
- **Segment Expense** = directly attributable + reasonably allocable + inter-segment. Excludes: extraordinary items; interest expense (unless financial); investment/debt losses (unless financial); **income tax**; **unallocable general/head-office expense**.
- **Segment Result** = Segment Revenue − Segment Expense. An **operating** figure (interest & tax deliberately excluded → reconciliation).
- **Segment Assets** = operating assets (direct + allocable), net of related provisions. Exclude income-tax assets. Financial segment → include lending assets.
- **Segment Liabilities** = operating liabilities. Exclude income-tax liabilities and **interest-bearing borrowings** (unless financial segment).
- **Symmetry rule:** whatever is excluded from result, exclude the matching item from assets/liabilities.
- **Inter-segment transfers** priced on the basis the enterprise actually uses (cost/cost-plus/market), disclosed, and eliminated in enterprise totals.
- Jointly-used items allocated only if a **reasonable basis** exists; else unallocated (reconciliation only).

Worked mini-example

Result test with losses dominating: P 60, Q 30, R (140), S (90), T (10). Σ profits = 90; Σ losses (abs) = 240. Base = **greater absolute = 240**; 10% = 24. P, Q, R, S pass (|result| ≥ 24); T (10) fails on result. Net result (150) is **never** the base.

Financial-segment reconciliation: total segment result ₹200 − unallocated corporate expense ₹50 − enterprise interest ₹90 = PBT ₹60; − tax ₹60 = PAT ₹0. Interest, tax, unallocated cost live only in the reconciliation.

Disclosures

Primary (FULL, per reportable segment):

1. Segment revenue split external / inter-segment; 2. Segment result; 3. Segment assets (carrying amount); 4. Segment liabilities; 5. Cost to acquire segment fixed assets (capital additions); 6. Depreciation/amortisation in result; 7. Other non-cash expenses (e.g. provisions). Plus **four reconciliations**: segment revenue → enterprise revenue; result → enterprise P/L before tax; assets → enterprise assets; liabilities → enterprise liabilities.

Secondary (LIGHTER — trimmed trio, each with own ≥10% filter): external revenue + segment assets + cost to acquire fixed assets by the other axis. **No** segment result, **no** liabilities, **no** reconciliation on the secondary axis. If customer-location revenue and asset-location differ materially, disclose revenue by customer location AND assets by asset location.

Other: basis of inter-segment pricing (and changes); changes in segment accounting policies (restate priors); types of products/services and composition of each segment.

Exam traps & must-remember

- Result-test base = greater absolute of Σ profits OR Σ losses — never the net result, not always Σ profits.
- Inter-segment revenue is IN the 10% revenue test but OUT of the 75% test (external only).
- Pass ONE test → reportable (OR, not AND).
- Loss-maker with small revenue is caught by result/assets test.
- Never put interest/tax in a segment result (non-financial); financial segment → interest income IN.
- Exclusion is symmetric (interest out of result → borrowings out of liabilities; tax out → tax assets/liabilities out).
- Internal-only segment counts for revenue test but zero for 75% coverage.
- Newly reportable → restate comparatives; formerly significant → may continue.
- Unallocated (head office, corporate, tax, borrowings) is a reconciling item, not a segment.
- Same accounting policies as main statements (differs from Ind AS 108's management approach).
- 10% assets test uses total **segment** assets (not enterprise total incl. unallocated).
- Do NOT over-disclose secondary axis (no result/liabilities/reconciliation) unless matrix presentation elected.

- Tests are "10% or more" and "75% or more" (inclusive — exactly 10% qualifies).
- Single-segment enterprise still discloses that fact + geographical secondary info.

One-line recall

- Un-blend the smoothie: two axes, one primary (full), one secondary (trio).
- Reportable if ANY of revenue / result / assets ≥ 10% (result base = greater abs of Σ profits or Σ losses).
- 75% external-revenue coverage backstop → promote largest until met.
- Segment result is operating; interest & tax only in reconciliation (financial segment excepted).
- Four reconciliations on primary axis; secondary = external revenue + assets + capital additions.
- New segment → restate comparatives.

AS 18: Related Party Disclosures

Snapshot

Financial statements silently assume every transaction is at **arm's length**. A related party — one with power to control or significantly influence — can break that assumption and distort profit/volume, or affect the entity by its mere existence. Remedy is **disclosure, not prohibition**. A pure disclosure standard: it changes what you say, never what you book (AS 9 still governs recognition).

Core concepts

- Three harms: (1) **price distortion** (non-market price), (2) **existence-without-substance / round-tripping** (fake volume), (3) **the relationship itself** even with no transaction.
- **Related party** = at any time during the reporting period one party has the **ability** to control OR exercise significant influence over the other's financial/operating decisions. Test is **ability, not exercise**; applied **at any time during the period** (a subsidiary sold mid-year is related for that window).
- Everything runs on **voting power**, not equity/share capital or number of shares.

Control — any ONE of:

1. Ownership (direct/indirect) of **> 50% of voting power**; OR
2. Control of composition of board/governing body (appoint/remove majority of directors); OR
3. **Substantial interest (≥ 20% voting power)** COMBINED with power to direct policies (by statute/agreement). 20% alone ≠ control.

Significant influence = participation in financial/operating policy decisions but NOT control. Rebuttable presumption: **≥ 20% voting power** (held directly or through subsidiaries) presumed to give significant influence unless clearly demonstrated otherwise; **< 20%** presumed not to, unless demonstrated. May also arise via board representation, policy participation, material inter-company transactions, interchange of managerial personnel, dependence on technical info.

Chain (indirect) control — do NOT multiply: if each link has > 50%, control passes all the way down. H→S1 (80%), S1→S2 (55%) → H controls S2 (the 80%×55%=44% is the economic stake, irrelevant to control).

Key provisions / rules

Related party categories: | (a) | Enterprises that control, are controlled by, or under common control with the reporting enterprise (holding, subsidiaries, **fellow subsidiaries**) | | (b) | Associates & JVs of the enterprise; and the investing party/venturer of which the enterprise is an associate/JV | | (c) | Individuals with voting power giving control/significant influence, and their **relatives** | | (d) | **Key Management Personnel (KMP)** and their relatives | | (e) | Enterprises over which any person in (c)/(d) or their relatives can exercise significant influence (anti-avoidance net) |

- **KMP** = persons with **authority and responsibility** for planning, directing, controlling the entity's activities. About authority, not job title.
- **Relative (closed list):** spouse, son, daughter, brother, sister, father, mother. (NOT nephews, in-laws, grandparents, cousins — narrower than Companies Act / Ind AS 24.)
- **Fellow subsidiaries ARE related** (common control, category a). **Fellow associates are NOT** (common significant influence is not a limb of (b)).

NOT related parties (explicit exclusions):

1. Two companies merely sharing a common director — unless that director can affect **both** companies' policies in their mutual dealings.
2. A single customer/supplier/franchiser/distributor/agent with significant volume — **economic dependence ≠ influence**.

3. Providers of finance (banks/lenders), trade unions, public utilities, government departments/agencies — in the course of **normal dealings** (if a lender takes control, e.g. 55% equity or board majority, it becomes related).

Exemptions from disclosure (relationship still exists):

- Intra-group transactions eliminated on consolidation → not disclosed in CFS.
- State-controlled enterprises → need not disclose transactions with **other** state-controlled enterprises (but must disclose with own subsidiaries/associates/KMP).
- Statutory/regulator-imposed confidentiality override (narrow; not mere contractual secrecy).

Related party transaction = transfer of resources or obligations between related parties, **whether or not a price is charged** (gifts, interest-free loans, free guarantees count). Dividend to a director-shareholder on the **same terms** as all shareholders is generally NOT a distinct RPT (capacity matters).

Disclosure — the control asymmetry:

Relationship	No transactions	With transactions
Control (holding/subsidiary)	**Name it anyway**	Full disclosure
Significant influence (associate/JV)	Disclose nothing	Full disclosure

Where transactions occurred, disclose: name of party; description of relationship; nature of transactions; volume (amount or proportion); other elements (e.g. pricing/interest-free terms); amounts/proportions of **outstanding balances** at B/S date and **provision for doubtful debts** on related-party dues; **amounts written off/back** in the period. Aggregate items of similar nature by **type of related party**, except where separate disclosure is needed to show the effect.

Transaction types: purchase/sale of goods, fixed assets; services rendered/received; agency; leasing/HP; transfer of R&D; licences; finance (loans, equity); guarantees/collaterals; management contracts incl. deputation; **remuneration to KMP**.

Journal entries

Not applicable — AS 18 is disclosure-only (no recognition/measurement entries).

Worked mini-example

H holds 70% of S and 25% of A; Mr P owns 55% of H; Mrs P (wife) runs PMart selling to S; B Ltd buys 40% of S's output; C Bank lent to S; Mr K is MD of S. Related to **S**: H (control), Mr P (indirect control, cat c), Mrs P (relative, cat c), PMart (cat e), Mr K (KMP, cat d). **NOT** related to S: A Ltd (H's associate, not S's — wrong-entity trap), B Ltd (economic dependence), C Bank (normal financing).

Disclosures

Given as a note in two blocks: (A) names & relationships (category-wise), (B) transactions-and-balances matrix (parties across, transaction types down), plus (C) narrative on terms/pricing. Standard columns: Holding Company, Subsidiaries, Fellow Subsidiaries, Associates/JVs, KMP, Relatives of KMP, Enterprises controlled by KMP/relatives. Control relationships named even with no transactions; outstanding balances and their provisions shown separately; comparatives presented.

Exam traps & must-remember

- Large customer/supplier ≠ related (dependence, not influence).
- Wrong-entity trap: ask "related to WHICH reporting entity?"
- Common director → related only if power over both firms' policies.
- 20% is a **presumption** — rebuttable above (no influence demonstrable) and can be beaten below (board control/agreement); substance both ways.
- "No transactions → nothing to disclose" is WRONG for control relationships (name anyway); RIGHT for significant-influence-only.
- Relative list is closed and narrow — don't import Companies Act's wider list.

- Voting power ≠ equity/share capital (watch preference shares, DVRs).
- Chain control — do NOT multiply percentages.
- Fellow subsidiaries related; fellow associates NOT.
- Capacity matters (KMP remuneration disclosable; ordinary-shareholder dividend generally not).
- Free/interest-free transfers count; their terms are the point.
- AS 18 is disclosure-only — never re-measure the price to arm's length.
- Provision for doubtful debts and write-offs are separate line items.
- Confidentiality carve-out is statutory, not contractual.
- "At any time during the period" catches mid-year exits/acquisitions.
- KMP is about authority, not title.

One-line recall

- Related = ability (not exercise) to control or significantly influence, at any time in the period, on voting power.
- Control = >50% votes / board control / 20%+ with power to direct policy. Sig. influence = 20% rebuttable presumption.
- Categories: holding/subsidiary/fellow-sub, associates/JVs, controlling individuals + relatives (closed 7), KMP + relatives, cat (e) net.
- NOT related: big customer, plain common director, lender/union/utility/govt in normal dealings, fellow associates, two state enterprises.
- Control relationship named even with zero transactions; disclose, never re-measure.
- Chain control not multiplied; relative list narrower than Companies Act / Ind AS 24.

AS 19: Leases

Snapshot

Some leases are financing in disguise (buy-on-EMI); some are genuine rentals. AS 19 draws the line by **substance over form** — who bears substantially all the **risks and rewards** of ownership — and tells lessee and lessor how to account for finance vs operating leases. Classify at inception. Excludes land, natural-resource and licensing agreements.

Core concepts

- **Substance over form:** ignore the label and legal title; ask who bears the risks and rewards.
- **Risks** of ownership: idle capacity losses, obsolescence, variation in returns. **Rewards:** profitable operation over economic life, gain on residual/appreciation.
- **Finance lease** = transfers substantially all risks and rewards (title may or may not transfer). **Operating lease** = any lease that is not a finance lease (residual box).
- **Inception** = earlier of the lease agreement date and the date of commitment to principal provisions. **Classification fixed here; not revised** unless *terms* change (a modification = new lease). Change of estimate or lessee default does NOT reclassify.
- **Lease term** = non-cancellable period + option periods where at inception exercise is reasonably certain (bargain renewal counts).
- **Economic life** = asset concept (period usable / production units). **Useful life** = lessee concept (remaining period from lease-term start over which lessee consumes benefits; NOT shortened by expected renewals).

Key provisions / rules

Classification — finance lease indicators (any one may clinch; weigh for substance, no fixed % thresholds): | (a) | Ownership transfers by end of term | | (b) | Bargain purchase option (price sufficiently below fair value → exercise reasonably certain) | | (c) | Term is the **major part** of economic life | | (d) | PV of MLP at inception ≥ **substantially all** of fair value | | (e) | Asset so specialised only the lessee can use it without major modifications | Weaker indicators: lessee bears lessor's cancellation losses; residual value fluctuations accrue to lessee; bargain secondary-period renewal.

Minimum Lease Payments (MLP): payments over the term the lessee is/can be required to make, **excluding contingent rent** and service/tax costs reimbursed to lessor. PLUS:

- **Lessee's MLP:** residual value guaranteed by lessee or a party related to lessee.
- **Lessor's MLP:** residual guaranteed to lessor by lessee, party related to lessee, OR an **independent third party** financially capable.
- Bargain purchase option → add its exercise price. Asymmetry: a third-party residual guarantee counts for the **lessor** but never the **lessee** → lessee's and lessor's MLP for the same lease can differ. **Contingent rent** excluded (not fixed at inception); recognised when it arises.

Interest rate implicit in the lease = rate making PV of (MLP + unguaranteed residual) = fair value (net of grants/tax credits to lessor). If lessee can't determine it → use **incremental borrowing rate**.

Lessor's toolkit:

- Gross investment = MLP receivable + unguaranteed residual value.
- Net investment = gross investment discounted at implicit rate = fair value + initial direct costs.
- Unearned finance income = Gross − Net.

Initial direct costs: Lessee (finance) → add to asset. Lessor (finance, non-dealer) → in net investment. Manufacturer/dealer lessor → **expensed at inception**. Lessor (operating) → capitalise & spread over term.

The four cells:

	Finance lease	Operating lease
Lessee	Asset + liability at **lower of FV / PV of MLP**; split rental into interest (constant rate on balance) + principal; depreciate	No asset; rent **straight-lined**; difference → lease equalisation
Lessor	Derecognise asset; book **net-investment receivable**; finance income at **constant rate of return**; dealer → also selling profit	Keep & **depreciate** asset; income **straight-lined**

Lessee finance-lease depreciation period: if ownership reasonably certain (test a/b) → **useful life**; otherwise → **shorter of lease term and useful life**. Finance charge and depreciation are computed **independently** → P&L charge front-loaded (exceeds rental in early years).

Manufacturer/dealer lessor — two profits: (i) selling profit at inception (sales value = fair value, or PV of MLP at commercial rate if lower, less cost); (ii) finance income over term. Artificially low quoted rate → recompute selling profit at a **commercial rate**. IDC expensed now.

Sale and leaseback:

- Leaseback = **finance lease:** excess of sale proceeds over carrying amount **deferred and amortised** over the lease term in proportion to depreciation (never recognised now).
- Leaseback = **operating lease:**
  - At fair value → recognise profit/loss **immediately**.
  - Sale price **above** fair value → excess over FV deferred and amortised over expected use.
  - Sale price **below** fair value → recognise now, EXCEPT loss compensated by below-market future rents → defer and amortise over use.
  - Carrying amount > fair value → write down to FV **immediately** as a loss (any leaseback type).

Journal entries

Lessee finance lease (Year 1):

```
Machinery A/c        Dr.  (lower of FV / PV of MLP)
    To Lease Liability A/c
Interest A/c         Dr.  (opening liability × rate)
    To Lease Liability A/c
Lease Liability A/c  Dr.  (rental)
    To Bank A/c
Depreciation A/c     Dr.
    To Machinery A/c
```

Lessor finance lease: Lease Receivable (Net Investment) Dr / To Asset (derecognise). Each year: Bank Dr / To Lease Receivable (principal) / To Finance Income (interest). **Operating lease (lessee, escalating rent):** Rent A/c Dr (straight-line) / To Bank (cash) / To Lease Equalisation (difference).

Worked mini-example

Lessee: 3 year-end rentals of ₹1,00,000; FV ₹2,50,000; IBR 10%. PV of MLP = 1,00,000 × PVIFA(10%,3) = 1,00,000 × 2.48685 = ₹2,48,685 (~99.5% of FV → finance lease). Record at lower = **₹2,48,685**.

Year	Opening	Interest @10%	Rental	Principal	Closing
1	2,48,685	24,869	1,00,000	75,131	1,73,554
2	1,73,554	17,355	1,00,000	82,645	90,909
3	90,909	9,091	1,00,000	90,909	0

Depreciation = 2,48,685 ÷ 3 = ₹82,895/yr. P&L = interest + depreciation, front-loaded (Yr 1 = ₹1,07,764 vs ₹1,00,000 rent); 3-yr total ₹3,00,000 = total rentals. **Advance rentals:** use annuity-due factor; day-0 payment carries zero interest; "lower of" may flip to FV.

Disclosures

Lessee finance: net carrying amount by class within PPE; reconciliation of total MLP to PV by maturity bands **≤1 yr / 1–5 yrs / >5 yrs**; contingent rents in P&L; future minimum sublease payments; general description of significant leasing arrangements (contingent rent basis, renewal/purchase/escalation options, restrictions). **Lessee operating:** future MLP under non-cancellable leases in the three maturity bands; future minimum sublease receipts; lease payments in P&L (split MLP/contingent/sublease); general description. **Lessor finance:** reconciliation of gross investment to PV of MLP receivable in three bands; unearned finance income; unguaranteed residual values; accumulated provision for uncollectible MLP; contingent rents; general description. **Lessor operating:** future MLP under non-cancellable leases in aggregate + three bands; contingent rents; gross carrying amount, accumulated depreciation and period depreciation of leased assets; general description.

Exam traps & must-remember

- "Lower of" is one-directional: lessee records at lower of FV and PV of MLP; flips with advance payments.
- Rental ≠ P&L expense in finance lease — split into interest + principal; P&L = interest + depreciation, front-loaded. Charging the whole rental is wrong.
- Guaranteed residual → in MLP (guaranteeing party). Unguaranteed → out of MLP but in lessor's gross investment. Third-party guarantee counts for lessor only.
- Advance vs arrears: advance (annuity-due) day-0 payment has zero interest; changes every figure.
- Contingent rent never in MLP.
- Title transfer neither necessary nor sufficient for finance lease.
- Depreciate over useful life only if ownership reasonably certain; else shorter of term/life.
- AS 19 excludes land — assess building element separately in "land and building".
- Sale & leaseback: finance leaseback → defer & amortise gain (immediate recognition is the classic wrong answer).
- Classify at inception; don't reclassify for market movement/estimate/default — only term change.
- Dealer's upfront selling profit at commercial rate; dealer IDC expensed now.
- Lessee's and lessor's MLP for the same lease can legitimately differ (residual asymmetry).
- Bargain renewals are inside the lease term (can swing "major part of life").
- IDC placement differs by cell (lessee finance → asset; lessor finance non-dealer → net investment; dealer → expense; lessor operating → capitalise & spread).

One-line recall

- Substance over form: who bears risks & rewards? Finance = yes; operating = residual box.
- Five indicators (ownership transfer, bargain option, major part of life, PV of MLP ≈ FV, specialised); no fixed % under AS 19.
- Lessee finance: asset + liability at lower of FV / PV of MLP; split rental (constant rate); depreciate; front-loaded P&L.
- Lessor finance: net-investment receivable, finance income at constant rate; dealer books two profits.
- Operating: straight-line rent/income; lessor keeps & depreciates asset.
- Sale & leaseback: finance → defer gain; operating at FV → recognise now.
- Excludes land; Ind AS 116 = single lessee model + covers land.

Chapter 20 — AS 20 — Earnings Per Share

Snapshot

EPS expresses performance per unit of ownership. AS 20 fixes every input so EPS is comparable and un-gameable. Two figures: Basic EPS (today's slice) and Diluted EPS (worst-case slice after potential shares convert). Mandatory for listed / to-be-listed enterprises; if any enterprise presents EPS it must follow AS 20 in full.

Core concepts

- **Equity share** — residual claimant, subordinate to all other classes.
- **Potential equity share** — instrument that may become equity: convertible debentures, convertible preference, warrants, options, contingently issuable shares.
- **Dilution** — reduction in EPS (or increase in loss per share) on assumed conversion. **Anti-dilution** — increase in EPS (or reduction in loss) → excluded.
- **Options/warrants** = right to *buy* shares (fresh cash in). **Convertibles** = right to *swap* an existing instrument (no fresh cash).
- Scope: listed → both Basic & Diluted mandatory. Consolidated statements → EPS on consolidated figures; standalone → separate EPS. Present two sets, never blended. Schedule III requires EPS in notes for all companies.

Key provisions / formulas

Basic EPS = (Net profit after tax − Preference dividend) ÷ Weighted average number of equity shares.

Numerator ("clean" equity profit): start with net profit after tax and after extraordinary items; deduct:

- **Cumulative preference dividend** — current year always, whether or not declared. Only the *current year* — NOT arrears (already deducted when they accrued).
- **Non-cumulative preference dividend** — only if declared/provided.
- Premium on redemption of preference shares / excess of buy-back consideration over carrying amount (a preference charge). Mirror: gain on buy-back below carrying amount is *added*.

Denominator (time-fair weighted average) — organising test: **"Did new resources enter the business?"**

- **Resources in (cash issue, shares for asset/acquisition, conversion of debt, dividend reinvestment, shares in lieu of interest/principal)** → include from date resource arrives; time-weight.
- **No resources (bonus, share split, consolidation/reverse split)** → treat as outstanding from *start of earliest period presented*; NO time-weighting; restate prior EPS.
- **Buy-back / cancellation** → subtract time-weighted from date it occurs.
- **Partly paid shares** → fraction of a full share = dividend-participation (paid-up) ratio. If they rank equally for dividend, count as full.
- **Contingently issuable shares** → in Basic EPS only from date all conditions met; before that, tested in Diluted.

Rights issue (hybrid = bonus element + cash issue):

- TERP = (Fair value of all shares before rights + Total amount received on rights exercise) ÷ Number of shares after rights.
- Adjustment factor = Fair value per share before rights (cum-rights close) ÷ TERP. Always ≥ 1; = 1 means no bonus element → treat as ordinary cash issue.
- Pre-rights shares × factor × time-fraction; post-rights shares × time-fraction. Restate prior EPS = old EPS ÷ factor.
- Fair value = cum-rights market price on last day traded *with* rights — NOT the issue price, NOT an average.

Diluted EPS = (Basic numerator + after-tax interest on convertible debentures + preference dividend on convertible preference) ÷ (Basic shares + dilutive potential shares).

- Add back convertible-debenture interest **net of tax**; convertible-preference dividend added back **without** tax adjustment (dividends are post-tax). Adjust for any consequential second-order income/expense (e.g. profit-based commission), net of tax.
- Potential shares assumed converted from **start of period, or issue date if later** (mid-year convertible time-weighted from issue).
- **Options/warrants — treasury stock method:** dilutive only if Exercise price < Average market price (average, because exercise can happen anytime). Incremental (free) shares = Options × (Market − Exercise) ÷ Market. Incremental EPS = 0, numerator effect nil → options always dilutive when in the money. ESOP with unrecognised service cost → add that amount to assumed proceeds (reduces dilution).
- **Anti-dilution sequencing:** (1) incremental EPS = after-tax numerator effect ÷ shares added; (2) rank smallest incremental EPS first (options at 0 usually first); (3) add one at a time; (4) keep only while running EPS falls; exclude the instrument (and all remaining) once its incremental EPS ≥ running diluted EPS. Test against **profit from continuing ordinary operations** (control figure), not against Basic, and not against total profit inflated by extraordinary gains.
- **Loss year → all potential shares anti-dilutive → Diluted EPS = Basic EPS** (both negative).

Journal / presentation

No journal entries. Present **Basic and Diluted on the face of the Statement of P&L, equal prominence, every period**, for each class of equity with different rights; present even if negative; present Diluted even if equal to Basic (separate lines).

Worked mini-examples

- **Basic (cash issue + buy-back):** Profit 8,00,000 − pref div (10% × 5,00,000 cumulative, undeclared) 50,000 = 7,50,000. WA shares: 1,00,000 + 30,000×8/12 − 12,000×3/12 = 1,17,000. EPS = ₹6.41.
- **Bonus (1:2, mid-year):** current 22,50,000 ÷ 9,00,000 = ₹2.50; bonus factor 1.5, restate prior 18,00,000 ÷ 9,00,000 = ₹2.00 (was ₹3.00).
- **Bonus + cash issue (Ex 2A):** bonus factor multiplies the *whole* WA. [4,00,000 + 2,00,000×9/12]×4/3 = 7,33,333; EPS ₹2.25.
- **Rights (Ex 3):** TERP = (2,00,000×25 + 50,000×15)/2,50,000 = ₹23; factor 25/23. WA = 2,00,000×(25/23)×9/12 + 2,50,000×3/12 = 2,25,543; EPS ₹4.21; prior restated 4.00×23/25 = ₹3.68.
- **Diluted (Ex 4):** debentures 1,60,000 shares, after-tax interest 2,40,000×0.7 = 1,68,000, incremental EPS ₹1.05; options 25,000 free shares, incremental EPS ₹0. Both dilutive → 11,68,000 ÷ 6,85,000 = ₹1.71. A 10% convertible pref (incremental EPS ₹5.00 > 1.71) is anti-dilutive → excluded.

Disclosures

1. Numerators for Basic & Diluted + **reconciliation to net profit/loss** (net profit → less pref div → Basic numerator → add back after-tax interest/dividend → Diluted numerator).
2. Weighted-average shares (denominators) for Basic & Diluted + **reconciliation of the two** (Basic shares + dilutive potential = Diluted shares).
3. **Nominal (face) value** of shares with the EPS figures.

- Post-year-end **bonus/split/consolidation/rights-bonus-element** (before accounts approved) → recompute EPS for all periods on new share count; disclose fact. Post-year-end **cash/fair-value issue** → NO restatement; AS 4 non-adjusting disclosure only.

Exam traps & must-remember

- Cumulative pref: deduct even if undeclared; non-cumulative: only if declared. Only current year, not arrears.
- Bonus/split NOT time-weighted; restate comparatives; bonus factor multiplies the whole WA (incl. mid-year cash shares).
- Rights at fair value → factor = 1 → ordinary cash issue, no restatement. Use cum-rights price for TERP.
- Debenture add-back net of tax; preference add-back gross.
- Rank by incremental EPS, test against *running* diluted EPS (not Basic); options first.
- Loss year: Diluted = Basic; dilution can only worsen a result.

- Buy-back reduces WA from buy-back date. Mid-year convertible dilutes only from issue date. Partly paid = fraction; contingent shares enter Basic only when condition met.
- Redemption/buy-back premium on preference deducted from numerator.

One-line recall

- Basic EPS = (PAT − preference dividend) ÷ weighted-average equity shares.
- Numerator = equity's residual; denominator = time-fair count; the master question is "did resources enter?"
- Rights = bonus element (retrospective, via factor) + cash element (time-weighted); factor = FV before ÷ TERP.
- Diluted = worst case: add back after-tax interest & preference dividend, add dilutive potential shares.
- Options dilute via treasury stock (free shares, average market price); anti-dilutive instruments excluded, sequenced most-dilutive-first.
- Present Basic & Diluted on face, equal prominence, every period, even if negative or equal.

Chapter 22 — AS 22: Accounting for Taxes on Income

Snapshot

Tax expense in the P&L must match the accounting profit above it, not the accident of cash tax the return demanded. AS 22 recognises the tax effect of an item in the same period as the item. **Tax Expense = Current Tax + Deferred Tax.** Deferred tax arises only from **timing differences** (which reverse), never from permanent differences.

Core concepts

- **Current tax** = tax payable on the year's *taxable income* per the Income-tax Act (straight off the return).
- **Deferred tax** = tax effect of **timing differences** — differences between accounting and taxable income that *originate in one period and are capable of reversal* in later periods.
- **Permanent differences** — enter only one computation, ever; never reverse → NO deferred tax; only shift the effective rate. Examples: income-tax penalties, disallowed donations/CSR, Sec. 40A disallowances, exempt agricultural income, tax-free interest/dividends.
- **Timing differences** — same amount hits both computations in different periods → deferred tax. Examples: depreciation (book SLM vs tax WDV block); Sec. 43B items (bonus, PF, gratuity, bank interest, statutory dues — allowed only on payment); provisions (doubtful debts, warranty); unabsorbed depreciation & carried-forward business losses.
- Acid test: *"Does the same amount eventually appear on the other side?"* Yes = timing; No = permanent. **Recurring ≠ reversing** (a penalty every year is a fresh permanent difference each year).
- AS 22 uses the **liability method** (re-measures on rate change) computed on the **timing-difference / income-statement** lens (not Ind AS 12's balance-sheet temporary-difference lens). No OCI: periodic movement → P&L; only opening transition adjustment → revenue reserves.

Key provisions / rules

Direction — write timing difference as (Tax deduction − Book):

Situation	Taxable income today	Future tax	Balance
Tax dep > Book dep; 43B expense allowed now	Lower	Higher	**DTL**
Book dep > Tax dep; provisions disallowed now; c/f losses	Higher	Lower	**DTA**

- **DTL — recognised in full, always.** Prudence: never hide a future obligation. No certainty test.
- **DTA — conditional:**
  - **Tier 1 (reasonable certainty)** for ordinary timing differences: recognise to the extent of reasonable certainty of sufficient future taxable income (convincing evidence: existing profitable operations, firm orders, track record).
  - **Tier 2 (virtual certainty + convincing evidence)** for **unabsorbed depreciation / carried-forward losses** — stricter, because a loss history makes future profits doubtful. Virtual certainty needs almost-assured concrete evidence (e.g. signed binding long-term contract). A mere forecast/turnaround hope is NOT enough. Test each layer on its own tier.
  - **Convincing evidence = yes:** signed non-cancellable long-term contracts, firm binding order books, durable existing profits. **= no:** management budgets, "industry recovering," unsigned deals, cost-cut plans not executed, optimism.
- **P&L charge for the year = movement in cumulative deferred-tax balance × rate**, not the isolated year's difference.
- **Review each balance-sheet date:** write down a DTA when realisation no longer certain; reverse the write-down when certainty returns; recognise a previously-unrecognised DTA in the year certainty first arrives (no restatement of the earlier year).

Measurement:

- Rates **enacted or substantively enacted** by the balance sheet date; use the rate expected at *reversal*. Do not anticipate un-enacted future changes. A post-year-end rate change is generally a non-adjusting event — disclose, don't re-measure.
- **Average rate** across slabs; include **surcharge + cess**; use the actual/opted concessional rate that will tax the reversing rupee.
- **NO discounting** of DTA/DTL.
- **Rate change → re-measure the entire existing balance** at the new rate; effect goes to current-year P&L (in full, not spread).
- **MAT credit is NOT deferred tax** — shown separately as "MAT Credit Entitlement" (Guidance Note).

Depreciation — the flagship: book and tax depreciation write off the *same total* over life (differ only in pattern), so the cumulative difference reverses to zero → guaranteed timing difference. Revaluation: extra book depreciation on revalued portion has no tax match → timing difference (contrast Ind AS 12).

Journal entries

```
Create DTL:   P&L A/c            Dr    to  Deferred Tax Liability
Reverse DTL:  Deferred Tax Liab. Dr    to  P&L A/c
Create DTA:   Deferred Tax Asset Dr    to  P&L A/c
Reverse DTA:  P&L A/c            Dr    to  Deferred Tax Asset
Current tax:  P&L A/c            Dr    to  Provision for Tax
```

Sign rule: create/increase DTL → Dr P&L (more expense); create/increase DTA → Cr P&L (less expense); reversals flip.

Worked mini-example

PBT 5,00,000; book dep 40,000, tax dep 1,00,000; rate 25%.

- Taxable income = 5,00,000 + 40,000 − 1,00,000 = 4,40,000; current tax = 1,10,000.
- Timing diff = 60,000 (tax dep > book) → DTL = 25% × 60,000 = 15,000.
- Total tax = 1,10,000 + 15,000 = 1,25,000 → ÷ 5,00,000 = **exactly 25%** (deferred tax normalised the rate). PAT = 3,75,000.

Rate-change (Ex 4): DTL 3,00,000 at 30% (diff 10,00,000). Rate falls to 25%: required 25%×10,00,000 = 2,50,000 → ₹50,000 **credit** to P&L on the *whole* opening balance. Fresh diff 2,00,000 × 25% = 50,000 charge. Net Year-4 deferred tax = 0; closing DTL = 3,00,000 (= 25% × 12,00,000). Trap: applying 25% only to the new layer.

Disclosures

- **Break-up of major components** of the deferred-tax balance by type (depreciation, doubtful debts, 43B items, c/f losses) — shown separately, not a single net number.
- **Nature of the evidence** supporting a DTA where there is unabsorbed depreciation / carry-forward losses (basis for virtual certainty) — mandatory, heavily tested.
- Transition/first-adoption: accumulated deferred-tax balance adjusted against **revenue reserves**, not current P&L.

Balance-sheet presentation: net DTA or DTL as a single **non-current** figure per *enterprise* (Schedule III). Offset DTA vs DTL only if legally enforceable right of set-off AND same governing tax law. Never net against current tax (advance tax / provision). Do NOT cross-net separate group entities — a group may show both a net DTA and a net DTL.

Exam traps & must-remember

- Never defer a permanent difference (penalty, exempt income, CSR); strip permanents first.
- Get direction right: (Tax − Book) positive = DTL, negative = DTA.
- No DTA on c/f losses without virtual certainty + stated evidence.
- Don't confuse reasonable vs virtual certainty (virtual only for unabsorbed dep & c/f losses).

- Never discount; never net against current tax; deferred tax is non-current.
- Re-measure the *whole* balance on a rate change (effect to current P&L).
- Review DTA yearly; recognise previously-unrecognised DTA when certainty arrives (no restatement).
- MAT credit ≠ DTA. Recurring ≠ reversing. Don't cross-net group DTA/DTL.

One-line recall

- Tax Expense = Current Tax + Deferred Tax; deferred tax only on reversing (timing) differences.
- DTL always in full; DTA only on reasonable certainty (virtual certainty + evidence for unabsorbed dep / c/f losses).
- Measure at enacted/substantively-enacted rate incl. surcharge & cess; never discount; re-measure entire balance on rate change.
- Depreciation is the classic timing difference (book vs tax patterns sum to the same total).
- Present net, non-current, per enterprise; disclose components + evidence for loss-based DTA.
- Sanity check: no permanent differences ⇒ (Current + Deferred) ÷ PBT = statutory rate.

Chapter 24 — AS 24: Discontinuing Operations

Snapshot

When a company exits a major, self-contained chunk of business, blended totals hide the split between *continuing* (recurring, matters for valuation) and *discontinuing* (one-time, vanishing) performance. AS 24 forces early **separation** so users can forecast. It is a **presentation & disclosure standard only — NO recognition or measurement rules.** Separation is neutral: it protects against over-valuing a shed profit engine and under-valuing a shed loss drain.

Core concepts

- **Discontinuing operation** — a *component* satisfying ALL of, tied to a single plan/agreement:
    1. Enterprise, pursuant to a **single plan**, is disposing of it substantially in its entirety (single transaction / demerger / spin-off), piecemeal, or **terminating by abandonment**;
    2. It is a **separate major line of business or geographical area** (materiality of *structure*, not rupees);
    3. It can be **distinguished operationally and for financial reporting** (assets, liabilities, revenue, most operating expenses directly attributable).
- **Does NOT qualify:** evolutionary phase-out of a product line; dropping some products in a continuing line; relocating production/marketing; closing a facility for cost savings; selling a **similar-business** subsidiary; temporarily **suspending/mothballing** with intent to resume. Logic: if the enterprise stays in substantially the same business, nothing to strip out.
- AS 17 segment status is a strong *indicator*, not a strict pre-condition — the test is the substance test above.

Key provisions / rules

Initial Disclosure Event (trigger) = the EARLIER of:

1. Enterprise enters a **binding sale agreement** for substantially all attributable assets; OR
2. Board (or governing body) **approves AND announces** a detailed formal plan (within this route take the **later** of approve/announce — both mandatory).

- Mere intention ≠ trigger. Unannounced plan ≠ trigger (announcement creates valid expectation, like AS 29 restructuring). Non-binding MoU / LOI / "subject to approval not yet obtained" ≠ binding.
- The **detailed formal plan** identifies: major assets to be disposed; expected method; period to complete; principal locations; location/function/approx. number of employees to be compensated; estimated proceeds/salvage.
- *Within* route 2 take the later of the two events; *across* routes take the earlier.

Initial disclosure (Tier 1 — made in the period of the event and repeated/updated each period):

1. Description of the discontinuing operation.
2. Business/geographical segment(s) it is reported in under AS 17.
3. Date and nature of the initial disclosure event.
4. Expected date/period of completion, if known.
5. Carrying amount, at balance-sheet date, of **total assets** and **total liabilities** to be disposed of — shown **gross, not netted**.
6. **Revenue, expenses, pre-tax profit/loss from ordinary activities, and related income tax** of the discontinuing operation. This is *ordinary* activities — NOT the disposal gain. Include all four lines (esp. the tax line).
7. **Net cash flows** — operating, investing, financing (AS 3 buckets).

On disposal / settlement (Tier 2 — once transactions happen):

- (a) Gain/loss recognised on disposal of assets or settlement of liabilities, and related income tax.
- (b) Net selling price (or range) of net assets under binding sale agreement, expected timing of cash receipt, and carrying amount of those net assets.

Face vs notes: item 6 (pre-tax profit/loss from ordinary activities + its tax) **on the FACE of the P&L**; all other AS 24 disclosures on face or (usually) notes.

Ongoing: disclose **every period until substantially complete or abandoned**; disclose **nature and reason** of significant changes in amount/timing; **restate comparatives** to segregate continuing/discontinuing. **Abandonment** is itself disclosable (fact + reason); revert to continuing treatment.

Which year (relative to balance-sheet date, NOT accounts-signing date):

- Event **on/before** B/S date → full current-year split (items 5–7; item 6 on face).
- Event **after** B/S date, before accounts signed → **AS 4 non-adjusting event**: disclose nature and estimated financial effect in a note only; measured figures unchanged.

Boundary — AS 24 measures nothing; other standards do:

- Impairment write-down of component assets → **AS 28**.
- Termination/restructuring provisions → **AS 29**.
- Adjusting vs non-adjusting timing → **AS 4**.
- Asset derecognition / gain on disposal → **AS 10**; tax on it → **AS 22**.
- Cash-flow classification → **AS 3**. Disposal gain is *ordinary activities* under AS 5, not extraordinary.

Journal entries

None — AS 24 is disclosure/presentation only.

Worked mini-example

Meridian Ltd, board approved & announced Textiles disposal 15 Jan 2026 (within FY ending 31 Mar 2026) → full disclosure. Split (₹ lakh): Revenue 3,000; Expenses 2,650; pre-tax profit 350 (on face); tax @30% = 105; post-tax 245; total assets 2,400; total liabilities 900; cash flows +300 / (120) / (80). Reconciles: continuing 1,800 + discontinuing 350 = 2,150 total. Sustainable pre-tax profit = ₹1,800, not ₹2,150.

- **Loss-drain mirror:** discontinuing loss (250) yields a tax **saving** of +75, post-tax (175); removing the drain *raises* visible continuing profit.
- **Timing swing:** if approved/announced 5 Apr 2026 (after year-end) → AS 4 non-adjusting note only; no current-year split.
- **"Earlier of":** approve 20 Feb, announce 12 Mar, binding agreement 8 Apr → event is 12 Mar (route 2 complete, earlier than 8 Apr); full disclosure in FY 2025-26; the 8 Apr agreement is a subsequent-event note.

Disclosures

See Tier 1 (initial: items 1–7) and Tier 2 (on disposal: gain/loss + tax, net selling price, timing, carrying amount) above. Keep operating result rigidly apart from disposal gain; assets/liabilities gross; every profit/gain shown with its tax.

Exam traps & must-remember

- AS 24 never tells you to write down / provide — cite AS 28 / AS 29.
- Don't trigger on mere intention or an unannounced (though approved) plan.
- Restructuring/cost-cutting closure, relocation, dropping some products, or selling a *similar* subsidiary do NOT qualify.
- "Earlier of" across routes; "later of" approve-and-announce within route 2.
- Don't blend disposal gain into the operating result.
- Item 6 (pre-tax ordinary result + tax) belongs on the FACE.
- Continue disclosure every period until substantially complete/abandoned; update changes; restate comparatives; disclose abandonment.
- Post-B/S-date event = AS 4 non-adjusting (disclose only); on/before B/S date = full current-year disclosure.

- Show related tax; a discontinuing **loss gives a tax saving** (sign flip).
- Item 5: total assets and total liabilities gross, not net.
- Disposal gain is ordinary (AS 5), not extraordinary.

One-line recall

- AS 24 separates the vanishing part of the business from the continuing part — it discloses, it does not measure.
- Trigger = earlier of binding sale agreement OR board-approved-AND-announced detailed formal plan.
- Show revenue/expenses/pre-tax result/tax and net cash flows of the discontinuing operation; pre-tax ordinary result + tax on the face.
- Keep disclosing every period until substantially complete/abandoned; restate comparatives.
- Which year is decided by when the event occurred relative to the B/S date.
- Ind AS 105 adds measurement (held-for-sale, lower of carrying amount and fair value less costs to sell, stop depreciation, "highly probable within 12 months"); AS 24 does not.

Chapter 25 — AS 25: Interim Financial Reporting

Snapshot

AS 25 slices a year into interim pieces (quarter/half-year) without distorting any piece. It governs the **minimum content** and the **recognition/measurement** of interim reports — but does NOT mandate who reports, how often, or how soon (that is the regulator's job, e.g. SEBI). Philosophy: **discrete view for recognition** (each period stands alone, no smoothing) but **year-to-date for the arithmetic** (so reporting frequency never changes the annual result). Greater use of estimates is permitted.

Core concepts

- **Interim period** = a reporting period shorter than a full financial year.
- **Interim financial report** = complete set (AS 1) or condensed set of statements for an interim period.
- **Discrete view chosen:** seasonal revenue is not smoothed; a real Q1 loss is shown. Smoothing hides information and enables earnings management.
- **Year-to-date engine (the one formula):** *Amount recognised this interim period = (best year-to-date measure today) − (sum already recognised in prior interim periods of the same year).* Positive = charge; negative = reversal/true-down. Resets to zero every 1 April.
- Scope nuance: a regulator can dictate the *format/presentation*, but **AS 25 recognition & measurement still govern every number.** If a report claims compliance with Accounting Standards, it must comply with ALL AS 25 requirements.

Key provisions / rules

Minimum components (condensed): (a) condensed Balance Sheet; (b) condensed Statement of P&L; (c) condensed Cash Flow Statement; (d) selected explanatory notes. Keep **every heading & sub-heading** from the last annual statements (condense *detail*, never drop a heading); add line items if omission misleads. **Basic & diluted EPS on the FACE** of the P&L. **Consolidated** if annual statements are consolidated. A "complete set" must meet full AS 1 form/content.

Comparatives (stock vs flow):

Statement	Current	Comparative
Balance Sheet (stock)	end of current interim period	immediately preceding **annual** (year-end) B/S
Statement of P&L (flow)	current interim period **AND** cumulative year-to-date	comparable interim period AND comparable YTD of preceding year
Cash Flow (flow)	cumulative YTD	comparable YTD of preceding year

Q3 FY 2025-26 example: B/S 31 Dec 2025 vs 31 Mar 2025; P&L Oct–Dec 2025 & Apr–Dec 2025 vs corresponding 2024; Cash flow Apr–Dec 2025 vs Apr–Dec 2024. H1 special case: current quarter and YTD coincide → single P&L column (not an error).

Recognition & measurement:

1. **Same accounting policies** as annual (except policy changes to be reflected in the next annual statements).
2. **Year-to-date** measurement so frequency doesn't affect annual result.
3. **Seasonal/cyclical/occasional revenue → recognise when it occurs; never anticipate or defer** (no smoothing).
4. **Uneven costs → anticipate or defer ONLY IF appropriate at the YEAR-END:** if it would be an asset/prepayment at year-end → carry forward; if a liability/accrual (AS 29 present obligation) at year-end → accrue proportionately; else expense when incurred (no pre-spreading a future cost, no deferring a paid one-off). Test the *accrual pattern*, not the payment schedule.
5. **Greater use of estimates** permitted (gross-margin inventory, proportionate actuarial, estimated average annual effective tax rate) — must stay reliable & relevant.

6. **Change in estimate in a later interim period → account in that later period (prospective); do NOT restate the earlier quarter;** disclose nature and amount.
7. Interim reporting never reaches backwards across 31 March.

Standard's own examples:

- Employer payroll tax/insurance assessed annually → accrue at estimated average annual rate.
- Year-end bonus → accrue only if present legal/constructive obligation + reliable estimate (AS 29); discretionary with no obligation → recognise when it arises.
- Planned major overhaul / periodic maintenance later in year → NOT accrued early (no present obligation; even a legally required future overhaul is not a present obligation).
- Volume rebates (customer) / purchase concessions (supplier) → accrue if probable they'll be earned.
- Advertising / start-up / training (AS 26) → expense as incurred; never defer.
- Depreciation → only on assets owned during that period.
- FX / provisions / impairment / inventory → same AS (AS 11/29/28/2) on conditions then existing; estimates permitted.
- **Interim tax = estimated weighted-average ANNUAL effective tax rate × YTD pre-tax profit − tax already booked** (reflects expected deductions, slabs, credits — not the flat statutory rate).
- Threshold-triggered levies/rebates → recognise proportionately via YTD engine once crossing is probable.

Inventory vs goodwill on recovery: inventory write-down **may be reversed** within the year if NRV recovers (AS 2, capped at cost); **goodwill impairment NOT reversed** (AS 28). Interim treatment mirrors what year-end would do.

Materiality judged against the **interim period's** data, not the annual figures (a small annual error can be huge to a quarter's reader).

Journal entries

No AS 25-specific entries; measurement applies the connected standards.

Worked mini-examples

- **Seasonal revenue (Ex 1):** Q1 20, Q2 30, Q3 150, Q4 200 (₹ lakh) reported as earned — NOT smoothed to 100 each; disclose seasonality. Sum = 400 = annual.
- **Uneven costs, Q1 (Ex 2):** property tax 12L → accrue 3/12 = 3; advertising 40L (Q3) → 0; contractual bonus 24L → 6; overhaul 30L (Dec) → 0; insurance 8L paid 1 Apr → 2. Q1 charge = 11L. Discretionary bonus → 0 in Q1.
- **Interim tax + estimate change (Ex 3):** rate 25% then revised to 30% at Q3. Q1 100×25%=25; Q2 (200×25%) −25=25; Q3 (500×30%)−50=**100** (contains 10L catch-up on Q1–Q2, landing in Q3, no restatement); Q4 (600×30%)−150=30. Sum 180 = 30%×600.
- **Inventory (Ex 5):** cost 500; NRV 440→480→520. Carrying 440/480/500(cap); P&L 60 charge / 40 credit / 20 credit; net 0.
- **Volume rebate (Ex 6):** 5% rebate if annual purchases > 1,000L. Q1 not probable → 0; Q2 probable, YTD 500 → 25 (incl. catch-up on Q1); Q3 (850×5%)−25=17.5; Q4 (1,100×5%)−42.5=12.5; total 55.

Disclosures (selected explanatory notes — YTD basis)

1. Statement that same accounting policies followed (or nature/effect of change).
2. Seasonality/cyclicality comment.
3. Unusual items (nature, size, incidence).
4. Changes in estimates of prior interim periods (current year or prior years) if material.
5. Issuances, buy-backs, repayments, restructuring of debt/equity/potential equity.
6. Dividends (aggregate or per share, equity & other separately).
7. Segment revenue & result (if AS 17 applies annually).
8. Material subsequent events not reflected.

9. Changes in composition (business combinations, acquisitions/disposals, restructurings, discontinuing operations).
10. Material changes in contingent liabilities since last annual B/S. Plus compliance statement if claiming full AS compliance. **Q4 is a derived balancing figure** = audited annual − nine-month YTD (absorbs earlier estimate corrections).

Exam traps & must-remember

- AS 25 does NOT mandate who/how-often/how-soon — regulator does; AS 25 governs content + measurement.
- Don't smooth seasonal revenue; don't pre-spread a future lumpy cost; don't defer a paid one-off; don't restate earlier quarters for an estimate change.
- Comparatives: B/S vs last **year-end**; P&L two columns (current + YTD); cash flow YTD only. EPS on the face.
- "Condensed" keeps all headings.
- Materiality vs interim data, not annual.
- Interim tax uses estimated annual effective rate on YTD profit, not flat statutory rate.
- Inventory write-down reversible within year; goodwill impairment not.
- Consolidated if annual is consolidated.
- Contractual bonus accrued; discretionary recognised when declared. "Paid annually" ≠ "spread it."
- Regulator sets format but AS 25 still governs measurement.

One-line recall

- Discrete for recognition (no smoothing), year-to-date for the arithmetic (four quarters re-add to the honest year).
- Seasonal revenue when earned; lumpy cost anticipated/deferred only if you could at year-end.
- This quarter's charge = best YTD amount today − already booked; positive = expense, negative = reversal.
- Change in estimate is prospective — never restate an earlier quarter.
- Interim tax = estimated weighted-average annual effective rate × YTD profit − prior tax.
- Minimum = condensed B/S, P&L, cash flow + selected notes; keep every heading; EPS on face; consolidated if annual is.

Chapter 26 — AS 26: Intangible Assets

Snapshot

Intangibles are hard because future benefit is uncertain and cost is hard to isolate. AS 26 answers conservatively and consistently to block profit inflation and fictitious net worth. It measures **cost, never value** (cost model only, no revaluation). Two-gate entry; research expensed, development capitalised only when six criteria are met; **once expensed, never reinstated**; rebuttable presumption that useful life ≤ 10 years. Default bias: **when in doubt, expense.**

Core concepts

- **Intangible asset** = identifiable, non-monetary asset, without physical substance, **held for use** (production/supply, rental, administration). Non-monetary excludes cash/receivables/prepaids.
- **Scope excludes:** intangibles held for sale in ordinary course (AS 2), deferred tax assets (AS 22), leases (AS 19), goodwill on amalgamation (AS 14)/consolidation (AS 21), financial assets, insurance/mineral/oil-gas rights, debenture discount/premium, share-issue expenses.
- **Software four-way split:** OS integral to hardware → AS 10 (PPE); purchased application → AS 26; internally developed application → AS 26 (research/development divide); built for sale in ordinary course → AS 2 (inventory).
- **Website costs:** planning = research (expense); infrastructure/content meeting six criteria = capitalise; ongoing content & promotional sites = expense.

Key provisions / rules

Stage 1 — definition (must pass all three):

- **Identifiability** — separable (can be sold/licensed/rented on its own) OR arises from contractual/legal rights. Passing EITHER gate suffices (a non-resaleable licence is still identifiable via legal right).
- **Control** — can obtain benefits AND restrict others, usually via legal rights. Fails for: trained/skilled workforce, customer loyalty, market share, customer relationships without contracts (→ not intangible assets).
- **Future economic benefits** — revenue OR cost savings (e.g. a process that cuts electricity).

Stage 2 — recognition (both required): (a) **probable** future benefits will flow; (b) **cost measurable reliably.** Stage 1 and Stage 2 are separate — an item can be an intangible asset yet fail recognition (unreliable cost). "Probable" = more likely than not; weigh external evidence over management optimism.

Initial measurement — at cost:

- **Separate acquisition:** purchase price + import duties + non-refundable taxes + directly attributable cost to make ready (professional fees, testing). Deduct trade discounts/rebates. **Exclude:** general admin/overheads, costs after asset is operable, initial operating losses, refundable taxes (GST/CENVAT), training, advertising.
- **Deferred payment** beyond normal credit → cost = **cash price equivalent**; excess = interest expense over the credit period (unless AS 16 capitalisation).
- **Amalgamation (AS 14):** at **fair value** if criteria met; else subsumed into **goodwill**. A buyer *can* recognise an intangible the seller couldn't (seller's internally generated brand) — prohibition binds the creator, not the purchaser.
- **Government grant:** nominal value or acquisition cost (AS 12) + directly attributable cost.
- **Exchange:** fair value of asset given up (or of asset received if more evident; else carrying amount given up).

Internally generated — two absolute prohibitions (NEVER recognise):

- Internally generated **goodwill**.
- Internally generated **brands, mastheads, publishing titles, customer lists and similar items** (cost not distinguishable from cost of developing the business).

Research vs development:

- **Research phase** (gaining new knowledge; searching/evaluating alternatives) → **expense always**.
- **Development phase** → capitalise ONLY if ALL SIX criteria (PIRATE) demonstrated: (1) **technical feasibility** of completion; (2) **intention** to complete and use/sell; (3) **ability** to use/sell; (4) **how it generates probable future benefits** (market/usefulness); (5) **adequate resources** (technical, financial) to complete; (6) **ability to measure cost reliably**. Capitalise **from the date all six are first met** — never earlier. Fail one → expense.
- **Cannot split research from development → treat ALL as research (expense).**
- **Cost of internally generated intangible** = spend from six-criteria date to ready-for-use: materials/services, salaries of personnel directly engaged, directly attributable overheads (depreciation/amortisation of assets used), reasonable allocation, AS 16 borrowing costs. **Exclude:** selling/admin/general overheads, identified inefficiencies, initial operating losses, staff training.
- **Once expensed, never capitalised** — even if criteria later met.

Subsequent expenditure: add to carrying amount only if probable it enables benefits **in excess of the originally assessed standard of performance**, and measurable/attributable reliably; otherwise expense (usually expensed).

After recognition — cost model only: Carrying amount = Cost − Accumulated amortisation − Accumulated impairment losses. **No revaluation model** (unlike Ind AS 38).

Amortisation & useful life:

- Depreciable amount = cost − residual value. **Residual value presumed ZERO** unless (a) a third party has committed to buy at end of life, or (b) an active market exists and residual can be determined by reference to it (and probably will exist at end of life).
- **Rebuttable presumption: useful life ≤ 10 years** from available-for-use date. Rebut only with **persuasive evidence** (e.g. legal right for a longer definite period) → then amortise over the longer life, test recoverable amount **at least annually**, and **disclose reasons**.
- Legal-right assets: life ≤ legal-right period (shorter if entity expects less use); include renewal period if renewal is **virtually certain**. Useful life = **lower of economic life and legal-right life**; if that exceeds 10 years, need persuasive evidence + annual impairment test.
- **Method** = pattern of benefit consumption; if not reliably determinable → **SLM**. Amortisation to P&L (unless another standard permits inclusion in another asset). **Begins when asset is available for use.**
- **Review period and method at least each year-end;** changes are **changes in estimate (AS 5) → prospective.**

Impairment (AS 28): at each B/S date assess indications; write down excess of carrying amount over recoverable amount (higher of net selling price and value in use). **Mandatory annual test even without indication** for: (a) intangible **not yet available for use**; (b) intangible amortised over **> 10 years**. Impairment reversal allowed but **capped at depreciated historical cost** (what carrying amount would have been with no impairment).

Disposal: derecognise on disposal or when no future benefits expected. Gain/loss = net proceeds − carrying amount → P&L (NOT revenue). Asset retired and held for disposal → lower of carrying amount and NRV, still impairment-tested.

Journal entries

```
Amortisation A/c        Dr    to  Intangible Asset A/c
Impairment Loss A/c     Dr    to  Intangible Asset A/c
Profit & Loss A/c       Dr    to  Amortisation A/c and Impairment Loss A/c
```

Worked mini-examples

- **Purchased licence (Ex 1):** price 50,00,000 − 10% = 45,00,000 + non-refundable levy 2,00,000 + consultant config/testing 1,50,000 = **₹48,50,000** (refundable GST, training, advertising excluded). Amortise 10 yrs SLM = ₹4,85,000/yr. Deferred payment → use cash price equivalent, excess = interest.
- **Research vs development (Ex 2):** criteria met 1 Oct. Research Apr–Sep 30,00,000 expensed; prototype 18,00,000 + directly attributable OH 4,00,000 = **capitalise ₹22,00,000**; admin 3,00,000, training 1,50,000, initial

loss 5,00,000 expensed. If prototype spend spread Aug–Dec, only Oct–Dec portion (3/5) capitalised.

- **Amortisation + estimate change + impairment (Ex 3):** patent 60,00,000, 10 yrs SLM. After 3 yrs (6,00,000×3) carrying 42,00,000. Life revised to 3 yrs → 42,00,000/3 = 14,00,000/yr (prospective). FY25 carrying 28,00,000; recoverable 18,00,000 → impairment 10,00,000. **Amortise first, then test impairment.** From FY26: 18,00,000/2 = 9,00,000/yr.
- **Brands (Ex 4):** internally generated "ZenX" — ₹80,00,000 spend expensed, market value ₹3,00,00,000 a red herring, carrying = NIL. Acquired "DeltaPro" FV 25,00,000 → recognise. Purchased goodwill = 1,20,00,000 − (85,00,000 + 25,00,000) = 10,00,000.
- **Rebut 10-yr presumption (Ex 5):** 15-yr broadcasting licence, persuasive evidence → amortise 15 yrs (90,00,000/15 = 6,00,000/yr); trigger annual impairment test + disclose reasons. 10 years is a presumption, not a ceiling.

Disclosures (per class; internally generated shown separately from others)

- Useful life or amortisation rate; amortisation method; P&L line item containing amortisation.
- Gross carrying amount and accumulated amortisation (+ impairment) at beginning and end.
- **Reconciliation** of carrying amount (additions — internally generated separately; retirements/disposals; impairment losses/reversals per AS 28; amortisation; other changes).
- Reasons the 10-year presumption was rebutted (life > 10 yrs) and supporting factors.
- Description/carrying amount/remaining amortisation period of any individually material intangible.
- Intangibles with restricted title or pledged as security; commitments to acquire intangibles; grant-acquired intangibles at fair value.
- **Aggregate R&D expenditure recognised as expense** in the period.

Exam traps & must-remember

- Once expensed (research/pre-criteria), never reinstated.
- Internally generated brand/goodwill/masthead/customer list never recognised (purchased versions are).
- 10-year is rebuttable, not a hard cap → longer life needs evidence + annual impairment test.
- Residual value default = ZERO. Training and advertising always expensed. Refundable taxes excluded.
- Change in useful life/method = prospective (AS 5), no restatement.
- Amortisation starts when available for use, not first actual use.
- No revaluation model under AS 26. Amortise the year first, then test impairment.
- Gain/loss on disposal is not revenue. Six-criteria date can split a single activity. Deferred payment = cash price equivalent. Definition failure ≠ recognition failure. Subsequent expenditure usually expensed. Impairment reversal capped at depreciated historical cost.

One-line recall

- Two gates: Stage 1 (Identifiable + Control + Future benefit) then Stage 2 (Probable benefit + Reliable cost).
- Measure cost, never value → cost model only, no revaluation.
- Research expensed; development capitalised only when all six criteria met, from that date; once expensed, never reinstated.
- Purchased vs self-grown decides recognition (who created it, not what it is).
- Residual value nil; amortise over lower of economic and legal life, rebuttable 10-year presumption, SLM if pattern unknown; review annually (prospective).
- Mandatory annual impairment test for not-yet-ready and >10-year-life intangibles; reversal capped at depreciated historical cost. Every doubtful case defaults to expense.

AS 27: Financial Reporting of Interests in Joint Ventures

Snapshot

Fills the gap between AS 13 (investment — understates), AS 21 (subsidiary — overstates) and AS 23 (associate — hides gross exposure). Governs interests where control is **shared by contract**. Core rule for a jointly controlled *entity*: **proportionate consolidation** (your share, line-by-line, no minority interest).

Core concepts

- **Two cumulative tests for a joint venture** (BOTH needed): (1) a **contractual arrangement** + (2) **joint control** = shared control where no single party controls unilaterally and strategic financial/operating decisions need **unanimous consent**.
- Contract, not percentage, defines joint control. A 25% holder with a veto is a venturer; two 50% holders with no consent clause are not.
- **Control** = power to govern financial + operating policies to obtain benefits (same as AS 21). **Joint control** = contractually agreed sharing of control.
- **Venturer** = has joint control. **Investor** = interest but NO joint control (→ AS 13, or AS 23 if significant influence). Control = **decision veto**, not profit/benefit slice.
- One venturer acting as manager/operator does NOT destroy joint control; its management fee is AS 9 income.

Key provisions / rules

Three types and treatment:

Type	Separate entity?	Treatment
Jointly Controlled **Operations**	No	Own assets/liabilities/expenses + **share of income** in own books. No consolidation, no goodwill.
Jointly Controlled **Assets**	No	**Share of asset by nature** (not as investment) + own & share of liabilities + share of output/income + own expenses. No consolidation, no goodwill.
Jointly Controlled **Entity (JCE)**	Yes	**Proportionate consolidation** in CFS; **AS 13 investment (cost less impairment)** in separate FS.

Power ladder: Control → AS 21 (full consol + minority interest). Joint control → AS 27 (proportionate, NO minority). Significant influence → AS 23 (equity, one net line). None → AS 13 (cost).

Proportionate consolidation mechanics (JCE, CFS only):

1. Take venturer's **% of every** asset, liability, income, expense.
2. Eliminate **Investment** vs **share of JV equity (capital + reserves) at acquisition** → excess = **Goodwill**; shortfall = **Capital Reserve**. Goodwill **frozen at acquisition date**.
3. Combine line-by-line OR show as separate line items (both permitted).
4. Add venturer's **share of post-acquisition reserves** to consolidated reserves.
5. Eliminate unrealised profit to extent of interest.
6. **NO minority interest** ever (signature of AS 27).

Self-check identity: **Cost of investment + share of post-acq reserves − UP eliminated = net JV items in CFS**.

Exceptions → use AS 13 (not proportionate consolidation): (1) interest acquired & held **exclusively for disposal in near future** (intent judged at acquisition — a later decision to sell does not qualify); (2) JCE under **severe long-term restrictions** impairing fund transfer to venturer. On **loss of joint control**, cease; move to AS 21/AS 23/AS 13 from date of change.

Inter-company (unrealised profit) — "cannot profit selling to yourself":

- **Downstream** (venturer → JV): recognise only portion attributable to *other* venturers; defer own share until JV resells to third party.
- **Upstream** (JV → venturer): defer venturer's share of JV's profit until venturer resells onward.
- Eliminate only to extent of **own interest %** (NOT 100% — other venturers' shares are earned from genuine outsiders).
- Eliminate only on portion **still unsold** at year-end.
- A **loss** evidencing NRV decline/impairment → recognise **FULL, immediately** (prudence). Contribution of non-monetary asset for the interest follows same own-share rule for gains; full loss if value declined.
- Genuine loans/guarantees between venturer and JCE are NOT eliminated like profits.

Different ratios: apply profit-sharing ratio to P&L lines, asset/interest ratio to balance-sheet share where contract so specifies.

Journal entries / mechanics

- Cost-of-control elimination: Investment carrying amount vs share of equity at acquisition → Goodwill (Dr) or Capital Reserve (Cr).
- Same JCE can appear in two venturers' CFS simultaneously (each its own share) — impossible under a control model.

Worked mini-example

P Ltd buys 50% of JV Ltd for ₹30 lakh; JV net assets at acquisition ₹50 lakh (SC 40 + Res 10).

- Goodwill = 30 − (50% × 50) = 30 − 25 = **₹5 lakh**.
- Year-end JV: FA 55, Inv 25, Cash 20, Payables 30 → net assets ₹70 lakh. P's share = FA 27.5, Inv 12.5, Cash 10, Payables 15 → share of net assets 50% × 70 = ₹35 lakh + goodwill 5 = **₹40 lakh** into CFS.
- Post-acq reserves rose 10→30 = ₹20 lakh; P's share 50% × 20 = ₹10 lakh to reserves. Reconciles: 30 (cost) + 10 = 40. ✓
- If P paid ₹22 lakh: 22 < 25 → **Capital Reserve ₹3 lakh** (credited to reserves; asset pickup still ₹35).

Disclosures (AS 27)

1. Aggregate amounts of JV current assets, long-term assets, current liabilities, long-term liabilities, income, expenses — shown **separately**.
2. List + description of significant JVs and **proportion of ownership** in JCEs.
3. Aggregate **contingent liabilities** (separate), including: those incurred re JV interests + share of jointly-incurred; share of JV's own; and those where venturer is **contingently liable for OTHER venturers' obligations** (proportionate consolidation cannot reveal this — the blind-spot disclosure).
4. Aggregate **capital commitments** re JV interests + share of JV's.
5. Basis of reporting (that proportionate consolidation is used).

Exam traps & must-remember

- Proportionate consolidation is **CFS-only**; separate FS = AS 13 investment.
- **Inventing a minority interest** for a JCE = confusing AS 27 with AS 21.
- Joint control from **contract**, not %; can be <50% with veto; need not be 50:50 (50/30/20 with unanimity all share control).
- Defer own share of **profit**; take **loss** in full immediately.
- Goodwill on the **share** at **acquisition-date** net assets (not year-end).
- Eliminate only **your interest %** of unrealised profit, only on **unsold** portion.
- Manager-venturer ≠ controller if strategic decisions still need unanimity.
- "Sharing of benefits" ≠ joint control (that party is an investor).
- Types A & B need NO consolidation, NO goodwill.

One-line recall

- Report your slice, line by line — no minority, because nobody's the boss.
- Trigger = contract + unanimous-consent joint control.
- JCE: proportionate consolidation in CFS, AS 13 in separate FS.
- Goodwill = cost − share of net assets at acquisition (frozen); no minority interest.
- Defer own-share of unrealised profit; full loss immediately.
- Exceptions (held-for-disposal / severe restrictions) → AS 13.

AS 28: Impairment of Assets

Snapshot

Depreciation (AS 10) is cost allocation fixed at acquisition — blind to sudden value falls. AS 28 is point-in-time value verification: no asset may be carried above the cash it can recover. **Impaired when Carrying Amount > Recoverable Amount**; excess = impairment loss, recognised immediately. Age is irrelevant — a brand-new asset can be impaired.

Core concepts

- **Recoverable Amount = HIGHER of Net Selling Price (NSP) and Value in Use (VIU)** — because a fixed asset is *used*, selling is a fallback; the owner takes the better route. (Contrast AS 2 inventory = *lower* of cost and NRV.) Bounded below at **zero** (asset can be abandoned; never negative).
- Shortcut: if **either** NSP or VIU already exceeds carrying amount → not impaired; no need to compute the other.
- Testing is **indicator-driven** (cheap annual scan triggers the expensive test). ICAI AS 28: **no** mandatory annual test for goodwill/intangibles (that is Ind AS 36).

Key provisions / rules

Master rule: Impairment Loss = Carrying Amount − Recoverable Amount (only if positive). "Immediately" (not spread), "exceeds" (strictly greater than). Carrying amount = cost/revalued amount − accumulated depreciation − accumulated impairment.

NSP = fair value from arm's-length sale − direct disposal costs (legal, stamp duty, removal). **Exclude** finance costs, income tax, costs already recognised as liabilities, and termination/reorganisation costs. Evidence order: (1) binding sale agreement → (2) active-market price → (3) best estimate from recent deals.

VIU = PV of future cash flows from continuing use + residual/disposal value, at a **pre-tax** rate.

- Base on reasonable assumptions, most recent budgets; projections generally ≤ **5 years**, then extrapolate at **steady or declining** growth (never rising).
- **Exclude:** cash flows from uncommitted future **restructuring**; **enhancements/improvements** (test asset in current condition); **financing** flows; **income tax**.
- **Consistency:** pre-tax flows ↔ pre-tax rate; nominal ↔ nominal; real ↔ real.
- Residual/terminal value uses prices at valuation date for similar end-of-life assets.

Indicators (illustrative minimum, not exhaustive):

- *External:* market value fell significantly more than expected; adverse tech/market/economic/legal change; market interest rates rose (raises discount rate — but soft trigger, escape valve if insensitive); carrying amount of net assets > market capitalisation.
- *Internal:* physical damage/obsolescence; asset idle / part of discontinuing operation / plan to dispose early; internal reports show worse-than-expected performance.
- **Reversal indicators** mirror these in the opposite direction.

Post-impairment: depreciation resets on new carrying amount − residual over **remaining useful life**.

CGU = smallest identifiable group of assets generating cash inflows **largely independent** of other assets. Boundary drawn by independent **inflows**, not cost/department structure. If an active market exists for the output, it is a CGU even if output used internally. Carrying amount measured consistently with recoverable amount (include allocated goodwill/corporate assets; usually exclude liabilities).

- **CGU allocation order:** (1) reduce **goodwill** fully first (no independent recoverable value); (2) then other assets **pro rata** by carrying amount.
- **Floor:** no asset written below the highest of its own NSP, its own VIU, and **zero**; un-absorbed amount reallocated pro rata to other assets.

Reversal: re-estimate if indicator that prior loss decreased/gone.

- **Ceiling:** increased carrying amount must not exceed the carrying amount (net of depreciation) that would have existed had **no impairment** ever been recognised.
- Reverse up to the **LOWER of** re-estimated recoverable amount and the ceiling.
- Asset at cost → reversal credited to P&L (income). Revalued asset → treated as revaluation increase (to Revaluation Reserve), except to extent it reverses a prior decrease charged to P&L (that part to P&L).
- **Goodwill impairment is NOT reversed** (any later increase = internally generated goodwill, barred by AS 26). CGU reversal allocated pro rata, **never to goodwill**; per-asset ceiling applies.

Scope-out: AS 2 inventories, AS 7 construction contracts, AS 13 financial assets/investments, AS 22 DTA (each has its own valuation cap). Mainly bites on AS 10 PPE, AS 26 intangibles, goodwill.

Journal entries

- Loss (asset at cost): **Impairment Loss A/c Dr / To Accumulated Impairment (or Asset)** → transferred to P&L.
- Loss (revalued asset): **Revaluation Reserve A/c Dr** (of that asset, up to available) then **Impairment Loss/P&L Dr** for balance **/ To Asset**.
- Reversal (at cost): **Asset A/c Dr / To Reversal of Impairment (P&L income)**.

Worked mini-example

Plant carrying ₹20,00,000, 4 yrs left, nil residual, SLM. Flood damage. Inflows ₹6,00,000/yr for 4 yrs; disposal ₹1,00,000 in yr4; pre-tax rate 10%; NSP now ₹15,00,000.

- VIU: 6L×(0.909+0.826+0.751+0.683) + 1L×0.683 = 19,01,400 + 68,300 = **₹19,69,700**.
- Recoverable = higher(15,00,000; 19,69,700) = ₹19,69,700.
- Impairment = 20,00,000 − 19,69,700 = **₹30,300**.
- New depreciation = 19,69,700 ÷ 4 = **₹4,92,425/yr**.

CGU example: Goodwill 2L + Building 6L + Plant 4L + Fittings 2L = 14L; recoverable 9L → loss 5L. Goodwill 2L wiped; remaining 3L pro rata (6:4:2). Building floor (own NSP 5,20,000) blocks it below that → Building down only 80,000; un-absorbed 70,000 reallocated to Plant & Fittings (4:2). Final: Goodwill 0, Building 5,20,000, Plant 2,53,333, Fittings 1,26,667 = ₹9,00,000. ✓

Disclosures

- Impairment loss appears as **P&L expense** (reversal = income); revalued asset routes through Revaluation Reserve of that asset first, then P&L.
- For each class of asset: impairment losses recognised in P&L (and line items); reversals in P&L; amounts recognised directly in revaluation surplus.
- If **material**: events/circumstances causing it; amount; for an individual asset — nature + segment; for a CGU — description, amount by asset class and segment, composition change; whether recoverable amount is NSP or VIU (basis of NSP; discount rate if VIU).
- Segment disclosure (AS 17) by reportable segment. Key assumptions (growth, discount rates) are **encouraged**, not mandatory.

Exam traps & must-remember

- "Higher of" (AS 28) vs "lower of" (AS 2 inventory) — the #1 error.
- Don't waste time computing VIU if NSP already clears carrying amount (and vice versa).
- Exclude uncommitted restructuring, enhancement, financing, tax flows from VIU; test in **current condition**.
- **Pre-tax** rate with pre-tax flows.
- Reset depreciation after impairment AND after reversal.
- CGU: goodwill first (fully), then pro rata; respect the floor.
- Reversal capped at never-impaired line; but reverse only up to **lower of** recoverable and ceiling.

- Never reverse goodwill impairment; CGU reversal never to goodwill.
- Indicators are illustrative, not exhaustive.
- No asset below zero. Carrying amount = cost − depreciation − prior impairment.

One-line recall

- Impaired if Carrying Amount > Recoverable Amount = **higher of NSP and VIU** (min zero).
- VIU: PV of current-condition cash flows, pre-tax rate; exclude restructuring/enhancement/financing/tax.
- CGU loss: goodwill first, then pro rata, floor = max(own NSP, own VIU, 0).
- Reset depreciation on new base; reverse up to never-impaired ceiling only.
- Goodwill impairment never reversed.
- Golden chain: Indicator → Recoverable = Higher(NSP,VIU) → write down → reset depreciation → reverse later only up to never-impaired line → never reverse goodwill.

AS 29: Provisions, Contingent Liabilities & Contingent Assets

Snapshot

Draws the boundary through uncertainty about whether/when/how much money moves. Answers: when to **record** (provision), when to **disclose** (contingent liability), when to touch a **gain** (contingent asset — almost never). Prudence with limits: anticipate losses, never anticipate profits. Also defines what is NOT a provision (depreciation, doubtful debts, accruals).

Core concepts

Two dials: (1) does a **present obligation** even exist? (2) probability of outflow.

Threshold ladder: Remote (<~5-10%) < Possible (not probable) < **Probable (>50%, "more likely than not")** < Virtually certain (~100%).

Word	Outflow (loss)	Inflow (gain)
Remote	Ignore (no note)	Ignore
Possible	Contingent liability (disclose)	Ignore
Probable	**Provision (record)**	Contingent asset (disclose in Board report)
Virtually certain	(ordinary liability)	Recognise the asset

Loss: disclose at *possible*, record at *probable*. Gain: disclose at *probable*, record at *virtually certain* — always one rung stricter.

Definitions: Provision = liability of *uncertain timing or amount* (substantial estimation). Contingent liability = (a) possible obligation, OR (b) present obligation not recognised because outflow not probable or not reliably measurable — **never recorded**, notes only. Contingent asset = possible asset from past events. Obligation = **legal** (contract/statute) OR **constructive** (past practice/published policy creating valid expectation in others).

Key provisions / rules

RECOGNITION — provision needs ALL 3:

1. **Present obligation** (legal or constructive) from a **past (obligating) event** — "no realistic alternative" to settle; future conduct you can still change is NOT an obligating event.
2. **Probable** outflow (>50%).
3. **Reliable estimate** (fails only in extremely rare cases).

If any fails → contingent liability (disclose, unless remote) or nothing.

Specific rules:

- **Future operating losses:** NO provision (no past event; test assets for AS 28 impairment instead).
- **Onerous contract** (unavoidable cost > benefit): provide the **least net cost of exit** = lower of (cost to fulfil) and (penalty to cancel). Impair dedicated assets first.
- **Restructuring:** provision only if **detailed formal plan + valid expectation raised** (announcement/implementation started) **before** year-end → constructive obligation. Board decision alone is not enough. Provide only **direct** costs; NOT retraining/relocating *continuing* staff, marketing, new systems, or future operating losses.
- **Warranties:** provision required (sale = obligating event).
- **Reimbursements:** separate asset **only when virtually certain**, capped at provision amount; P&L may be shown net, B/S gross.
- **Repairs/refurbishment of own assets:** NO provision.

- **Decommissioning/site restoration:** provision at **present value**, capitalised into asset (AS 10); discount **unwinds** as finance cost.
- **Refund under published policy:** provision (constructive obligation).
- **Guarantee for third party's borrowing:** contingent liability while default only possible; becomes provision if default probable.
- **Contingent asset:** never recognised; disclose (Board's report) only if inflow **probable**; recognise as asset when **virtually certain**.
- A *new/draft law* rarely creates a present obligation for future compliance (obligating event is your own future operation, avoidable).

MEASUREMENT = best estimate to settle at B/S date:

- **Large population** (warranties) → **expected value** (probability-weighted).
- **Single obligation** (one lawsuit) → **most likely outcome** (adjust if outcomes cluster higher/lower).
- Take account of risks/uncertainties but no **excessive** provisions.
- Future events reflected only with sufficient objective evidence; new legislation only when **virtually certain to be enacted**.
- Do **NOT** deduct expected asset-disposal gains.
- **Discount** to PV when time value material, **pre-tax** rate; unwind each year.
- Measure **pre-tax** (tax effects → AS 22).

Review each B/S date: adjust to current best estimate; **reverse** if outflow no longer probable; **use provision only for its original purpose** (anti-concealment rule). Change in a *capitalised* provision's estimate adjusts the **asset**, not P&L.

Provision vs Accrual vs Reserve: Provision = uncertain liability, **charge against profit** (AS 29). Accrual = near-certain liability (little estimation, not AS 29). Reserve = **appropriation of profit** (equity, not AS 29).

Scope-out: financial instruments at fair value; ordinary executory contracts (unless onerous); items under other AS (taxes-AS 22, retirement benefits-AS 15, construction losses-AS 7, leases).

Journal entries

Event	Entry
Create provision	Dr Expense / Cr Provision
Spend later	Dr Provision / Cr Bank (up to provision)
Excess over provision	Dr Expense / Cr Bank
Reverse (no longer needed)	Dr Provision / Cr Income
Reimbursement (virtually certain)	Dr Receivable (≤ provision) / Cr Expense
Unwind discount	Dr Finance Cost / Cr Provision
Decommissioning	Dr Asset (PPE) / Cr Provision
Contingent liability	**No entry**
Contingent asset (virtually certain)	Dr Asset / Cr Income

Worked mini-example

Warranty: 40,000 cars; 75% no repair, 20% minor @₹1,000, 5% major @₹4,000. Expected/car = 0.75×0 + 0.20×1,000 + 0.05×4,000 = **₹400**. Provision = 40,000 × 400 = **₹1.60 crore**. Dr Warranty Expense / Cr Provision.

Decommissioning: restoration ₹80,00,000 in 5 yrs @8%. Initial provision = 80,00,000 / 1.08^5 = **₹54,44,839** (Dr Asset / Cr Provision). Year-1 unwind = 8% × 54,44,839 = ₹4,35,587 (Dr Finance Cost / Cr Provision) → ₹58,80,426 = 80L/1.08^4. ✓ If future estimate later revised, re-measure to PV of new estimate over remaining years; the estimate change rides with the **asset**, only unwinding hits finance cost.

Disclosures

- **Provision (each class):** movement table — opening + additions + increase from unwinding/rate change − amounts used − unused reversed = closing; plus nature, expected timing, uncertainties, expected reimbursement. (No comparatives required.)
- **Contingent liability (each class, unless remote):** brief description of nature; estimate of financial effect; uncertainties; possibility of reimbursement.
- **Contingent asset:** not recognised; if inflow **probable**, disclose brief description + estimate in **Board's report** (not usually the notes); if only possible/remote → no disclosure.
- **Seriously prejudicial exemption** (extremely rare): may omit detail but must disclose general nature of dispute + fact of non-disclosure + reason.
- Balance sheet: Provisions under liabilities (current/non-current per Schedule III); reimbursement shown as separate asset, not netted.

Exam traps & must-remember

- "Provision" for depreciation/doubtful debts = asset adjustment, NOT AS 29.
- Future operating losses → no provision (consider AS 28).
- Board decision alone ≠ obligation; need announcement/valid expectation before year-end; direct costs only.
- Reimbursement = separate asset (virtually certain, ≤ provision); B/S gross, P&L may be net.
- Contingent asset at 80% "probable" → disclose only, never recognise.
- Remote contingent liability → disclose nothing.
- Single obligation → most likely outcome, NOT expected value.
- Discount long-dated provisions and unwind each year.
- Use provision only for its original purpose.
- "Probable" = >50%, not "highly probable".
- Ignore expected asset-disposal profits in measurement.
- Constructive obligation (published refund policy) counts even without legal duty.
- Capitalised provision's estimate change → adjust asset, not P&L.
- Provisions are pre-tax.
- **AS 4 link:** post-year-end evidence of a condition existing at year-end = adjusting event → can convert contingent liability into a provision. Proposed dividends not provided.

One-line recall

- Provision needs: present obligation from past event + probable outflow (>50%) + reliable estimate.
- Traffic light: remote=ignore, possible=disclose, probable=record.
- Gains are one rung stricter: recognise only when virtually certain.
- Measure = expected value (population) / most likely (single); PV if material, pre-tax.
- Reimbursement = separate asset if virtually certain, capped at provision.
- Use each provision only for its own purpose; reverse if no longer probable.

Financial Statements of Companies (Schedule III)

Snapshot

One prescribed skeleton so thousands of distant readers extract the same facts from every company. **Schedule III to the Companies Act, 2013**; CA-Inter uses **Division I** (AS-regime companies). Master sorting rule = **current vs non-current** (operating cycle). Act Two = who may withdraw money: Section 197 (remuneration) and Section 123 (dividend), computed on Section 198 profit.

Core concepts

- **Section 2(40) financial statements:** Balance Sheet + Statement of P&L + Cash Flow Statement (**not** required for OPC / small company / dormant / startup private) + Statement of Changes in Equity (Ind AS only) + notes.
- **Section 129:** true and fair view, comply with AS, form per Schedule III. **Section 128:** accrual + double entry.
- **Three Divisions:** I = AS companies (syllabus); II = Ind AS (uses "Other Equity", separate SOCE); III = NBFCs Ind AS (ordered by liquidity).
- AS / the Act **override** Schedule III where they differ (Schedule III requirements are additional). True-and-fair is a floor, never a ceiling.
- **Financial year** ends **31 March** (Sec 2(41)). SOCE does not exist under Division I. Small company [Sec 2(85)] = private below capital & turnover thresholds (verify current limits); holding/subsidiary/Sec 8/special-Act company is never small.

Key provisions / rules

Operating cycle = time between acquiring assets for processing and realising them into cash; if unidentifiable, **assumed 12 months**.

Asset is CURRENT if any one: realised/sold/consumed in normal operating cycle; held primarily for trading; realised within 12 months; cash/cash equivalent (unless restricted ≥12 months). Else non-current. **Liability is CURRENT if any one:** settled in operating cycle; held for trading; due within 12 months; **no unconditional right to defer** settlement ≥12 months. Else non-current.

- Operating-cycle branch is checked **first**: long-cycle inventory realisable after 12 months is still **current**; a debt due in 15 months for a 3-month cycle is **non-current**.
- Refinancing right must exist **on** the B/S date; loan repayable on demand (covenant breach) = current.

Balance Sheet (Division I) order:

- *Equity & Liabilities:* 1. Shareholders' Funds (Share Capital; Reserves & Surplus; Money against share warrants) → 2. Share Application Money Pending Allotment → 3. Non-Current Liabilities (Long-term Borrowings; Deferred Tax Liabilities (net); Other LT Liabilities; LT Provisions) → 4. Current Liabilities (Short-term Borrowings; Trade Payables; Other Current Liabilities; Short-term Provisions).
- *Assets:* 1. Non-Current (PPE & Intangibles incl. CWIP & Intangibles under development; Non-Current Investments; DTA (net); LT Loans & Advances; Other NCA) → 2. Current (Current Investments; Inventories; Trade Receivables; Cash & Cash Equivalents; ST Loans & Advances; Other CA).
- **Share Application Money Pending Allotment**: own line (quasi-equity) if allottable; refundable portion → Current Liability.
- **Money against share warrants**: inside Shareholders' Funds (non-refundable towards future equity).

Key placements: current maturities of long-term debt → **Other Current Liabilities** (not ST/LT Borrowings); calls-in-arrears → deduction from Subscribed Capital; calls-in-advance → OCL; debit balance of Surplus (accumulated loss) → **negative** under Reserves & Surplus; loose tools/stores/spares/packing material → Inventories; capital advance for fixed asset → LT Loans & Advances (non-current); unclaimed dividend & interest accrued (due or not due) → OCL; bank overdraft/cash credit → ST Borrowings; DTL/DTA → non-current only, shown net (never both); receivable on sale of fixed asset → Other Assets (not Trade); provision for doubtful debts → netted against Trade Receivables.

Reserves & Surplus classes: Capital Reserve; Capital Redemption Reserve; Securities Premium; Debenture Redemption Reserve; Revaluation Reserve; Share Options Outstanding; Other Reserves; Surplus (P&L balance). Only CRR & Securities Premium have statutorily restricted uses; Revaluation Reserve never for dividend.

P&L sequence: I Revenue from Operations; II Other Income; III Total Income; IV Expenses (Cost of materials consumed; Purchases of stock-in-trade; **Changes in inventories = Opening − Closing**, FG/WIP/stock-in-trade only; Employee benefits; Finance costs; Depreciation & amortisation; Other); V Total Expenses; VI PBT before exceptional/extraordinary; VII Exceptional; VIII; IX Extraordinary; X PBT; XI Tax (current + deferred); XII Profit from continuing ops; discontinuing ops; XVI Profit for period; XVII EPS (basic + diluted).

- Materials consumed = manufacturer; Purchases of stock-in-trade = trader. Changes in inventories excludes raw materials. Finance costs exclude bank charges (→ Other Expenses) and interest on income tax.

Section 197 (public company) — managerial remuneration ceiling on Section 198 net profit:

Situation	Max
Overall (all directors)	11%
One MD/WTD/manager	5%
More than one such	10% (together)
Other directors, if MD/WTD exists	1%
Other directors, if no MD/WTD	3%

- Inadequate profit/loss → **Schedule V** limits (effective capital). Excess → **special resolution** (post-2018, no Central Govt approval). Sitting fees outside the cap. Private company not bound.

Section 198 net profit (not P&L profit): start with P&L profit; **add back** managerial remuneration (base is *before* remuneration), income tax provision, voluntary compensation, capital losses, excess book depreciation over Schedule II, scientific research capital expenditure; **exclude** (do not credit) capital profits, premium on shares/debentures, profit on forfeiture, profit on sale of undertaking/investments, **profit on sale of fixed asset above original cost** (includible only up to original cost = depreciation write-back); deduct Schedule II depreciation and bad debts.

Section 123 (dividend): out of current-year profit (after Schedule II depreciation) / accumulated reserves / govt money. Transfer to reserves now voluntary. Dividend from reserves in a lean year — test all three, **lowest binds**: rate ≤ **average of last 3 years**; draw ≤ **10% of (paid-up + free reserves)**; residual reserves ≥ **15% of paid-up capital**; set off current loss first; no dividend if in default on deposits/debentures. Unpaid dividend → separate account within **7 days** (after 30-day window); unclaimed **7 years** → **IEPF**.

Adjustment dual-effect map: every adjustment hits two places. Closing stock → Changes in inventories (P&L) + Inventories (CA). Depreciation → expense + reduces PPE. Outstanding expense → expense + OCL. Prepaid → reduces expense + Other CA. Bad debts → Other Expenses + reduces Trade Receivables. Interest accrued unpaid → Finance cost + OCL. Provision for tax → Tax expense + ST Provisions. **Proposed dividend (revised AS 4) → no P&L, no provision, note disclosure only.**

Journal / preparation

- Trial balance → adjustments → classify each ledger into a Schedule III head → split current/non-current → build Notes → carry note totals to face → verify grand totals reconcile.
- **Total Equity & Liabilities = Total Assets.** Never plug a Suspense in a company balance sheet.

Worked mini-example

Section 198/197: P&L profit ₹42,00,000. Add back: MD remuneration 6,00,000 + income tax 9,00,000 + voluntary compensation 1,00,000 + capital loss 80,000 + excess depreciation (5,00,000−4,20,000) 80,000 = 17,60,000 → 59,60,000. Machine sold ₹4,50,000 (cost 5,00,000, WDV 3,00,000): profit 1,50,000 fully includible (below cost). Less: capital profit on investment 60,000 → **Sec 198 profit ₹59,00,000**. Sole MD ceiling 5% = **₹2,95,000** (actual ₹6,00,000; excess ₹3,05,000 needs special resolution).

Dividend from reserves: paid-up ₹50L, free reserves ₹30L, profit ₹1,20,000; last 3 rates 12/10/8%. Ceiling 1 (rate) = avg 10% × 50L = ₹5,00,000. Ceiling 2 (draw ≤ 10% of 80L) = ₹8,00,000; needed draw = 5,00,000−1,20,000 = 3,80,000 ✓. Ceiling 3 (residual ≥ 15% × 50L = 7,50,000): 30L − 3,80,000 = 26,20,000 ✓. Max dividend = **₹5,00,000** (rate cap binds).

Disclosures

- **Share Capital note:** authorised/issued/subscribed (fully & not-fully paid); par value; reconciliation of shares; rights/preferences; shareholders holding **>5%**; shares reserved under options; last **5 years** — shares for consideration other than cash / bonus / bought back; calls unpaid (directors/officers separately) as deduction; forfeited shares.
- **Long-term Borrowings:** secured/unsecured, security, redemption terms, period & amount of continuing default in principal/interest.
- **Trade Receivables:** amounts >6 months separately; secured-good / unsecured-good / doubtful; allowance; related-party dues.
- **Cash & equivalents:** earmarked, margin money, deposits >12 months separately.
- Contingent liabilities & commitments (notes only); auditor's remuneration by service; CIF imports, foreign currency expenditure/earnings; arrears of cumulative preference dividend; proposed dividend (disclose, not provide); AS 18/17/19/20 disclosures.
- **Rounding:** turnover < ₹100 crore → nearest hundreds/thousands/lakhs/millions; ≥ ₹100 crore → lakhs/millions/crores; same unit throughout. Comparatives for every line. (Newer 2021 additions: ageing schedules, promoter holding, key ratios — verify AY.)

Exam traps & must-remember

- Current maturities of LT debt → Other Current Liabilities.
- Proposed dividend → disclose only, no provision (revised AS 4).
- Calls-in-arrears deducted from capital; calls-in-advance = OCL.
- Accumulated loss = negative Surplus, never an asset.
- Sale of fixed asset receivable ≠ Trade Receivable.
- Loose tools/stores/spares = Inventories.
- Don't net provision for tax against advance tax unless set-off stated.
- Section 198 profit ≠ P&L profit; add back remuneration itself; profit on asset only up to original cost; depreciation = Schedule II.
- Bank overdraft = ST Borrowings (no unconditional right to defer).
- Securities Premium usable only per Section 52; not a free reserve for dividend.
- Same profit both sides; appropriation moves within a head (doesn't change totals).
- Long production cycle: operating-cycle branch checked first.
- Changes in inventories excludes raw materials.
- Capital advance = non-current.
- Sec 197 public only; sitting fees outside cap; Sec 198 depreciation = Schedule II.
- Dividend from reserves: three ceilings, lowest binds.

One-line recall

- Division I skeleton; current vs non-current by operating cycle (branch checked first; else 12 months).
- Current maturities of LT debt → Other Current Liabilities; proposed dividend → disclose only.
- Changes in inventories = Opening − Closing (FG/WIP/stock-in-trade only).
- Sec 197: 11% overall / 5% one MD / 10% many / 1% or 3% others — on Sec 198 profit.
- Sec 198: add back remuneration, tax, excess depreciation, capital losses; exclude capital profits and asset-profit above cost.
- Dividend from reserves: rate ≤ 3-yr avg; draw ≤ 10% of (capital+free reserves); residual ≥ 15% of capital — lowest binds.
- Golden self-check: two grand totals must equal; no Suspense.

Redemption of Preference Shares

Snapshot

Preference shares behave like debt but legally sit in **share capital** — the creditors' cushion. Section 55 lets them be redeemed **without a Tribunal** provided the capital cushion stays intact: replace redeemed face value rupee-for-rupee either with **fresh share capital** or with a **Capital Redemption Reserve (CRR)** carved from distributable profit. Capital is substituted, never net-reduced.

Core concepts

- **Capital maintenance:** members' capital must be kept intact for creditors; returning it needs Section 66 (Tribunal reduction) or Section 68 (buy-back) — Section 55 is a standing, self-policing exception because shares were *born* redeemable.
- **CRR = the part of face value NOT refilled by a fresh issue.** All fresh issue → CRR nil; no fresh issue → CRR = full face value.
- **Premium on redemption travels on a separate track** — it is an extra reward (like a dividend), funded from Securities Premium / free reserves, and **never** enters the CRR identity.

Key provisions / rules

Section 55(1)/(2): No irredeemable preference shares. Redeemable within **20 years** (infrastructure companies: up to **30 years**, min 10% redeemed per year from year 21). Must be **authorised by Articles**. Redeem at par or premium — **never at a discount**.

Three conditions (Sec 55(2)):

1. Only **fully paid-up** shares may be redeemed (call up & collect balance first if partly paid).
2. Redeem out of **profits available for dividend** OR **proceeds of a fresh issue made for redemption**.
3. Redeemed out of profits → transfer a sum equal to **nominal (face) value** redeemed to **CRR**.

Profits available for CRR (could have been paid as dividend): General Reserve, Surplus in P&L, Dividend Equalisation Reserve, Workmen Compensation Reserve (free excess), voluntary reserves out of profits. **NOT available:** Securities Premium, Capital Reserve, Revaluation Reserve, existing CRR, profit prior to incorporation / capital profits. Acid test: *"Could this have been distributed as dividend?"*

Master identity:

- Nominal value redeemed = Fresh issue (nominal) + CRR
- **CRR = Nominal redeemed − Fresh issue nominal**
- **Minimum fresh issue = Nominal redeemed − Profits available for CRR**

CRR facts:

- Fresh issue of **shares** (equity OR preference) reduces CRR by its nominal value. **Debentures/loans do NOT** reduce CRR (they add creditors, not capital — full face value still to CRR).
- CRR uses **nominal value only**; premium excluded.
- **Use of CRR = only fully paid bonus shares** (proviso to Sec 55(2) + Sec 63(1); treated as paid-up capital). Cannot pay dividend, write off losses, or write off expenses. (No "Section 55(4)" exists.)

Premium on redemption: provided **before** redemption; funded from **Securities Premium first, then free reserves / P&L**. Not part of CRR (only face value is substituted; creditors relied only on face value).

Fresh issue at a premium: the **nominal** value drives the CRR/redemption identity (premium on new issue → Securities Premium, cannot create CRR). Issuing at a premium never lets you issue *fewer* shares for the CRR rule; it only changes the cash raised.

Minimum fresh issue = last resort (fresh issue dilutes/costs; burn free reserves first). A retention constraint ("keep ₹X reserve") walls off ₹X from the pool, raising the minimum fresh issue by ₹X.

Cash cross-check (may bind instead of the CRR rule): Cash after = Cash before + issue proceeds − (face + premium) ≥ any required minimum. Actual fresh issue = **larger of** CRR-minimum and cash-constraint minimum. Issuing more than the CRR-minimum **reduces** CRR (more face value refilled directly).

Journal entries

```
(a) Make partly-paid fully paid:
    Pref Share Final Call A/c   Dr / To Pref Share Capital A/c
    Bank A/c                    Dr / To Pref Share Final Call A/c
(b) Fresh issue (at premium):
    Bank A/c  Dr [nominal+premium] / To Share Capital [nominal], To Securities Premium [premium]
(c) Amount due:
    Redeemable Pref Share Capital A/c   Dr [face]
    Premium on Redemption of Pref Shares A/c  Dr [premium]
       To Preference Shareholders A/c  [face+premium]
(d) Provide premium:
    Securities Premium A/c  Dr [up to available]
    P&L / General Reserve   Dr [balance]
       To Premium on Redemption of Pref Shares A/c
(e) Pay off:
    Preference Shareholders A/c  Dr / To Bank A/c
(f) Create CRR (= face − fresh issue nominal):
    General Reserve / P&L A/c  Dr / To Capital Redemption Reserve A/c
(g) Bonus later:
    CRR A/c  Dr / To Bonus to Shareholders A/c
    Bonus to Shareholders A/c  Dr / To Equity Share Capital A/c
```

Sequencing: cash arrives (fresh issue) before it leaves (payment); **CRR created last** (once fresh issue is known).

Worked mini-example

Fresh issue at premium + redemption at premium: 2,00,000 pref shares of ₹10 (₹20,00,000), redeemable at 10% premium. Securities Premium ₹3,00,000, General Reserve ₹8,00,000, P&L ₹5,00,000. Issue minimum equity of ₹10 at 25% premium.

- Premium on redemption = 10% × 20,00,000 = ₹2,00,000 → from Securities Premium (leaves ₹1,00,000).
- Profits for CRR = 8,00,000 + 5,00,000 = ₹13,00,000.
- Minimum fresh issue (nominal) = 20,00,000 − 13,00,000 = **₹7,00,000** = 70,000 shares at ₹12.50 → cash ₹8,75,000 (nominal 7,00,000 + Sec Prem 1,75,000).
- CRR = 20,00,000 − 7,00,000 = **₹13,00,000**.
- **Cushion proof:** before capital = Equity 40L + Pref 20L = 60L; after = Equity 47L + CRR 13L = 60L. Preserved. ✓

Cash-binds case: if a minimum bank balance forces fresh issue of ₹32,00,000 (vs CRR-minimum ₹22,00,000) on ₹40,00,000 redemption → CRR = 40,00,000 − 32,00,000 = ₹8,00,000 (more capital refilled directly, less CRR).

Disclosures (Schedule III Division I)

- CRR shown as a distinct line under **Reserves and Surplus**.
- Outstanding redeemable preference shares under **Share Capital**; terms of redemption incl. **earliest redemption date** disclosed in Share Capital note.
- **Premium on Redemption**, until paid, is a liability (Other Current Liabilities).
- Movement in CRR (opening/additions/utilisation for bonus/closing) in Reserves note; fresh issue in Share Capital reconciliation.

- **Ind AS 32 (awareness):** mandatorily redeemable pref shares = financial **liability**; dividend = finance cost (opposite of AS treatment).

Exam traps & must-remember

- **CRR on nominal value only — never on premium.**
- Securities Premium / Capital Reserve / Revaluation Reserve **cannot** create CRR (not distributable). Securities Premium *can* fund redemption premium.
- Only shares issued **specifically for the redemption** reduce CRR (not last year's expansion issue).
- Minimum fresh issue (CRR rule) vs cash-sufficiency — run the bank cross-check; issue the larger.
- Identity uses **nominal**, not cash raised, when fresh shares issued at a premium.
- Only fully-paid shares redeemable (call up partly-paid first).
- CRR usable only for fully paid **bonus shares**.
- Provide premium **before** redemption.
- Retention constraint reduces available profits → raises minimum fresh issue.
- CRR capitalised as bonus is gone — cannot re-use in a later sub-part.
- **Debenture/loan issue does NOT reduce CRR** (whole face value still to CRR).
- Fresh issue of **preference** shares also reduces CRR.
- Redemption at a discount is impermissible.
- Fresh issue at premium *adds* to Securities Premium; funding redemption premium *subtracts* — net the movement for the closing balance.
- Distinguish **CRR (substitutes capital, Sec 55)** from **DRR (reserves cash for debt repayment; released to General Reserve after redemption)**.

One-line recall

- Refill with new share capital or wall-up with CRR — face value for face value; premium is a side payment, not part of the wall.
- CRR = nominal redeemed − fresh issue nominal; minimum fresh issue = nominal redeemed − profits available.
- CRR from free reserves/P&L only; used only for bonus shares.
- Premium on redemption from Securities Premium then profits; never in CRR.
- Debentures don't reduce CRR; fresh preference shares do.
- Prove: Capital + CRR after = Capital before (cushion preserved).

Chapter 32 — Buyback of Securities

Snapshot

Buyback = a company purchasing its **own shares/specified securities** and **cancelling** them (no treasury stock in India), thereby returning surplus capital and shrinking equity. Governed by **Companies Act 2013 — Sec. 68 (power & conditions), Sec. 69 (CRR), Sec. 70 (prohibitions)** + **Companies (Share Capital & Debentures) Rules, 2014**; listed companies additionally under **SEBI (Buy-Back) Regulations**. It matters because it drains the creditors' permanent-capital cushion — so the law fences it with CRR, quantum ceilings and a gearing test.

Core concepts

- **Dividend vs Buyback:** Dividend is paid out of distributable profit only, leaves share capital & share count untouched, no CRR. Buyback **cancels shares, reduces paid-up capital, triggers CRR**.
- **CRR (Capital Redemption Reserve) = capital's ghost.** When capital is extinguished out of profits, an equal sum of free reserves is frozen into CRR (treated as capital; usable only for bonus). Cushion preserved brick-for-brick.
- **Three limit tests — buyback must satisfy the LOWEST:**
    - (A) 25% of (paid-up capital + free reserves) — ₹ value ceiling
    - (B) 25% of paid-up **equity** capital — equity share count/face ceiling
    - (C) Debt ≤ 2 × owned funds **after** buyback (2:1 gearing)
- **Master CRR formula:** `CRR = Nominal value bought back − Nominal value of fresh issue made for the buyback`.
- **What may be bought:** own equity or other specified securities (ESOPs/sweat equity etc.). **Routes of acquisition:** (1) proportionate from existing holders (tender), (2) open market, (3) from ESOP/sweat-equity holders. Route affects price/fairness only — entries are identical.

Key provisions / conditions & limits

Permitted SOURCES (Sec. 68(1))

Source	Note
(a) Free reserves	General Reserve, P&L surplus, any reserve free for dividend
(b) Securities Premium	May pay the **premium on buyback** only (not CRR)
(c) Proceeds of a FRESH ISSUE	**Cannot** buy back one kind of security out of a fresh issue of the **same kind**

Never out of borrowed funds.

Free-reserve eligibility

Reserve	Free?	Fund buyback/premium?	Fund CRR?
General Reserve	Yes	Yes	Yes
P&L surplus (credit)	Yes	Yes	Yes
Dividend Equalisation Reserve	Yes	Yes	Yes
Securities Premium	Free for 25% test (statutory)	Premium on buyback ONLY	**No**
Existing CRR	No	No (bonus only)	No
Revaluation Reserve	No	No	No
Capital Reserve	No	No	No
Debenture Redemption Reserve (earmarked)	No	No	No

CRR requirement (Sec. 69)

- CRR created **only to the extent buyback is out of free reserves / securities premium**.

- To the extent financed **out of fresh-issue proceeds → NO CRR** (new capital already rebuilt the wall; else double-counting).
- `CRR = Face value bought back − Face value of fresh issue (for the buyback)`.
- **CRR source = free reserves ONLY** (Gen. Reserve / P&L). **Never** Securities Premium or Capital Reserve.
- **CRR use = fully-paid bonus shares only.**
- Fresh issue may be any securities **other than same kind**; even a preference/other-security fresh issue offsets CRR.

Quantum limits (Sec. 68(2))

Test	Formula	Measures
(A) 25% capital+reserves	25% × (paid-up equity + preference capital + free reserves, incl. Sec. Premium per ICAI)	₹ value of buyback
(B) 25% of equity	25% × paid-up **equity** capital alone	face value / count of equity shares
(C) Debt-equity 2:1	Debt (secured + unsecured) ≤ 2 × owned funds AFTER buyback → **Max payout = owned funds − Debt/2**	₹ value — subtract **full price**, not just face

- Owned funds = paid-up capital + free reserves (incl. securities premium per ICAI).
- Buyback reduces owned funds by the **full cash outflow (price)**: capital ↓ face, reserves ↓ premium, CRR transfer nets to zero internally → total fall = P.
- **Board-route sub-limit:** buyback by board resolution alone → ceiling in (A) drops to **10% of (paid-up equity + free reserves)**, only **one** per year. 2:1 & CRR/destruction rules unchanged.

Procedural conditions & post-buyback restrictions (Sec. 68(2)-(8), 69, 70)

- **Authorised by Articles**; **special resolution** required (exception: board route ≤10%, once/year).
- **≥1-year gap** between two buybacks (from closure of preceding).
- Complete within **1 year** of the resolution.
- File Form SH-9 (declaration of solvency) before; Form SH-11 (return) after.
- **No buyback while a default subsists** — repayment of deposits, interest, redemption of debentures/preference shares, dividend to any shareholder, or repayment of term loan. Bar lifts once default is remedied.
- **Extinguish & physically destroy** bought-back shares within **7 days** of completion (no treasury stock).
- **No fresh issue of same kind** for **6 months** (except bonus, or discharge of existing obligations — warrants/ESOP/sweat equity/conversion).
- CRR shown in Balance Sheet under Reserves & Surplus; usable only for bonus.

Forms: SH-8 (letter of offer, before), SH-9 (solvency, before), SH-11 (return, after), SH-15 (compliance cert by 2 directors incl. MD, after).

Journal entries

Step 1 — Fresh issue (only if made to finance buyback):

Particulars	Dr	Cr
Bank A/c	XXX	
To Share Capital A/c (nominal)		XXX
To Securities Premium A/c (if at premium)		XXX

Step 2 — Create buyback liability:

Particulars	Dr	Cr
Equity Share Capital A/c (face value)	XXX	
Premium on Buyback A/c (if price > face)	XXX	

Particulars	Dr	Cr
To Equity Shareholders A/c (total buyback amount)		XXX

Step 3 — Absorb premium on buyback (Securities Premium FIRST, then free reserves):

Particulars	Dr	Cr
Securities Premium A/c (to extent available)	XXX	
General Reserve / P&L A/c (balance)	XXX	
To Premium on Buyback A/c		XXX

Step 4 — Create CRR (= face bought − fresh-issue face), from free reserves only:

Particulars	Dr	Cr
General Reserve / P&L A/c	XXX	
To Capital Redemption Reserve A/c		XXX

Step 5 — Pay shareholders:

Particulars	Dr	Cr
Equity Shareholders A/c	XXX	
To Bank A/c		XXX

Reserve-debit priority ladder: Premium → Securities Premium first, then Gen. Reserve, then P&L. CRR → Gen. Reserve / P&L (never Sec. Premium/Capital Reserve). If free reserves are insufficient for premium balance + full CRR, buyback is **scaled down or disallowed** — never plug the CRR gap from securities/capital reserve.

Worked mini-example

Orbit Ltd: Equity capital (₹10) ₹20,00,000; Securities Premium ₹3,00,000; General Reserve ₹8,00,000; P&L ₹4,00,000. Proposes buyback of 40,000 shares @ ₹25 (face ₹10), no fresh issue.

Test (A): capital + free reserves = 20 + 3 + 8 + 4 = ₹35,00,000. 25% = **₹8,75,000** max value. Proposed outflow = 40,000 × 25 = ₹10,00,000 → **fails (A)** (premium buyback silently breaches the value ceiling).

Test (B): 25% × 20,00,000 = ₹5,00,000 face = 50,000 shares max. Proposed 40,000 ✓.

Binding = (A). Buy max = 8,75,000 ÷ 25 = **35,000 shares.** Face = ₹3,50,000; premium = 35,000 × 15 = ₹5,25,000.

CRR = face bought = ₹3,50,000 (no fresh issue).

Premium absorbed: Sec. Premium ₹3,00,000 + Gen. Reserve ₹2,25,000.

Reserve	Opening	Premium	CRR	Closing
Securities Premium	3,00,000	(3,00,000)	—	0
General Reserve	8,00,000	(2,25,000)	(3,50,000)	2,25,000
P&L	4,00,000	—	—	4,00,000
CRR	0	—	+3,50,000	3,50,000

Cushion check: capital ↓ ₹3,50,000, CRR ↑ ₹3,50,000 → permanent layer preserved. Cash out ₹8,75,000; every figure ties.

(2:1 illustration — Anchor Ltd: owned funds ₹64,00,000, debt ₹1,10,00,000. Min owned funds after = Debt/2 = ₹55,00,000 → max outflow = 64 − 55 = ₹9,00,000 → at ₹20/sh = 45,000 shares. Here (C) binds below (A) ₹16,00,000.)

Exam traps & must-remember

1. **Two 25% tests confused:** (A) = capital + free reserves, in ₹ value; (B) = paid-up **equity only**, in face/count. Run both.
2. **Premium buyback breaches (A):** compute ₹ value of outflow, not just count.
3. **CRR on wrong amount:** CRR = **face/nominal value**, NOT price, NOT premium. Then subtract fresh-issue face.
4. **CRR out of Securities Premium — NEVER.** Sec. Premium pays premium only; CRR from free reserves.
5. **2:1 tested AFTER buyback;** max payout = owned funds − Debt/2. Don't test before or invert.
6. **Forgetting fresh-issue offset** on CRR → over-provides, won't reconcile.
7. **Buyback out of borrowed funds — prohibited.** Loan + no reserves = "cannot buy back."
8. **No treasury stock** — destroy within 7 days; never credit "Treasury Shares."
9. **Premium write-off order:** Securities Premium first, then free reserves.
10. **Capital/Revaluation Reserve** are not free reserves — can't fund buyback, premium or CRR.
11. **Round shares DOWN** after dividing ₹ ceiling by price.
12. **2:1: subtract full price** (face + premium), not just face.
13. **Use updated figures** after any prior action (fresh issue/bonus/pref redemption) for the tests.
14. **CRR is capital-like** — not a free reserve for the next dividend/buyback/premium.
15. **25%/2:1 tests are buyback-only** — a Sec. 55 preference redemption has no quantum or gearing ceiling.
16. **Board route = 10% ceiling** (not 25%), once/year — watch "the Board resolved."
17. **Default gate:** if default subsists, buyback barred regardless of reserves.

vs Preference Redemption (Sec. 55): same CRR engine (Capital → CRR, less fresh issue), CRR from free reserves only; but pref redemption has **NO 25% and NO 2:1 test**, and premium goes off Securities Premium/P&L. Combined problems: CRR is **cumulative** (one account), free reserves are a **shared pool** (run one running balance), and buyback tests use **post-redemption** figures.

One-line recall

- **Law:** Sec. 68 (conditions), 69 (CRR), 70 (prohibitions) + SCD Rules 2014.
- **Buyback ≤ lowest of** 25% cap+reserves (value), 25% equity (count), Debt ≤ 2× owned funds after.
- **CRR = face bought − fresh-issue face**, from free reserves only, usable for bonus only.
- **Premium on buyback:** Securities Premium first, then free reserves.
- **Sources:** free reserves / securities premium / fresh-issue proceeds — never borrowed, never same-kind fresh issue.
- **Fences:** AoA + special resolution (or board ≤10%), 1-yr gap, complete in 1 yr, destroy in 7 days, no same-kind issue for 6 months, no buyback in default.

Chapter 33 — Bonus Issue

Snapshot

Bonus issue = **capitalisation of reserves** into **fully-paid** bonus shares; reserve ↓, capital ↑, **net worth unchanged**, no cash moves. Governed by **Sec 63, Companies Act 2013 + Rule 14** (Share Capital & Debentures Rules 2014); listed cos. also **SEBI ICDR 2018, Ch. XI (Reg 293–295)**. It hardens distributable reserve into permanent capital (creditor buffer ↑), so the law is relatively permissive.

Core concepts

- Capitalisation is a **one-way ratchet** — reversible only via Sec 66 (NCLT capital reduction) or Sec 68 (buy-back), never a reversing entry.
- **Realisation test** for any reserve: did real value (cash / realised gain) flow in, AND is it freely distributable/unencumbered? Both limbs must pass.
- Bonus ≠ dividend: dividend is a distribution (value out); bonus locks value in — hence **not in lieu of dividend** (but bonus *alongside* a separate cash dividend is legal).

Key provisions / conditions & limits

Sec 63(1) — Permitted sources

Source	Note
(a) Free reserves	Gen. Reserve, credit balance of P&L — distributable
(b) Securities Premium (Sec 52)	Statutory reserve, permitted use
(c) Capital Redemption Reserve	Only for fully-paid bonus

Free reserves — Sec 2(43): distributable per latest audited BS, **excluding** unrealised/notional gains & revaluation of assets — **even if credited to P&L**. (So strip a fair-value gain sitting inside P&L surplus.)

Prohibited sources

Revaluation Reserve; unrealised/notional/fair-value gains; Capital Reserve **not realised in cash** (ICAI default: treat as unavailable unless realised — state assumption); earmarked statutory reserves (Investment Allowance etc.); **DRR while debentures outstanding**; **profit prior to incorporation**; **Shares Forfeited A/c**.

GOLDEN restriction

Securities Premium & CRR → **fully-paid bonus ONLY**. They **cannot** convert existing partly-paid shares to fully paid. **Free reserves can do BOTH.**

Sec 63(2) — Six conditions (ALL must hold)

1. Authorised by **Articles** (else alter first).
2. Recommended by **Board** + authorised in **general meeting**.
3. No default on interest/principal of **fixed deposits or debt securities** (NOT "any loan").
4. No default on **statutory dues of employees** (PF, gratuity, bonus).
5. Partly-paid shares **made fully paid** on/before allotment.
6. Other prescribed conditions (Rule 14).

Sec 63(3): not in lieu of dividend; must be fully paid. **No withdrawal** once board decision announced (Rule 14; SEBI for listed).

SEBI ICDR (listed only)

- Only free reserves / **securities premium collected in cash** / CRR. Premium collected **in kind** (non-cash amalgamation) barred.

- No bonus out of revaluation reserve.
- Complete within **15 days** (if no shareholder approval needed) or **2 months** (if approval needed).
- Protect outstanding convertible-holders (reserve simultaneous bonus).

Formulas

- Bonus shares = Existing shares × (bonus ratio num ÷ denom)
- Bonus amount = Bonus shares × face value
- If post-bonus capital > **authorised capital** → increase authorised first (Sec 61 ordinary resolution, file **Form SH-7** under Sec 64, pay fee). **NOT a journal entry.**

Journal entries

Step 1 — Capitalise reserves:

```
General Reserve A/c            Dr
Securities Premium A/c         Dr
Capital Redemption Reserve A/c Dr
Profit & Loss A/c              Dr
    To Bonus to Shareholders A/c
```

Step 2A — Issue fully-paid bonus shares:

```
Bonus to Shareholders A/c   Dr
    To Equity Share Capital A/c
```

Step 2B — Making partly-paid fully paid (FREE RESERVES ONLY):

```
Equity Share Final Call A/c  Dr
    To Equity Share Capital A/c        (call due)
Bonus to Shareholders A/c    Dr
    To Equity Share Final Call A/c     (free reserve applied; no cash)
```

("Bonus to Shareholders A/c" = temporary bridge, never on BS. If asked "through Bonus A/c," show both steps.)

Worked mini-example

Vayu Ltd: Equity capital ₹20,00,000 (2,00,000 × ₹10); Sec. Premium ₹3,00,000; CRR ₹2,00,000; Gen. Reserve ₹6,00,000; P&L ₹4,00,000; Revaluation Reserve ₹5,00,000. Bonus **2:5** at par; policy statutory reserves first; authorised ₹30,00,000.

- Bonus shares = 2,00,000 × 2/5 = **80,000** → ₹8,00,000. New capital 28,00,000 < 30,00,000 ✓.
- Revaluation Reserve ₹5,00,000 **excluded**. Usable pool = 3+2+6+4 = ₹15,00,000 ≥ 8 ✓.
- Apply: Sec. Premium 3,00,000 + CRR 2,00,000 + Gen. Reserve 3,00,000 = 8,00,000.

Entry: Sec Premium Dr 3,00,000; CRR Dr 2,00,000; Gen Res Dr 3,00,000 → Bonus A/c 8,00,000; then Bonus A/c Dr 8,00,000 → Equity Share Capital 8,00,000. Net worth ₹40,00,000 before = after ✓. Revaluation Reserve untouched.

Exam traps & must-remember

1. **Revaluation Reserve** — never usable (unrealised). Cross out on sight.
2. **Capital Reserve** usable only if realised in cash; if silent/on revaluation → not available (state assumption).
3. Sec Premium / CRR **cannot** make partly-paid shares fully paid — free reserves only.
4. Check **authorised capital** breach → increase first (Sec 61/SH-7). Never journal-entry the increase.
5. Bonus ratio applies to **updated** share count after any prior tranche/call.
6. "Bonus in lieu of dividend" prohibited (Sec 63(3)); bonus + separate dividend OK.
7. Bonus shares must be **fully paid**.
8. Default bar = **FDs & debt securities** + employee statutory dues — not general bank loans.

9. **Net worth UNCHANGED** — only internal split shifts.
10. Strip **impure fair-value gain** out of P&L surplus (Sec 2(43)) even if credited to P&L.
11. Silent order → prudent: exhaust restricted reserves (Sec Premium, CRR) first; state assumption.
12. Listed: SEBI windows 15 days / 2 months; only **cash** securities premium.
13. DRR / profit-prior-to-incorporation / forfeited shares → not free reserves.
14. Bonus vs **stock split**: split sub-divides face value, no reserve/capital change; bonus capitalises reserves (capital ↑, reserves ↓).
15. **EPS (AS 20):** bonus deemed to exist from **earliest period presented** → restate prior EPS retrospectively; **no time-apportionment**.
16. Hidden cost: larger capital → larger future dividend outflow if rate on face value maintained.

One-line recall

- Sec 63 + Rule 14; SEBI ICDR Ch. XI (listed).
- Sources: free reserves / securities premium / CRR. Never revaluation/notional.
- Sec Premium & CRR = fully-paid bonus ONLY; free reserves do both.
- Net worth NIL change; capital ↑ = reserves ↓.
- Authorised-capital increase = procedure (Sec 61/SH-7), not an entry.
- EPS restated retrospectively; disclose 5-yr aggregate bonus issued without cash.
- Golden check: total reserves + capital before = after.

Chapter 34 — Rights Issue

Snapshot

Rights issue = further shares offered **first to existing equity shareholders, pro-rata**, at a price (usually discounted), before outsiders — the statutory anti-dilution / pre-emptive mechanism. Governed by **Sec 62(1)(a), Companies Act 2013**. Pro-rata + discount makes it **wealth-neutral**: the discount reappears as the **value of the right**.

Core concepts

- Three dilutions: **ownership/voting**, **wealth/value**, **EPS**. Rights issue cures wealth & voting for a subscriber; EPS dilution is unavoidable (more shares on same profit).
- Right is an **entitlement, not obligation**: subscribe, renounce (sell), or lapse. Only **lapsing** loses money (= VR forgone).
- Bonus and rights are the **same operation** on a spectrum: S = 0 → bonus; S = M → non-event.

Key provisions / conditions & limits

Sec 62(1) — three routes for further issue

Route	Section	To whom	Approval
Rights	62(1)(a)	Existing equity holders pro-rata	**Board resolution**
ESOP	62(1)(b)	Employees under scheme	Special resolution (ordinary for private co.)
Preferential / private placement	62(1)(c)	Anyone	**Special resolution + registered valuer**

- Sec 62 bites only on issue of **"further" shares** by a company having share capital (not initial subscribers' shares).
- **Sec 62(3):** loan/debenture conversion pre-approved by special resolution *before* raising the loan → exempt from pro-rata.

Mandatory features of a 62(1)(a) offer

1. **Pro-rata** to paid-up capital on record date.
2. **Letter of offer** stating shares offered & terms.
3. Offer open **≥15 and ≤30 days**; non-acceptance = **deemed declined**. (Shorten if **≥90% members** consent in writing/electronic.)
4. **Right of renunciation** included unless articles provide otherwise [62(1)(a)(ii)].
5. Unsubscribed shares disposed by Board in a manner **"not disadvantageous to shareholders and the company"** [62(1)(a)(iii)].

Pricing: S < M for attractiveness; no registered valuer needed (pro-rata self-protects). **Never below face value** (Sec 53; narrow Sec 54 sweat-equity exception).

Formulas (ratio = n new for every N old; M = cum-rights price; S = issue price)

- New shares = Existing shares × n ÷ N
- Money raised = New shares × S
- **TERP = (N × M + n × S) ÷ (N + n)** — weighted average; always **strictly between S and M**.
  - Total-value form: TERP = (Market cap before + Cash raised) ÷ Total shares after.
- **Value of right per OLD share = M − TERP**
- **Value of right per NEW share = (N ÷ n) × (M − TERP) = N × (M − S) ÷ (N + n)**
- Link: VR per old = (n ÷ N) × VR per new.
- **Backward solve:** given any four of M, S, N, n, TERP, solve the one equation for the fifth.

Journal entries (face value F, issue price S, premium = S − F)

```
Bank A/c                                  Dr   (Shares × S)
    To Equity Share Application & Allotment A/c
Equity Share Application & Allotment A/c   Dr   (Shares × S)
    To Equity Share Capital A/c                 (Shares × F)
    To Securities Premium A/c                   (Shares × (S − F))
```

- Premium → **Securities Premium A/c (Sec 52)**, restricted use; issue **expenses NOT** chargeable here.
- If instalments/calls-in-arrears → ordinary shares-accounting machinery.
- **No entry for the "value of the right"** — it is a market phenomenon; renunciation cash flows privately between shareholders, off the company's books.

Worked mini-example

Sunrise Ltd: 4,00,000 shares of ₹10, cum-rights ₹50. Rights **1-for-4** at ₹30.

- New shares = 4,00,000 ÷ 4 = **1,00,000**; money = ₹30,00,000.
- TERP = (4×50 + 1×30) ÷ 5 = 230 ÷ 5 = **₹46**.
- VR per old share = 50 − 46 = **₹4**; per new = 4×(50−30)÷5 = **₹16**.
- Holder of 4 shares: before 4×50 = ₹200. Subscribes 1 @ ₹30 → 5 shares × ₹46 = ₹230, less ₹30 = **₹200** ✓ wealth-neutral.
- Renouncer of 400: keeps 400 × ₹46 = ₹18,400 + sells rights 400 × ₹4 = ₹1,600 = **₹20,000** = before ✓.
- Lapse loses exactly VR forgone.

Exam traps & must-remember

1. "Discount → loss" is **false**; wealth is neutral (discount recaptured as VR).
2. VR per **old** vs **new** share — differ by n/N. State basis; safe route: TERP → M − TERP → scale.
3. Only **lapsing** loses money (= VR of lapsed slice). Subscribe/renounce both neutral.
4. M must be **cum-rights** price; never feed ex-rights price into TERP.
5. Premium → **Securities Premium (Sec 52)**, not GR/P&L; don't debit it for issue expenses.
6. Rights (62(1)(a)) needs only **Board resolution**; special resolution is for (c) / 62(3).
7. Offer **15–30 days**; deemed declined. "Only 12 days" may be valid if **≥90% consent**.
8. No ledger entry for value of the right.
9. **Fractional entitlements** pooled and disposed under 62(1)(a)(iii); don't round individuals up.
10. **Bonus-then-rights** — apply bonus first (enlarges base) unless told otherwise.
11. S below face value → "not permissible" (Sec 53), not a TERP number.
12. TERP outside [S, M] → arithmetic error (swapped N and n).
13. Be ready to solve the TERP equation **backwards**.

- **Disclosure:** shares-reconciliation note (Schedule III) separates "issued for cash" (rights) from "bonus" — two movement lines in layered problems. Cash flow: rights proceeds = **Financing inflow = Shares × S** (VR is not a company cash flow).

One-line recall

- Sec 62(1)(a); default route; Board resolution; 15–30 days; renounceable; unsubscribed disposed non-disadvantageously.
- TERP = (N·M + n·S)/(N + n), lies strictly between S and M.
- VR/old = M − TERP; VR/new = (N/n)(M − TERP) = N(M−S)/(N+n).
- Wealth neutral if subscribe or sell; only lapse loses (= VR forgone).
- Entry: Bank Dr → Share Capital + Securities Premium; never below face value (Sec 53).
- 3-sec check: 1-for-4 @ ₹30, M ₹50 → TERP ₹46, VR ₹4/old, ₹16/new.

Chapter 35 — Employee Stock Option Plans (ESOP)

Snapshot

ESOP = right granted to employees to buy shares at a concessional price later, conditional on service/performance. The cost of services paid in equity is a **real (non-cash) expense** — measured at **fair value of the option at grant date**, spread over the **vesting period**, credited to **Employee Stock Options Outstanding A/c (ESOO)**, an equity item. Governed by ICAI **Guidance Note on Accounting for Employee Share-based Payments** (fair value method) + **SEBI SBEB & Sweat Equity Regulations 2021** (listed) + **Sec 62(1)(b)**. (Ind AS entities → Ind AS 102.)

Core concepts

- Option has value **at grant**, not just exercise (intrinsic + time value).
- Three dates: **Grant** (measure FV — NO entry) → **Vesting** (estimate becomes fact) → **Exercise** (cash in; ESOO → capital + premium).
- Counterparty test: **employees** → measure at FV of options; **non-employees/suppliers** → FV of goods/services received first.

Key provisions / conditions & limits

Measurement & spreading (fair value method)

- **Total expected cost = Options expected to vest × FV per option at grant.**
- **Cumulative expense to date = Total expected cost (latest estimate) × (vesting years elapsed ÷ total vesting years).**
- **Expense for year = Cumulative to date − cumulative recognised in prior years.**
- Uses **latest** estimate of number vesting → catch-up auto-corrects; **never restate prior years**. At vesting, "expected" → "actual".

Fair value vs intrinsic value

- **Intrinsic value = max(Market price − Exercise price, 0)** (ignores time value).
- **Fair value = intrinsic + time value** (given in exam via Black-Scholes).
- GN prefers **fair value**. If intrinsic used → mandatory **pro-forma** disclosure of profit & EPS as if FV used. (Strict intrinsic method may require remeasurement each reporting date — prices given every year → remeasure.)

The asymmetry — true-up rules (KEY)

Condition	In FV at grant?	True-up number?	If ultimately fails
Service (stay employed)	No	**Yes**	Reverse cost (forfeiture)
Non-market performance (IPO, ₹X sales)	No	**Yes**	Reverse cost
Market performance (share price ≥ ₹X, TSR)	**Yes**	**No**	**Cost STAYS** — do not reverse

Missed **market** condition → employee gets nothing but **expense remains**. Missed **non-market** → number expected → 0, **entire cost reversed**.

Attrition arithmetic

- "**X% leave over the period**" → survivors = grant × (1 − X%), multiply once.
- "**X% per annum**" → survivors = grant × $(1 - X\%)^n$ (compound). E.g. $(0.95)^3 = 0.857375$.

Modification / cancellation ("add, never subtract")

- Modification **increasing** FV → recognise **incremental FV** (new − old at modification date) over **remaining vesting period**, on top of original charge (unchanged).
- Modification **decreasing** FV → **ignore**; keep original charge.
- **Cancellation/settlement during vesting** → **accelerate**: recognise all remaining unamortised cost **immediately**.

Journal entries

Event	Entry
Grant	**No entry**
Each vesting year	Employee Compensation Expense A/c Dr; To ESOO Outstanding A/c
Year-end close	P&L A/c Dr; To Employee Compensation Expense A/c
Exercise	Bank A/c Dr (N × EP) + ESOO A/c Dr (N × FV); To Equity Share Capital (N × Face); To Securities Premium (**balancing figure**)
Forfeiture (pre-vest)	Auto via cumulative formula (may credit-reverse expense)
Lapse (vested, unexercised)	ESOO A/c Dr; To **General Reserve** A/c (**expense NOT reversed**)

- On exercise, Securities Premium = employee's cash premium **+** compensation routed via ESOO.
- Optional gross presentation: set up ESOO with contra-equity **Deferred Employee Compensation Expense**, amortised over vesting — same net result; do **not** double-count.

Worked mini-example

XYZ Ltd, 1 Apr 2023: 100 options each to 500 employees (50,000), vest after 3 yrs, FV ₹20, EP ₹60, face ₹10. Forfeiture estimates: Yr1 20% leave; Yr2 revised 25%; Yr3 actual 28% left.

Yr	Expected to vest	Total cost @₹20	Cumulative (×yr/3)	Prior	Expense
1	40,000	8,00,000	2,66,667	0	**2,66,667**
2	37,500	7,50,000	5,00,000	2,66,667	**2,33,333**
3	36,000 (actual)	7,20,000	7,20,000	5,00,000	**2,20,000**

Total = ₹7,20,000 = 36,000 vested × ₹20 ✓. Yr1 not restated. Exercise 34,000 @ ₹60: Bank Dr 20,40,000 + ESOO Dr 6,80,000 → Share Capital 3,40,000 + Sec. Premium 23,80,000. Lapse of 2,000 vested: ESOO Dr 40,000 → General Reserve 40,000.

Exam traps & must-remember

1. **Never true-up equity-settled cost for share-price movements** — baked into grant FV. Only forfeitures change the number.
2. Lapse after vesting → expense **stays**; move ESOO → **General Reserve** (not P&L).
3. **Graded vesting front-loads** cost (each tranche own period); not equal per year.
4. **No entry at grant** — first entry end of Year 1.
5. Cumulative method — never restate prior years.
6. Equity-settled credit = **equity (ESOO)**, never a liability. Only **cash-settled SARs** = liability.
7. Exercise split: Cash = N × **exercise** price; Share Capital = N × **face**; Sec. Premium = **balancing figure** (includes ESOO).
8. Intrinsic without disclosure → wrong; give pro-forma FV profit/EPS.
9. FV = intrinsic + time value; below-EP share → intrinsic 0 but FV positive.
10. **Market vs non-market** missed target — opposite accounting (stays vs reverses).
11. Compounding vs flat attrition — read wording.
12. Beneficial-to-company modification never cuts original cost; "add, never subtract".
13. Don't double-count under Deferred Compensation presentation.
14. Cancellation during vesting = **acceleration** (all remaining cost now).

Equity-settled vs Cash-settled (SAR): SAR settled in cash = share appreciation; credit = **liability**, remeasured to FV **every reporting date** until settlement; both forfeiture & price changes hit P&L. Equity-settled = measure once at grant, move only for leavers.

Presentation/law: ESOO under Reserves & Surplus (equity); Employee Compensation Expense under Employee Benefits in P&L; options are dilutive → **diluted EPS (AS 20)**. Sec 62(1)(b) (special resolution listed; Rule 12 ordinary resolution unlisted); **minimum 1-year grant-to-vest gap**; independent directors and >10% holders/promoters generally excluded.

One-line recall

- Total cost = options expected to vest × FV at grant; spread over vesting via cumulative formula.
- Grant: no entry. Vesting: Dr Expense, Cr ESOO. Exercise: Dr Bank + Dr ESOO → Capital + Premium. Lapse: Dr ESOO → General Reserve (expense stands).
- True-up for **leavers** (service/non-market); **never** for share price/market.
- Equity-settled → equity credit, measure once; cash-settled SAR → liability, remeasure yearly.
- Attrition: "over period" multiply once; "per annum" compound $(1-r)^n$.

Chapter 36 — Underwriting of Shares & Debentures

Snapshot

Underwriting = a contract where an underwriter guarantees, for a **commission**, to take up shares/debentures **not subscribed by the public** (insurance on the issue). **Devolvement** = shortfall falling on the underwriter. Commission is payable **whether or not** the guarantee is called. Governed by **Sec 40(6), Companies Act 2013 + Rule 13** (Prospectus & Allotment Rules 2014). Two exam skills: the **liability table** (arithmetic) and the **journal entries**.

Core concepts

- **Marked applications** — bear an underwriter's stamp/code → credited to **that** underwriter (measures selling performance).
- **Unmarked applications** — no stamp → shared among all in **gross-liability ratio**.
- **Firm underwriting** — underwriter definitely buys a fixed lot (like an ordinary applicant), over and above the guarantee; taken up regardless of public response.
- **Complete** underwriting (whole issue; company takes any un-underwritten balance) vs **Partial** (company is underwriter for the un-underwritten slice).

Key provisions / conditions & limits

Commission caps (Sec 40(6) + Rule 13)

Security	Max rate	Base
Shares	**5%** (or Articles' rate, whichever **less**)	Issue price (incl. premium) of shares **underwritten**
Debentures	**2.5%** (or Articles' rate, whichever **less**)	Issue price of debentures underwritten

- **Commission = shares underwritten × issue price × min(statutory cap, Articles' rate).**
- On shares **UNDERWRITTEN**, not taken up. On **issue price**, not face value.
- **No commission** on company's own portion (partial) or shares **not offered to public** (firm/reserved to underwriter per SEBI).
- Payable in cash, or fully-paid shares/debentures, or combination.
- **Conditions to pay:** authorised by Articles; within cap; disclosed in prospectus; underwriting contract filed with ROC; number underwritten disclosed.
- **Brokerage ≠ commission** — brokerage is for *procuring* subscriptions (paid only on shares actually placed); can be paid to same party additionally; no 5%/2.5% cap applies to it.

Gross Liability Method (work in NUMBER of shares)

1. **Gross liability** — split in agreed ratio (add **company** as underwriter if partial).
2. **Less: Marked applications** (each their own).
3. **Less: Unmarked applications** (distribute in gross-liability ratio).
4. = **Balance**. Negative → **surplus** (over-delivered).
5. **Surplus** of over-performer → **SUBTRACT** from others in ratio of **their** gross liabilities (exclude surplus party; surplus party → 0). Repeat if a second turns negative.
6. **Less: Firm underwriting** (per convention).
7. = **Net liability**. Then **+ own firm shares = total taken up**.

Order matters: marked → unmarked → surplus → firm. **Golden reconciliation: Marked + Unmarked + Firm + Net liability = Shares issued.**

Firm-underwriting conventions

- **Convention A** (ICAI default) — firm treated like the underwriter's **own marked** apps (deduct from own account).
- **Convention B** — firm **pooled with unmarked**, shared in gross ratio. If silent, assume A and state it. Convention materially changes net liabilities.

Fully subscribed in aggregate

If total subscription (marked + unmarked + firm) ≥ shares issued → **no liability on anyone**, even an underwriter whose own marking fell short. Commission still fully payable. **Exception:** agreement says "liable on marked applications only" → individual shortfall owed regardless of aggregate.

Context

- **Minimum subscription** (Sec 39): no allotment unless min. subscription received; else refund. **SEBI ICDR 90% rule** — refund if <90% of offer subscribed. Underwriting guarantees this floor via devolvement.
- Underwriter must be **SEBI-registered**; directors state in prospectus underwriters have sufficient resources; agreement filed with ROC.

Journal entries (N shares, face ₹10, issue ₹12, premium ₹2)

```
Underwriters A/c              Dr   (N × issue price)
    To Share Capital A/c              (N × face value)
    To Securities Premium A/c         (N × premium)

Underwriting Commission A/c   Dr   (commission)
    To Underwriters A/c

Bank A/c                      Dr   (net)    [or Underwriters Dr, To Bank if commission > shares value]
    To Underwriters A/c

Securities Premium A/c        Dr   (write-off, to extent available)
    To Underwriting Commission A/c
```

- Debentures → credit **Debentures A/c** instead of Share Capital; cap 2.5%.
- Commission in fully-paid shares: Underwriters A/c Dr → Share Capital + Securities Premium.
- Write-off: against **Securities Premium (Sec 52(2)(c))** to the extent available; **excess / par issue → Statement of P&L**.

Worked mini-example

Ganga Ltd: 2,00,000 shares @ ₹10 par, underwritten **A:B:C = 5:3:2**. Marked: A 40,000, B 20,000, C 60,000; Unmarked 30,000.

	A	B	C	Total
Gross liability	1,00,000	60,000	40,000	2,00,000
Less marked	40,000	20,000	60,000	1,20,000
Less unmarked (5:3:2)	15,000	9,000	6,000	30,000
Balance	45,000	31,000	(26,000)	50,000
C surplus (5:3)	(16,250)	(9,750)	26,000	0
Net liability	**28,750**	**21,250**	**0**	**50,000**

Reconcile: Marked 1,20,000 + Unmarked 30,000 + Net 50,000 = 2,00,000 ✓. C over-delivered → **subtracts** from A, B (total stays = shortfall 50,000).

Exam traps & must-remember

1. Commission on shares **UNDERWRITTEN, not taken up** (₹50,000 on 1,00,000, not on 28,000).
2. Commission on **issue price incl. premium**, not face value.
3. Company earns **no commission** on own / not-offered-to-public portion.
4. Surplus **REDUCES** (subtract from) others — sign discipline. Total after redistribution must still = original shortfall.

5. Marked vs unmarked: often **unmarked = total apps − marked** (don't double count).
6. Firm convention A vs B changes numbers — identify which.
7. Firm shares **always** taken up by underwriter, added to net liability for "total subscribed".
8. Surplus redistributed in **remaining** underwriters' gross ratio (exclude surplus party); repeat if second goes negative.
9. Partial → insert **company** as underwriter for balance.
10. Reconcile at the end (free marks + error detection).
11. Work in **number of shares**, not rupees, in the table.
12. Rate = **min(statutory cap, Articles' rate)** — Articles below cap bind down (2% not 2.5%); above cap don't lift (5% not 6%).
13. Fully subscribed in aggregate ⇒ **nil liability** (unless "marked applications only").
14. Settlement cash can **reverse**: if commission > shares value, company **pays** underwriter.
15. Write-off **capped by premium available**; excess → P&L.
16. Brokerage ≠ commission; don't merge or apply cap.

One-line recall

- Purpose: transfer demand-risk company → underwriter for a commission (insurance).
- Caps: 5% shares / 2.5% debentures, or Articles' rate if lower; base = issue price of shares underwritten.
- Table: Gross → −Marked → −Unmarked(gross ratio) → surplus subtract → −Firm → Net liability (+own firm = total taken up).
- Reconciliation: Marked + Unmarked + Firm + Net liability = Shares issued.
- Commission written off vs Securities Premium (Sec 52); excess → P&L. Debentures → credit Debentures A/c.

Chapter 37 — Redemption of Debentures

Snapshot

Redemption = discharging (repaying + cancelling) the debenture liability per the trust deed (par or premium). Creditor protection via two locks: **DRR** (fence profit from dividend — Sec 71(4)) and **DRI** (stockpile liquid cash — Rule 18(7)). Plus splitting **cum-/ex-interest** on open-market purchases. Redemption is a **timeline** — right entry on the right date.

Core concepts

- **DRR** = appropriation of **profit** (equity; no cash), sized on **outstanding** debentures, built **before** redemption, released to General Reserve **after**.
- **DRI** = **cash** invested in liquid securities, sized on debentures **maturing next year**, in place by **30 April**.
- **Four methods:** Lump sum (bullet) · Instalments (drawing lots) · Open-market purchase · Conversion. (Conversion = no cash → DRR/DRI not needed.)
- **Three sources:** Out of profits (DRR = redemption amount, conservative) · Out of capital (only statutory minimum DRR) · Partly both (10% DRR = the middle path).

Key provisions / conditions & limits

DRR — Sec 71(4) + Rule 18(7)(b) (post 16 Aug 2019 amendment)

Company	DRR
Banks; AIFIs regulated by RBI	**No DRR**
Listed NBFCs / listed HFCs	**No DRR**
Other **listed** companies	**No DRR**
Unlisted NBFCs / HFCs — privately placed	**No DRR**
Other unlisted companies	**DRR = 10% of outstanding value of debentures**

- Created out of **profits available for dividend**; before redemption; released to **General Reserve** after (never back to P&L / dividend).
- Base = **outstanding face value** (converted/redeemed portions drop out); **NOT** premium-inclusive amount.
- **Pre-2019 rate = 25%** (of debentures to be redeemed) — use if problem is dated pre-2019 or says 25%. State regime applied.
- One-time adequacy test — build to level, hold; in instalment problems create full DRR before first instalment, release after last.

DRI — Rule 18(7)(c)

- Only if **DRR is required** (no DRR → no DRI).
- **≥15%** of debentures **maturing during the FY ending next 31 March**, invested/deposited **on or before 30 April**, kept ≥15% until redemption complete.
- Base = debentures **maturing in coming FY**, not total outstanding, not 15% of DRR.
- Permitted (**unencumbered**): scheduled-bank deposit; Central/State Govt securities; securities per Sec 20(a)–(d) Indian Trusts Act 1882; bonds of another listed company. (Banking cos.: deposit route only.)
- DRI **interest = company's income** (to P&L); enlarges cash pool but does **not** reduce holders' dues.

Open-market purchase — cum vs ex-interest

Accrued interest = **Face × coupon rate × (months since last coupon ÷ 12)**.

Quotation	Includes interest?	Cost of debenture	Total cash paid
Cum-interest	Yes	Quoted price − accrued	Quoted price
Ex-interest	No	Quoted price	Quoted price + accrued

- Interest slice → **Interest on Debentures A/c** (finance cost).

- **Cancellation profit** (Face − Cost, if Cost < Face) → **Capital Reserve**. **Loss** (Cost > Face, e.g. bought above par) → **Statement of P&L**.
- **For immediate cancellation** → debit 12% Debentures directly. **Held as investment** → route via **Investment in Own Debentures A/c**; interest on own debentures neutralised while held; cancel later, difference to Capital Reserve/P&L.

Sinking Fund (Debenture Redemption Fund) method

- Annual set-aside = **Redemption amount × SF factor**, factor = **$r \div [(1+r)^n - 1]$**.
- Interest earned on **opening** investment balance, reinvested (Year-1 interest = 0).
- **No fresh investment in final year** (sold to redeem).
- Sale profit/loss routed through Fund A/c; on maturity transfer Fund → **General Reserve**.

Journal entries

```
 Create DRR:  Surplus in Statement of P&L A/c  Dr   → Debenture Redemption Reserve A/c
Make DRI:    Debenture Redemption Investment A/c Dr → Bank A/c            (15%, by 30 Apr)
Realise DRI: Bank A/c Dr → DRI A/c (+ interest received, if any)
Amount due:  12% Debentures A/c Dr (face) + Premium on Redemption A/c Dr (premium)
                 → Debenture-holders A/c
Final coupon: Interest on Debentures A/c Dr → Debenture-holders / Bank
Payment:     Debenture-holders A/c Dr → Bank A/c
Release DRR (after redemption): DRR A/c Dr → General Reserve A/c
Cancel own (bargain): 12% Debentures A/c Dr (face) → Own Debentures A/c (cost)
                 + Profit on Cancellation A/c; then Profit on Cancellation A/c Dr → Capital
Reserve
```

Premium on Redemption is a **liability created at issue** (against Loss on Issue of Debentures) — at redemption merely paid off, not a fresh expense.

Worked mini-example

Meridian Ltd (unlisted): ₹20,00,000 of 12% Debentures @ ₹100, redeem **at par 31 Mar 2027**. Current rules.

- DRR = 10% × 20,00,000 = **₹2,00,000** (created FY2025-26): Surplus in P&L Dr → DRR.
- DRI = 15% × 20,00,000 = **₹3,00,000** by **30 Apr 2026**: DRI Dr → Bank.
- On maturity: Bank Dr 3,00,000 → DRI (realise); 12% Debentures Dr 20,00,000 → Holders → Bank 20,00,000.
- Release DRR: DRR Dr 2,00,000 → General Reserve.
- **If listed:** no DRR, no DRI — only the due + pay ₹20,00,000 survives.

Open-market: 1,000 own debentures @ ₹98, 4 months accrued (last coupon 31 Mar), 12% → accrued = 1,00,000 × 12% × 4/12 = ₹4,000. **Cum:** cost = 98,000 − 4,000 = ₹94,000, profit ₹6,000 → Capital Reserve. **Ex:** cost = ₹98,000, cash 1,02,000, profit ₹2,000 → Capital Reserve.

Exam traps & must-remember

1. **DRR %**: 10% (unlisted non-exempt) post-2019; 25% pre-2019; nil for banks/AIFIs/NBFCs-HFCs/listed. Read status + date.
2. **DRI base = debentures maturing in coming year**, not total outstanding, not 15% of DRR. DRI = cash; DRR = profit appropriation.
3. DRR needs **actual profits available for dividend**.
4. **Cum: subtract** accrued; **Ex: add** accrued. Most common slip.
5. Count accrued from **last coupon date** to purchase date (half-yearly may be 30 Sep).
6. Cancellation **profit → Capital Reserve**; **loss → P&L** (never Capital Reserve for loss).
7. DRR released to **General Reserve**, never P&L/dividend.
8. Sinking fund: interest on **opening** balance, reinvested — don't omit.
9. Premium on redemption = liability from **issue**, not fresh expense at redemption.

10. Held-as-investment (via Investment in Own Debentures) vs immediate cancellation — read wording.
11. DRR on **face/outstanding value only**, not face + premium.
12. Bought **above par** → loss → P&L.
13. DRI must be funded **on/before 30 April**, not on maturity date.
14. Don't forget **final coupon interest** at redemption (separate from principal).
15. DRI interest income does **not** reduce amount due to holders.

Presentation (Schedule III): Debentures → Long-term Borrowings (or **Current maturities** in Other Current Liabilities if within 12 months); DRR / DRF → Reserves & Surplus; DRI → Investments; Premium on Redemption → Other Liabilities; cancellation profit → Capital Reserve. Interest accrued **but not due** distinct from accrued **and due**.

One-line recall

- DRR (Sec 71(4)): 10% of outstanding, out of profits, before redemption, → General Reserve after; nil for listed/banks/NBFCs.
- DRI (Rule 18(7)): ≥15% of debentures maturing next FY, by 30 April, liquid unencumbered securities; only if DRR required.
- Cum: cost = price − accrued; Ex: cost = price, cash = price + accrued. Accrued = Face × rate × months/12.
- Cancellation gain → Capital Reserve; loss → P&L.
- Sinking fund set-aside = amount × $r/[(1+r)^n-1]$; interest on opening balance reinvested.

Investment Accounts

Snapshot

Special three-column ledger keeping **units, income and capital** surgically separate for each type of investment. Governed by **AS 13**. Each investment type gets its own account. *Nominal column never touches P&L; Interest column never touches Balance Sheet.*

Core concepts

Three columns (each investment type = separate account):

- **Nominal (Face Value)** — memorandum of units held; reconciles unit count, drives average cost. Closing c/d = face value still held.
- **Interest / Income** — income earned/accrued + accrued interest paid on purchase; net **closed to P&L**.
- **Principal (Capital / Cost)** — real capital cost, stripped of accrued interest. Closing c/d = carrying amount → **Balance Sheet**.

Balancing logic:

- Nominal — pure arithmetic (known, not a plug).
- Interest — balancing figure = income transferred to P&L (a genuine plug).
- Principal — **compute c/d independently = avg cost × units held; profit/loss is the plug**.

Key provisions / rules — formulas, treatment; tables

Cost of investment (AS 13) = Purchase price + Brokerage + Stamp duty + charges. Accrued interest is NOT cost.

Accrued Interest = Face Value × Annual Coupon Rate × (months since last coupon ÷ 12). Coupon received = rate × face value **held on the coupon date** (split if holdings changed mid-period).

Cum vs Ex — "Cum = Carve out; Ex = Extra on. Buy adds brokerage; Sell subtracts brokerage."

Transaction	Principal-side value	Interest column	Cash
Cum buy	(Quoted + brokerage) − Accrued	Dr = Accrued	Quoted + brokerage
Ex buy	Quoted + brokerage	Dr = Accrued	Quoted + brokerage + Accrued
Cum sale	(Quoted − brokerage) − Accrued	Cr = Accrued	Quoted − brokerage
Ex sale	Quoted − brokerage	Cr = Accrued	(Quoted − brokerage) + Accrued

Year-end accrual (books close between coupons): recognise stub-period interest as income (To P&L, Dr side) AND carry it as accrued interest receivable c/d. Next year b/d on Dr side, cleared when coupon arrives. Opening accrued interest → bring down Dr side "To Interest accrued b/d".

TDS: credit **gross** interest to Interest column; Bank Dr = net; TDS receivable Dr (asset).

Bonus shares: Nominal ↑ by face value; **Principal = 0** (no cost); no income. New avg cost/share = Existing Principal ÷ (existing + bonus shares).

Rights shares:

- Subscribed → Nominal ↑ (face), Principal ↑ (cash paid).
- Renounced (sold) → **capital receipt, credit Principal (reduce cost)**. To P&L only if question says so, or shares quoted ex-right.

Sale — profit/loss: Cost of units sold = Face sold × (Total Principal ÷ Total Nominal) [running ratio at sale date], or avg cost/share × shares. Profit/(Loss) = Sale value (Principal part) − Cost of units sold. **Profit → Dr side "To P&L"; Loss → Cr side "By P&L".** Default cost-flow = weighted average (recompute after every event); FIFO only if stated.

Carrying value (AS 13):

Class	Measured at	Diminution
Long-term	Cost	Write down only for **other-than-temporary** decline → P&L; else disclose market value
Current	**Lower of cost & fair value**	Write down to fair value → P&L
Applied investment-by-investment (or category). Write-back capped at original cost; never carry above cost.		

Dividend: Pre-acquisition → reduce cost (credit Principal, NOT income). Post-acquisition → income (P&L). Same test as accrued interest / ex-right: *is there a cost sitting behind the receipt?*

Journal entries

```
Purchase (ex-interest):
Investment A/c (Principal)  Dr  [price + brokerage]
Interest A/c               Dr  [accrued]
   To Bank                     [total]

Purchase (cum-interest):
Investment A/c (Principal)  Dr  [cum price + brokerage − accrued]
Interest A/c               Dr  [accrued]
   To Bank                     [cum price + brokerage]

Interest received:   Bank Dr / To Interest A/c

Sale (ex-interest, profit):
Bank Dr  [proceeds + accrued]
   To Investment A/c (cost of units sold)
   To Interest A/c (accrued)
   To P&L (profit)

Year-end accrual:    Interest A/c (accrued) Dr / To P&L
Pre-acq dividend:    Bank Dr / To Investment A/c (reduce cost)
Post-acq dividend:   Bank Dr / To Interest/Income A/c
Current inv write-down: P&L Dr / To Investment A/c (to fair value)
```

Bonus: no money entry (Nominal memorandum only). Rights subscribed: Investment A/c Dr / To Bank. Rights sold: Bank Dr / To Investment A/c (or To P&L if income).

Worked mini-example

12% bond, coupons 30 Jun/31 Dec, buy ₹1,00,000 face @ ₹98 **cum-interest** on 1 May, brokerage 1%. Last coupon 31 Dec → accrued 4 months. Accrued = 1,00,000 × 12% × 4/12 = ₹4,000. Cash = 98,000 + 980 = ₹98,980. Principal = 98,980 − 4,000 = **₹94,980**; Interest Dr = **₹4,000**.

Exam traps & must-remember

- Adding accrued interest to cost (cum price already contains it → carve out).
- Cum/Ex direction reversed.
- Bonus added to Principal / treated as income (both wrong).
- Rights sold taken to P&L instead of reducing cost.

- Interest computed on wrong face value or year-end holding instead of coupon-date holding.
- Forgetting brokerage: add on buy, **deduct** on sale.
- Pre-acquisition dividend booked as income.
- Sale on coupon date → accrued = 0 (no phantom interest).
- Forgetting year-end accrued interest (income + receivable c/d).
- Crediting net-of-TDS interest instead of gross.
- Forcing Principal c/d as a plug — compute it independently, let profit/loss plug.
- Long-term temporary decline written down (only other-than-temporary).
- Writing investment above original cost.

One-line recall

- Three columns: Nominal (units, memo) · Interest (income → P&L) · Principal (cost → B/S).
- Cost = price + brokerage + charges; accrued interest is never cost.
- Cum = Carve out; Ex = Extra on; Buy adds brokerage, Sell subtracts.
- Bonus: Nominal ↑, Principal 0; Rights sold: credit Principal.
- Long-term at cost; Current at lower of cost & fair value.
- Pre-acquisition receipt = capital (reduce cost); post-acquisition = income.

Amalgamation, Absorption & External Reconstruction

Snapshot

One company's entire assets, liabilities and shareholders folded into another (or a new) company; transferor is wound up. Governed by **AS 14**. Substance (a five-condition test), not legal form, decides the method: **Pooling (merger)** vs **Purchase**.

Core concepts

Three legally-distinct but AS-14-identical forms:

Term	What happens	Survivor
Amalgamation	2+ companies wind up; **new company** formed	New co. (A + B → AB)
Absorption	**existing** co. takes over another (wound up)	Existing co.
External Reconstruction	battered co. wound up; **new co.** (same shareholders) takes over	New co.

Terminology: Transferor Company (vendor, wound up) → Transferee Company (purchasing, survives). "New company formed" and "merger accounting" are **independent** — decide method only by the five-condition test.

Key provisions / rules — formulas, treatment; tables

AS 14 five merger conditions (ALL must hold → Pooling; any one fails → Purchase):

1. All assets and liabilities of transferor become transferee's.
2. Shareholders holding **≥90%** of face value of equity (excluding shares transferee already holds) become equity shareholders of transferee.
3. Consideration to equity shareholders discharged **wholly by equity shares** (cash only for fractional shares).
4. Business of transferor **intended to be carried on**.
5. **No adjustment to book values** except for uniformity of accounting policies. (90% measured on outsider block; condition 3 polices only the equity leg — preference holders may get cash/pref.)

	Merger (Pooling)	Purchase
Trigger	ALL 5 met	ANY fails
Asset/liab values	**Book value**	**Agreed/fair value**
Transferor reserves	**Carried over**	**NOT carried over**
Goodwill/Cap. Reserve	None (adjust in reserves)	Goodwill if PC>NA; Cap. Res. if PC<NA

Purchase Consideration = payment to SHAREHOLDERS only (NOT total assets). Payments to debenture-holders, creditors, liquidation expenses are **excluded**.

- **Net Assets Method:** Agreed value of assets taken over − Agreed value of liabilities taken over. (Do NOT deduct reserves/share capital — they are owners' claims.)
- **Net Payments Method:** Cash + Equity shares (at **issue value = par + premium**) + Pref. shares + other securities/assets given to shareholders.
- **Intrinsic value / exchange ratio:** Shares to issue = transferor's shares × exchange ratio; PC = shares × issue value. Exchange ratio = transferor's intrinsic value/share ÷ transferee's.
- **Lump-sum:** PC stated directly.

Goodwill / Capital Reserve (Purchase only):

```
Goodwill/Cap. Reserve = PC − Net assets (agreed values)
PC > NA → Goodwill (Dr, asset)      "paid more, got goodwill"
PC < NA → Capital Reserve (Cr)      "paid less, got a reserve"
```

Two transferors → show Goodwill for one and Capital Reserve for the other; **no netting**.

Pooling difference rule: difference between share capital issued and transferor's share capital adjusted **in reserves** (reduce revenue/free reserves first, then capital reserve). No goodwill.

Discharge of PC: shares above par → excess to **Securities Premium**. PC = capital portion + premium portion (do NOT add premium a second time). Total discharged = PC exactly.

Specific items: Statutory reserves under Purchase preserved via **Amalgamation Adjustment Reserve** (negative/contra line under Reserves & Surplus). Goodwill on amalgamation amortised (presumed ≤5 years). Inter-company owings & unrealised profit eliminated. Cross-holding: pay only outside shareholders + add transferee's existing investment (carrying value) to cost side; cancel investment on discharge. Debentures taken over → issue own debentures, **not** part of PC.

Journal entries

Transferee (Purchase):

```
Business Purchase A/c  Dr (PC) / To Liquidator of Transferor A/c
[Incorporate:] Assets Dr (agreed); Goodwill Dr (if any)
   To Liabilities (agreed); To Business Purchase; To Capital Reserve (if any)
[Discharge:] Liquidator A/c Dr / To Equity Share Capital; To Securities Premium; To Cash
```

Transferee (Pooling): bring in assets, liabilities **and reserves** at book value; difference adjusted in reserves.

Transferor (Realisation Account):

```
Realisation A/c Dr / To individual Assets (book value)
Liabilities A/c Dr / To Realisation (taken over, book value)
Transferee Co. A/c Dr / To Realisation (PC due)
Bank/Shares Dr / To Transferee Co. (PC received)
Reserves & P&L(Cr) → Equity Shareholders A/c
Share Capital → Equity Shareholders A/c
Realisation profit/loss → Equity Shareholders A/c
```

Fictitious assets (preliminary exp, discount on issue, debit P&L) go **straight to Equity Shareholders A/c**, never through Realisation. All transferor accounts close to zero.

Worked mini-example

Beta absorbed by Alpha; net assets (agreed) ₹6,60,000; Alpha issues 60,000 equity shares of ₹10 @ ₹12. PC (Net Payments) = 60,000 × 12 = ₹7,20,000. Values adjusted → condition 5 fails → **Purchase**. Goodwill = 7,20,000 − 6,60,000 = **₹60,000**. Discharge: Equity Capital ₹6,00,000 + Securities Premium ₹1,20,000. (If shares issued at par → PC ₹6,00,000 < NA ₹6,60,000 → **Capital Reserve ₹60,000** — flips on issue price.)

Exam traps & must-remember

- PC ≠ total net assets; excludes payments to debenture-holders/creditors/expenses.
- Reserves carry over under Pooling only, NOT Purchase.
- Any cash beyond fractions / any revaluation / <90% → Purchase.
- Goodwill vs Capital Reserve direction reversed = instant zero.
- Value shares at issue price (par + premium); don't double-count premium.
- Fictitious assets and excluded liabilities left out of net assets.
- Old goodwill: treat per terms (often nil); don't double-count.
- Liquidation expenses borne by transferee — not part of PC (charge per policy; P&L is safer default).
- Cross-holding: pay only outsiders + net the existing investment.
- Absorption ≠ purchase automatically; new company ≠ merger automatically.

- Realisation profit (transferor, vs book values) can differ in sign from transferee's goodwill (vs agreed values).

One-line recall

- Substance test (5 conditions) picks method: all met → Pooling; any fails → Purchase.
- PC = payment to shareholders only; Net Assets or Net Payments method.
- Goodwill = PC − Net assets (agreed); positive → Goodwill, negative → Capital Reserve (Purchase only).
- Pooling carries reserves + book values, no goodwill; Purchase fair-values, drops reserves.
- Transferor closes via Realisation A/c (fictitious assets bypass it); transferee opens via Business Purchase A/c.
- Balance sheet must tie: Assets = Equity + Liabilities.

Internal Reconstruction

Snapshot

Fix a broken balance sheet **inside the same company** — wipe accumulated losses, write assets to fair value, shrink capital — **without a new company and without liquidation**. Every sacrifice pours INTO one pot (**Capital Reduction / Reconstruction A/c**); every loss is spent OUT of it. Contrast: external reconstruction = new company + PC + Realisation A/c.

Core concepts

The **Capital Reduction Account** is a clearing pot: sacrifices **credited** in, write-offs/write-downs **debited** out. Must close to **nil or a credit (→ Capital Reserve)**. A **debit balance is impossible/error** (scheme under-funded). **Order of sacrifice:** equity first, then preference, then lenders/creditors — mirrors winding-up priority.

Key provisions / rules — formulas, treatment; tables

Two legal routes:

	Section 61 — Alteration	Section 66 — Reduction
Acts	Increase / consolidate / sub-divide / convert / cancel **unissued** shares	Extinguish uncalled liability; cancel **lost paid-up** capital; return surplus capital
Resolution	Ordinary (+ Articles)	**Special (75%)**
Tribunal (NCLT)	**No**	**Yes** (creditors protected)
Trap: cancelling **unissued** shares = Sec 61 (no Tribunal); cancelling **paid-up** capital = Sec 66. Sub-division/consolidation change number & face value but **NOT total capital** — no pot effect. Sec 66 clause: cancel capital "lost or unrepresented by available assets".		

Credits to the pot (sacrifices):

- Equity capital reduced (₹ per share released × shares).
- Preference capital reduced.
- Debenture principal reduced.
- Creditors' haircut (forgiven portion).
- Directors' loan waived.
- Securities Premium / Capital Reserve / General Reserve applied.
- **Revaluation GAIN** (asset written up — only to figure stated in scheme).
- **Accrued debenture interest forgone** (it IS a booked liability → entry).

Debits to the pot (uses):

- P&L Dr balance (accumulated losses).
- Fictitious assets (preliminary exp, discount on issue, underwriting commission).
- Goodwill.
- Over-valued assets written down; provision for doubtful debts.
- Contingent liability that crystallises; reconstruction expenses (cash out = pot Dr).
- Loss on asset handed to a claimholder (book − agreed value).

No entry / not a sacrifice:

- **Arrears of preference dividend** cancelled → contingent, **disclosure only, NO entry** (unless satisfied by issue of shares → entry).
- **Fresh cash** brought in → Bank Dr / Share Capital Cr — NOT a pot credit.
- **Cash paid to settle a real liability** (e.g. creditor part-settlement) → touches Bank, only the *forgiven* portion is the sacrifice.

Reverse-engineering ("reduce so pot closes to nil"):

```
Required equity sacrifice = Total debits − All non-equity credits
Reduction per share = Required equity sacrifice ÷ number of equity shares
New face value = Old face − reduction per share
```

(Fixed reduction → expect a Capital Reserve; solving for it → nil close.)

Asset handed to a claimholder (touches pot twice): (i) book value − agreed value = loss/gain → pot; (ii) agreed value + new paper vs old claim: shortfall forgone → claimholder sacrifice (pot credit).

Golden checks: pot closes to nil or Capital Reserve (never Dr balance); revised Balance Sheet must balance; Bank must not go negative (bring fresh cash in first). New shares issued in settlement credited at **reduced** face value. Capital Reserve from scheme → bonus shares / absorb capital losses, **never cash dividend**. Company may append **"And Reduced"** to name.

Journal entries

```
Sacrifice (equity):   Equity Share Capital A/c Dr / To Capital Reduction A/c
Preference reduced:   Pref. Share Capital A/c Dr / To Capital Reduction A/c
Debenture reduced:    Debentures A/c Dr / To Capital Reduction A/c
Accrued deb interest: Interest Accrued A/c Dr / To Capital Reduction A/c
Creditors forgo:      Sundry Creditors A/c Dr / To Capital Reduction A/c
Revaluation up:       Asset A/c Dr / To Capital Reduction A/c
Fresh cash:           Bank A/c Dr / To Share Capital A/c
Write-offs:           Capital Reduction A/c Dr / To P&L, Goodwill, Assets, Provision
Expenses/damages:     Capital Reduction A/c Dr / To Bank
Surplus:              Capital Reduction A/c Dr / To Capital Reserve
```

Asset to debenture-holder in settlement:

```
Debentures A/c Dr; Interest Accrued A/c Dr
   To Investments/Asset A/c (book value); To new Debentures A/c; To Capital Reduction A/c 
(forgone)
```

Worked mini-example

Delta Ltd: pot must close to nil. Debits — Goodwill 60,000 + Plant down 50,000 + Stock down 20,000 + Provision 4,000 + P&L 2,20,000 = **₹3,54,000**. Non-equity credits — Debentures 25%×2,00,000 = 50,000 + Creditors 10%×1,40,000 = 14,000 + Freehold revaluation gain 50,000 = **₹1,14,000**. Required equity sacrifice = 3,54,000 − 1,14,000 = **₹2,40,000** ÷ 60,000 shares = **₹4/share**. So ₹10 share → **₹6**.

Exam traps & must-remember

- Arrears of preference dividend → NO entry (disclosure).
- Fresh cash is NOT a sacrifice.
- Cash to a creditor: only the forgiven part is a sacrifice; the paid part touches Bank.
- Debit balance in Capital Reduction A/c = error/under-funded (never invent a credit).
- Cancelling unissued shares = Sec 61; cancelling paid-up = Sec 66.
- Revaluation GAINS route through the pot (credit) too.
- **Accrued debenture interest IS a booked debt** — forgoing it IS an entry (vs pref-dividend arrears which are not).

- Asset handed to claimholder touches pot twice.
- New shares issued in settlement at **reduced** face value.
- Bank must not go negative; tally sacrifices vs losses before drafting B/S.
- Capital Reserve from scheme cannot pay dividend.

One-line recall

- Same company survives; no PC, no Realisation A/c, no new company.
- Sec 61 alteration = light (ordinary resolution, no Tribunal); Sec 66 reduction = heavy (special resolution + Tribunal).
- Capital Reduction A/c: sacrifices Cr in, write-offs Dr out; closes to nil or Capital Reserve.
- Order of sacrifice: equity → preference → lenders/creditors.
- Pref-dividend arrears = no entry; accrued debenture interest forgone = entry.
- Revised Balance Sheet must balance; Bank must not go negative.

Branch Accounts (including Foreign Branches)

Snapshot

Measure each branch's profit, strip unrealised inter-branch profit (loading), expose stock losses, and translate foreign figures (**AS 11**). A branch is **legally part of the company**. Two classification axes (separate): **dependent vs independent** (who keeps books) and **integral vs non-integral** (economic autonomy — foreign only).

Core concepts

- **Dependent branch** — HO keeps books. Systems: Debtors / Stock-and-Debtors / Final Accounts / Wholesale.
- **Independent branch** — own books + trial balance; HO keeps Branch A/c and **incorporates** the TB after reconciling in-transit items. Reciprocal accounts (HO A/c in branch books, Branch A/c in HO books) end **equal and opposite**.
- **Foreign branch** — translate via AS 11 before incorporation.
- All three dependent systems give the **same net profit** (checksum).

Key provisions / rules — formulas, treatment; tables

Loading (k% on cost → loading as fraction of invoice = k/(100+k)):

Markup	Invoice=Cost×	Load %cost	Load %invoice	Cost %invoice
Cost+20%	1.20	20%	1/6 (16.67%)	5/6 (83.33%)
Cost+25%	1.25	25%	1/5 (20%)	4/5 (80%)
Cost+33⅓%	4/3	33⅓%	1/4 (25%)	3/4 (75%)
Cost+50%	1.50	50%	1/3 (33.33%)	2/3 (66.67%)
"Profit on sales/invoice" = already loading-on-invoice → do NOT convert. Only "profit on cost" needs k/(100+k).				

Debtors System — Branch A/c (invoice price), four loading lines:

- Dr: Opening stock (IP), Opening debtors, Goods sent (IP), Expenses paid by HO, **loading on closing stock**, Net profit (bal.).
- Cr: **loading on opening stock**, **loading on net goods sent**, Cash sales, Cash from debtors, Closing stock (IP), Closing debtors.
- At cost → drop all four loading lines.
- Credit sales, bad debts, discount, returns from customers → **only** in memorandum debtors working (net inside closing debtors), NOT shown separately.
- Branch fixed assets: opening → Dr, depreciated closing → Cr (**no separate "To Depreciation"** line).
- Closing debtors = Opening + credit sales − cash − discount − bad debts − returns.

Stock & Debtors System (all at invoice price) — account sequence:

1. **Branch Stock A/c** → Dr>Cr = shortage; Cr>Dr = surplus (balancing figure).
2. **Branch Adjustment A/c** (loading only): Cr = loading on opening stock + loading on **net** goods sent; Dr = loading on closing stock + loading on shortage + **Gross Profit** (bal.).
3. **Branch Debtors A/c** → closing debtors.
4. **Branch P&L A/c**: GP − expenses − bad debts − discount − **cost portion of shortage** = Net Profit.

- **Shortage:** cost portion (× cost fraction) → Branch P&L; loading portion → Branch Adjustment. **Surplus = mirror.**

- **Normal loss** (leakage/evaporation) → absorbed in GP rate (no separate loss line). **Abnormal loss** (fire/theft) → isolated: cost portion → P&L (net of insurance), loading → Adjustment.

Stock Reserve: create on **closing** stock (Dr profit), release on **opening** stock (Cr profit); balance-sheet stock shown at **cost** (IP − loading).

Final Accounts System: memorandum Branch Trading & P&L **at cost** — strip loading before entry; no reserve/loading line inside; net profit → HO General P&L.

Wholesale Branch: goods invoiced at wholesale price; branch profit = retail − wholesale margin only; stock reserve on **wholesale price − cost** of unsold branch stock.

Foreign branch (AS 11):

	Integral (temporal)	Non-integral (closing rate/net investment)
Monetary items (cash, debtors, creditors, loans)	Closing rate	Closing rate
Non-monetary at cost (fixed assets, cost stock)	**Historical rate**	Closing rate
Income & expenses	Average rate (deprec at asset historical)	Average rate
Exchange difference	**→ P&L**	**→ FCTR** (to P&L only on disposal)

- HO Account → its **₹ book value** (no rate).
- Integral vs non-integral test: *does a fall in foreign currency directly/immediately hit HO's cash flows?* Yes → integral; buffered → non-integral. Non-integral signs: settles in local currency, insulated cash flows, local market/pricing/financing/costs.
- Same data, different classification → **different reported profit**.

Journal entries

Stock Reserve (create): Branch P&L / Branch Adjustment Dr → To Stock Reserve. (Release opening: reverse.) Independent branch incorporation — two styles: **Detailed** (each income/expense/asset/liability merged line-by-line via Branch A/c) or **Abridged** (only net profit + assets/liabilities: Dr Branch A/c / Cr Branch P&L). Unrealised profit on branch stock eliminated via Stock Reserve.

Worked mini-example

Foreign branch, non-integral. Opening stock 8,000 @ ₹70, purchases 40,000 @ ₹72 (avg), closing stock 9,000 @ ₹75 (closing), sales 60,000 @ ₹72, plant $12,000 @ ₹75. All assets/liabilities @ closing 75; income/expenses @ avg 72; opening stock @ opening 70; HO A/c at ₹ book. Exchange difference (balancing figure) → **FCTR** (not P&L). If instead **integral**: plant @ historical rate, opening stock @ its acquisition rate, monetary @ closing, difference → **P&L** — profit changes.

Exam traps & must-remember

- "Cost + 25%" = 20% of invoice, NOT 25%.
- Credit sales/bad debts/discount in Debtors-System Branch A/c (they net inside closing debtors).
- Loading on **net** goods sent (after returns to HO).
- Shortage: only cost portion → P&L; loading portion → Adjustment. Surplus mirror.
- Stock Reserve direction: create on closing (Dr), release on opening (Cr).
- Depreciation: opening asset Dr + depreciated closing Cr, no separate line.
- Foreign: wrong rate for wrong item; exchange difference to P&L (integral) vs FCTR (non-integral).
- HO Account needs no rate.
- Independent branch: reconcile in-transit goods/cash first; adjust on books of whoever hasn't recorded it — never plug the gap to profit.

- Normal (absorbed) vs abnormal (isolated) loss decided by the cause word.
- Closing stock given at cost in a Stock-and-Debtors sum → gross up to invoice first.
- Wholesale branch reserve on wholesale−cost, not retail−cost.

One-line recall

- Two axes: dependent/independent (books) and integral/non-integral (economics) — keep separate.
- Loading = k/(100+k) of invoice; strip it wherever unsold stock appears (Stock Reserve → stock at cost).
- Debtors System = one Branch A/c, profit = balancing figure; Stock-and-Debtors exposes shortage.
- All dependent systems give the same profit (checksum).
- AS 11: integral → temporal, difference to P&L; non-integral → closing rate, difference to FCTR.
- Independent branch: reconcile reciprocals to equal-and-opposite before incorporating.

Departmental Accounts

Snapshot

Measure each department's profit **within one location and one shared ledger**. For every rupee: point at one department (**allocate**) or share it (**apportion** on a cause-effect base); if neither → **General P&L**. Eliminate unrealised profit on inter-departmental transfers (**AS 2** — stock never above cost). Contrast Branch Accounts (split by location, often separate books).

Core concepts

Three tiers:

1. **Departmental Trading A/c** — one column per department → Gross Profit each.
2. **Departmental P&L A/c** — one column per department → Net Profit each.
3. **General P&L A/c** — single combined column for non-departmental items → one true combined net profit to Balance Sheet.

Three homes for every rupee: this department (allocate) → shared (apportion) → entity-level/no cause (General P&L). Trading vs P&L placement: costs of getting goods saleable (purchases, direct wages, carriage inward, manufacturing, factory power) → **above line**; costs of running/selling (rent, salaries, selling exp, depreciation) → **below line**.

Key provisions / rules — formulas, treatment; tables

Allocation = wholly one department's → charge direct (no judgement). **Apportionment** = shared → split on logical base. Do gates in order (allocate first, then apportion).

Standard apportionment bases (derive: "what drives this cost?"):

Cost	Base
Rent, rates, building repairs/insurance, lighting/heating	Floor area (lighting also light points)
Selling exp, discount allowed, bad debts, salesmen commission, carriage **outward**	Sales (to outsiders)
Carriage **inward**, discount received	Purchases
Depreciation, repairs & insurance of assets	Asset value
Labour welfare, canteen, PF, ESI	No. of employees
Power / fuel	HP × hours or machine hours
Supervisor / works-manager salary	Time devoted
Insurance of stock	Average stock or purchases

- Carriage **inward** → purchases; carriage **outward** → sales (favourite trap).
- Selling-expense base = **net sales to outsiders** (exclude inter-departmental transfers).
- If question gives a base directly, use it (don't "improve"). State chosen base in a working note.

Never departmentalise (→ General P&L): interest on loan/debentures, income tax, dividends, transfer to reserve, profit/loss on sale of investments/fixed assets, share issue expenses, general manager's salary (unless base given), net stock reserve. Test: *would it exist unchanged with only one department?* Yes → General P&L. Exception: interest **is** departmentalised if a departmental base (capital/stock in each dept) is supplied.

Inter-departmental transfers: transferring dept credits its Trading (like a sale); receiving dept debits its Trading (like a purchase). **Cancel in the Total column** (don't inflate entity sales/purchases). Transfer at **cost** → no reserve (but still cancels).

Unrealised profit (Stock Reserve) — only on **transferred goods still in closing stock**, and only the **mark-up** in them:

```
Unrealised profit = (transfer-stock in closing stock) × profit fraction
Cost + x%  → fraction = x/(100+x) of transfer price   (e.g. cost+25% → 25/125 = 1/5)
x% on selling price → fraction = x/100                (e.g. 25% on SP → 25/100 = 1/4)
Net charge to General P&L = Closing reserve − Opening reserve
```

- Closing reserve: **Dr General P&L / Cr Stock Reserve** (deduct from stock in B/S → stock at cost).
- Opening reserve: **Dr Stock Reserve / Cr General P&L** (write back — now realised).
- Stock Reserve lives in **General P&L**, never a department column.
- Two-way transfers → two reserves (use each transferring dept's own mark-up).

Manager's commission: departmental manager's → that dept's P&L; general manager's → General P&L.

- On profit **before** commission = x% × profit-before.
- On profit **after** commission = profit-before × **x/(100+x)**.

Total column = self-check (= standalone combined account with transfers cancelled).

Journal entries

```
Closing unrealised profit:  General P&L A/c Dr / To Stock Reserve A/c
Opening reserve write-back:  Stock Reserve A/c Dr / To General P&L A/c
```

Balance Sheet: Inventories less Stock Reserve = net (cost).

Worked mini-example

Cloth transfers to Garments at **cost + 25%** (profit = 25/125 = 1/5). Garments closing stock includes transferred cloth ₹1,20,000; opening included ₹25,000. Closing reserve = 1,20,000 × 25/125 = **₹24,000** (Dr General P&L). Opening reserve = 25,000 × 25/125 = **₹5,000** (Cr General P&L, write back). Net charge = 24,000 − 5,000 = **₹19,000**. B/S stock = total − 24,000. (If "25% on selling price": closing = 1,20,000 × 1/4 = ₹30,000 — the single-word swing.)

Exam traps & must-remember

- Carriage **inward** on purchases, not sales.
- Reserve fraction 25/125 (on cost) vs 25/100 (on selling price) — read the base.
- Reserve only on the **transferred portion still unsold**, not whole closing stock.
- Forgetting to reverse the **opening** stock reserve (only net hits profit).
- Putting stock reserve in a department column (belongs in General P&L).
- Not cancelling transfers in the Total column.
- Apportioning non-departmental items (interest, tax, dividends) into columns.
- Equal split by default (find the cause-effect base).
- Depreciation on sales instead of asset value.
- Selling-expense base including internal transfers (use outside sales only).
- Inventing a reserve on a cost-price transfer, or on fully-sold transferred goods.
- Manager's commission: before vs after; departmental vs general placement.
- Don't close a positive-**contribution** department (its share of common overheads doesn't vanish).

One-line recall

- Allocate (theirs) → apportion (shared, cause-effect base) → General P&L (no cause).
- Two-tier per department: Trading (GP) then P&L (NP); General P&L yields one combined profit.
- Transfers credit giver's Trading, debit receiver's, cancel in Total.
- Unrealised profit only on unsold transferred stock's mark-up; net (closing − opening) → General P&L; stock shown net of reserve.
- Cost+x% → x/(100+x); x% on sale price → x/100.

- Total column and B/S balance are the self-checks.

Chapter 43 — Consolidated Financial Statements (Holding Companies)

Snapshot

CFS present a parent + its subsidiaries **as one economic entity** (substance over form). Prepared **in addition to** (never replacing) standalone accounts. Governed by **AS 21**; **Sec 129(3) Companies Act 2013** mandates CFS for a company with any subsidiary/associate/JV. Trigger = **control**, not ownership %.

Core concepts

- **Control** = >50% of **voting power** OR control of **composition of Board**. Either test suffices. Measured on *voting* equity (ignore non-voting/pref).
- **Full consolidation**: add assets, liabilities, income, expenses **line by line, 100%**, because control (not %) is the trigger; then carve out **Minority Interest (MI/NCI)** on the equity side.
- **Direct + indirect holdings combine** (chain): P 60% of Q, Q 70% of R → R is P's subsidiary; effective interest 60%×70% = 42%, but R fully consolidated.
- **Pre-acquisition profit** = reserves/P&L existing **on acquisition date** → **capital** (netted vs cost → goodwill/capital reserve). **Post-acquisition profit** = growth after acquisition → **revenue** (parent's share → consolidated reserves).
- Uniform accounting policies; same reporting date (gap ≤ 6 months). Exclude subsidiary only if control **temporary** (held for disposal) or **severe long-term restrictions** on fund transfer.
- Control ladder: **≤20%** investment (AS 13) · **>20–50% + significant influence** → associate (AS 23, **equity method**) · **>50% / Board control** → subsidiary (AS 21, full consolidation).

Key provisions / rules — formulas, treatment

Item	Formula
Holding %	Shares held by parent ÷ Total shares of subsidiary
Minority %	100% − Holding %
Minority Interest	Minority % × (Share Capital + **ALL** Reserves & Surplus of sub on B/S date, pre + post)
Cost of Control	Cost of Investment − Parent's share of (Share Capital + **Pre-acq** profits)
→ positive	**Goodwill** (non-current asset)
→ negative	**Capital Reserve** (added to equity Reserves)
Consolidated Reserves	Parent's own reserves + Parent's share of **POST-acq** profits − Unrealised profit − Goodwill written off ± other adj
Mid-year split	Pre = opening reserves + opening P&L + (year profit × months **before** ÷ 12); Post = year profit × months **after** ÷ 12
Unrealised profit in stock	Transfer price of **unsold** goods × profit margin fraction
Profit "on cost"	profit = sale × 25/125
Profit "on sales"	profit = sale × 25/100

Analysis of Profits (master working note; do FIRST — feeds MI, goodwill, consolidated reserves): two columns Capital (pre-acq) | Revenue (post-acq). Parent's pre-acq share → goodwill; parent's post-acq share → consolidated reserves; minority's share of both + share capital → MI.

Adjustment placement:

- Revaluation of sub's assets **at acquisition** → **capital** column; asset carried at revalued figure. Post-acq extra depreciation on uplift → reduces revenue column.
- **Pre-acquisition dividend** received by parent → **return of capital**: reduce **Cost of Investment** AND reduce parent's P&L (reverse wrongly-booked income). Post-acq dividend = genuine income (avoid double count).
- Opening reserves/P&L are entirely **pre-acq**; only current-year profit is time-apportioned on mid-year acquisition.

- Bonus from **pre-acq** reserves → goodwill up (pre-acq reserve netted shrinks); from **post-acq** → consolidated reserves down; MI unchanged either way.
- Sub accumulated **loss** = negative profit; pre-acq loss **increases** goodwill; minority bears its share (MI can fall below share capital). Carry minus signs.

Elimination of intra-group items (Step 6):

- Mutual debtor/creditor, loans, bills → knock off **both** sides. Reconcile **cash/goods in transit** first if balances disagree (add in-transit item, then cancel equal amounts).
- Unrealised profit on stock → full amount out of **Inventory**; profit-side split by **who is the seller**:
    - **Parent sells to sub** → deduct **full** unrealised profit from Consolidated P&L.
    - **Sub sells to parent** → split: parent's share from Consolidated P&L, **minority's share reduces MI**.
- Intra-group dividend → eliminate from group income.

Journal entries (worksheet eliminations, not book entries)

(a) Cancel investment vs sub's equity (parent's share): Share Capital of Sub (parent share) Dr; Pre-acq Reserves (parent share) Dr; Goodwill Dr (if cost > net assets); To Investment in Subsidiary; To Capital Reserve (if net assets > cost).

(b) Minority Interest: Share Capital of Sub (minority share) Dr; Reserves & Surplus of Sub (minority share) Dr; To Minority Interest.

(c) Unrealised profit on closing stock: Consolidated P&L (Reserves) Dr; To Stock (Inventory).

(d) Mutual debt: Sundry Creditors Dr; To Sundry Debtors.

Worked mini-example

P acquires 30,000 of 40,000 shares (₹10) of Q on 1 Apr 2025 for ₹4,10,000 → **Holding 75%, Minority 25%**. On acquisition Q's GR ₹80,000, P&L ₹40,000; on B/S date GR ₹1,00,000, P&L ₹1,40,000, Share Capital ₹4,00,000. Q's creditors include ₹50,000 owed to P.

- Analysis: Capital (pre) = 80,000+40,000 = **1,20,000**; Revenue (post) = 20,000+1,00,000 = **1,20,000**.
- **MI** = 25% × (4,00,000 + 1,00,000 + 1,40,000) = 25% × 6,40,000 = **₹1,60,000**.
- **Cost of Control** = 4,10,000 − 75%×4,00,000 (3,00,000) − 75%×1,20,000 (90,000) = **Goodwill ₹20,000**.
- **Consolidated GR** = P's 4,00,000 + 75%×20,000 = ₹4,15,000; **Consolidated P&L** = P's 3,00,000 + 75%×1,00,000 = ₹3,75,000.
- Intra-group ₹50,000 → reduce Debtors and Creditors by ₹50,000 each.

Exam traps & must-remember

1. Pre/post split uses **ACQUISITION date**, not year-start. Mid-year → **time-apportion** current-year profit; opening balances all pre-acq.
2. **MI ignores pre/post split** — minority gets its % of TOTAL equity on B/S date. Pre/post matters only for parent's share.
3. **Pre-acquisition dividend** = return of capital → reduce cost of investment + parent's P&L.
4. **Who is the seller** decides who bears unrealised profit; **full amount always out of Inventory**, only profit-side split differs.
5. "On cost" (×25/125) vs "on sales" (×25/100); apply **unsold fraction** only; re-sold outside group = realised, nothing eliminated.
6. Revaluation at acquisition = **capital**; restate asset on CFS; watch post-acq extra depreciation.
7. **Cum-dividend** cost includes a dividend the buyer will receive — strip it out; if from pre-acq profits, treat as return of capital.
8. Unrealised profit in **fixed asset** sale: eliminate from asset & profit; adjust future depreciation (partly unwinds each year).

9. **Proposed dividend** of subsidiary: under revised AS 4/Sch III, not a liability until declared — don't create unless question provides. *Verify current ICAI/AY.*
10. Balance the sheet — mismatch usually = mis-split pre/post, one-sided netting, one-sided unrealised-profit deduction, or purchase-price change not matched by parent's cash movement.

Presentation (Schedule III): Only **parent's** share capital shown; MI = separate line **between Shareholders' Funds and Non-current Liabilities** (AS 21); Goodwill on consolidation = non-current asset; Capital Reserve = added to Reserves. Heading: *"Consolidated Balance Sheet of X Ltd. and its Subsidiary Y Ltd. as at ..."* Disclose list of subsidiaries, ownership %, reason for any exclusion.

One-line recall

- Control (>50% votes OR Board) triggers **100% line-by-line** consolidation; ownership % only carves out MI.
- **MI** = minority % × (Share Capital + ALL reserves on B/S date) — pre/post irrelevant.
- **Cost of Control** = Cost − parent's share of (SC + pre-acq profits); +ve = Goodwill, −ve = Capital Reserve.
- **Consolidated Reserves** = parent own + parent's share of post-acq − unrealised profit.
- Pre-acq = capital (nets vs cost); post-acq = revenue (to reserves); acquisition date governs, apportion if mid-year.
- Seller's identity splits unrealised profit; full amount always leaves Inventory; CFS must balance.

Chapter 44 — Accounting for LLPs

Snapshot

LLP = hybrid: **limited liability + separate legal identity of a company** married to **internal flexibility of a partnership**. Governed by **LLP Act, 2008** (notified 2009). Boundary rule: **outward-facing** things (liability, legal identity, public filing) run company-style; **inward-facing** things (contribution, profit split, management, admission/exit) run per the **LLP Agreement**. Accounting is in-between: internal engine = partnership; external skin = company.

Core concepts

- **Body corporate**, separate legal person, **perpetual succession** (Sec 3) — change in partners does not dissolve it; keeps its own entity-level books.
- **Liability limited** to agreed contribution; partner personally liable for **his own** wrongful act/negligence (Sec 27) but not for another's; LLP's assets take first hit.
- Partner is **agent of the LLP, not of other partners** (Sec 26) — severs inter-partner agency (this is what makes liability "limited").
- **Contribution** (Sec 32–33), not share capital: money / tangible / intangible / immovable / services (non-cash valued by **independent valuer**). Withdrawable per Agreement, bounded by **solvency** — no CRR, no capital-reduction machinery.
- **LLP Agreement** (Sec 23) is the charter; **First Schedule** defaults apply only where silent.
- No Share Capital / Securities Premium / CRR / Schedule III / dividend / DDT.

Key provisions / rules

Feature	Position
Minimum partners	**2**; no maximum
Designated Partners	≥**2**, at least **1 resident in India** (Sec 7); only an **individual** can be DP
Sole partner > **6 months**	that partner becomes **personally liable** for obligations in that period (Sec 6)
Unpaid promised contribution	asset — "**contribution receivable**" (show received part as contribution, unpaid part as receivable)
Audit	only if **turnover > ₹40 lakh OR contribution > ₹25 lakh**
Books	proper books, cash or accrual, double-entry (Sec 34); preserve **8 years**
Form 8 (Statement of Account & Solvency)	by **30 October** (30 days from end of 6 months)
Form 11 (Annual Return)	by **30 May** (60 days from year-end)
Financial year	1 Apr–31 Mar (incorporated after 30 Sep may extend first FY to next 31 Mar)

First Schedule defaults (Agreement silent):

- Profits/losses shared **EQUALLY** (not by contribution ratio).
- **No** interest on contribution; **no** remuneration/salary.
- Partner's advance **beyond** contribution → interest at **8% p.a.**
- Every partner may manage; new partner needs consent of **all**; no change in nature of business without all; ordinary matters by majority; disputes → arbitration.

Appropriation order:

1. Net Profit (after business expenses).
2. **Less: Interest on partners' loans/advances** — a **CHARGE** (expense, 8% if silent), **above the line**.
3. Less: Interest on contribution — **appropriation** (only if Agreement provides).
4. Less: Partners' remuneration/salary — **appropriation** (only if Agreement provides).

5. Residual profit → PSR (equal if silent).

Charge vs appropriation on thin profit: if interest/salary are **appropriations** and profit < total demanded → **scale down** in ratio of amounts due (no forced loss). If a clause makes them a **charge** → provide in full even if it creates a loss (shared in loss ratio).

Interest on contribution is an appropriation → allowed only to extent of profit **unless** Agreement makes it a charge ("whether or not LLP earns profit").

Conversion routes: Partnership firm → LLP = **2nd Schedule**; Private company → LLP = **3rd Schedule**; Unlisted public company → LLP = **4th Schedule**. All assets/liabilities vest by law; old entity dissolved; contracts/employees/licences/suits continue; **60-day** disclosure on stationery. Company conversion: **no security interest may subsist**; all reserves collapse into contribution.

Conversion accounting recipe:

1. Realisation A/c in old books — Dr all **real** book assets (never fictitious), Cr all book liabilities.
2. **Purchase Consideration = net agreed value of assets & liabilities TAKEN OVER** (exclude assets kept by partners and fictitious assets).
3. Cr Realisation with PC via LLP A/c; Cr Realisation with assets taken by partners.
4. Balance of Realisation = profit/loss → partners in **old ratio**.
5. Distribute reserves in old ratio; close capital to LLP A/c. **Company:** capital + all reserves + premium − fictitious assets collapse into **one Partners' Contribution = net assets taken over**.
6. LLP books: assets & liabilities at agreed values; **balancing figure = Partners' Contribution**.

Cross-check: Realisation profit = Σ (revaluation gains − losses − unrecorded liabilities − losses on partner-retained assets).

Taxation footnote: LLP taxed like a **firm**; pays **AMT** where applicable; **no DDT**; profit share **exempt** in partner's hands. Remuneration/interest to partners = deductible to LLP (within IT limits), taxable to partner as business income. *Verify current AMT rate/ceilings per Finance Act.*

Journal entries

- **Bring in contribution:** Bank / Asset A/c Dr; To Partner's Contribution (Capital) A/c. (Machine → Machinery A/c Dr; Services → intangible "Contribution in form of services" A/c Dr, at valuer's figure.)
- **Return of contribution:** Contribution / Current A/c Dr; To Bank (if Agreement permits, LLP stays solvent).
- **Loan interest (charge):** Interest A/c Dr (expense); To Partner's Loan/Current A/c.
- Prefer **fixed contribution + current accounts** (contribution fixed; interest, salary, profit share, drawings flow through current).

Worked mini-example (conversion of firm with revaluation + goodwill)

PQ & Co. (P:Q = 3:2). Capitals P 5,00,000, Q 3,00,000; General Reserve 1,00,000; Creditors 2,00,000. Assets: Building 4,00,000, Machinery 3,00,000, Stock 1,50,000, Debtors 1,50,000, Bank 1,00,000. Convert to PQ LLP: Building→5,00,000, Machinery→2,70,000, Stock→1,40,000, 5% PDD on Debtors, Goodwill ₹1,00,000 raised.

- Gross assets taken = Goodwill 1,00,000 + Bldg 5,00,000 + Mach 2,70,000 + Stock 1,40,000 + Debtors 1,42,500 + Bank 1,00,000 = **12,52,500**; less Creditors 2,00,000 → **PC = ₹10,52,500**.
- Realisation profit = 12,52,500 − 11,00,000 = **₹1,52,500** (= +1,00,000 Bldg +1,00,000 GW −30,000 Mach −10,000 Stock −7,500 PDD); 3:2 → P 91,500, Q 61,000.
- Contribution: P = 5,00,000 + GR 60,000 + 91,500 = **6,51,500**; Q = 3,00,000 + 40,000 + 61,000 = **4,01,000** (sum 10,52,500 = PC). Opening BS balances at ₹12,52,500.

Exam traps & must-remember

1. Agreement silent → cite **First Schedule** (not Partnership Act by name); profits **equal, not by contribution ratio**.

2. Contribution is **not locked share capital** — no CRR/capital-reduction; returnable per Agreement (bounded by solvency).
3. **Interest on partner's loan = CHARGE** (above line); interest on contribution & salary = **appropriations** (only if Agreement provides).
4. Thin profit → appropriations **scale down** in ratio of amounts due (no forced loss) unless made a charge.
5. Asset **taken over by a partner personally** → exclude from PC, credit to that partner's capital in Realisation, must NOT appear in LLP BS.
6. **Unrecorded liability** taken over → reduces PC, appears on LLP liability side.
7. **Fictitious assets** (preliminary expenses, discount, Dr P&L) → written off against members; NEVER transferred to Realisation or PC.
8. Company→LLP: share capital + reserves + premium **collapse into one Contribution = net assets taken over**; don't carry separate reserve lines.
9. Audit **not** automatic — only if turnover > ₹40 lakh OR contribution > ₹25 lakh.
10. Due dates: **Form 11 → 30 May** (60 days); **Form 8 → 30 October** (30 days after 6 months). Don't swap.
11. Sole partner > 6 months → personal liability (Sec 6).
12. If firm repays a loan/pays expense before handover, the **cash taken over falls** — let reduced cash flow through PC; don't also debit Realisation (double count).

One-line recall

- Hybrid: company-style **outside** (limited liability, separate person, public filing), partnership-style **inside** (Agreement, contribution, appropriation).
- Silent Agreement → First Schedule: **equal** profits, no interest, no salary, **8%** on excess advances.
- Interest on **loan = charge** (above line); interest on **contribution & salary = appropriations** (only if agreed; scale down on thin profit).
- **Audit** only if turnover > ₹40 lakh **or** contribution > ₹25 lakh; **Form 8 by 30 Oct, Form 11 by 30 May**.
- Conversion = Realisation template: **PC = net agreed value taken over**; balancing figure = **Partners' Contribution**; company reserves collapse into contribution.
- No share capital / dividend / DDT / CRR / Schedule III; contribution returnable per Agreement bounded by solvency.